

European Equity Strategy

What if the Fed hikes in September?

Our economists expect the Fed to hike: our US economists have long argued that there is a strong case for the Fed to hike this year, starting in September, given above-target underlying inflation, diminished downside risks to the labour market, and strong incentives for Fed Chair Warsh to hike. Their base case is for 75bps of Fed hikes in total this year, 25bps at each of the meetings scheduled before year end.

A September hike could put further upside pressure on bond yields, weighing on equity multiples: even after Warsh's hawkish pivot at Jackson Hole last week, market pricing for hikes in September remains at around 15bps. Market pricing for hikes in total by the December meeting is currently around 40bps below the 75bps that our economists expect. US 10-year real bond yields – which are closely tied to Fed pricing and are the discount rate for global equities – could therefore see further upside pressure on a September hike and continue to weigh on equities, with the c.10bp rise in the US 10-year real yield over the past week explaining all of the Stoxx 600 decline seen over the period. From a sector perspective, upside for the US 10-year real yield on the back of a hawkish Fed repricing would mean headwinds for semis, personal & household goods and utilities, given that these sectors have the largest negative sensitivities to a move in rates. Meanwhile, airlines, banks and energy should receive the greatest support.

We remain negative on European equities and underweight cyclicals versus defensives: a meaningful hawkish re-pricing towards our economists' Fed projections in the near-term, leading to a further meaningful increase in real yields, is a plausible bear scenario for European equities. However, our rates strategists have nonetheless started positioning for a renewed decline in bond yields, given softening near-term inflation momentum, and weak US jobs and consumer data. In line with this, our base case is for a mild decline in bond yields – a positive for equities all else equal. Yet, we also see upside for risk premia from historically low levels to reflect risks from potential AI capex disappointment, weak US jobs growth and energy-supply disruptions from the US-Iran war. Our macro assumptions imply around 10% downside for the Stoxx 600 to 580 by Q2. We also expect around 5% further underperformance for cyclicals versus defensives on the back of higher risk premia and lower bond yields. Our preferred defensive overweight is food & beverages, while our preferred cyclical underweights are banks and capital goods.

Trading ideas and investment strategies discussed herein may give rise to significant risk and are not suitable for all investors. Investors should have experience in relevant markets and the financial resources to absorb any losses arising from applying these ideas or strategies.

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Refer to important disclosures on page 72 to 73.

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PMI: Purchasing Managers' Index

ISM: Institute for Supply Management

TWI: trade-weighted Index

ERP: equity risk premium

What if the Fed hikes in September?

Our economists expect the Fed to hike by 25bps at the meeting this month, and by 75bps overall by year end:

our US economists have long argued that there is a strong case for the Fed to hike this year. Although inflation is partly buoyed by a number of one-off factors, such as tariffs, Iran and methodological issues, they estimate that underlying core PCE inflation is around 2.5% year-on-year and therefore still too high versus target. Meanwhile, downside risks to the labour market have diminished relative to last year, which could justify reversing last year's cuts which were predicated on labour market weakness. Furthermore, there are strong incentives for Fed Chair Warsh to hike, as it would bolster his inflation-fighting credentials, ensuring that he will not end up "owning" any potential inflation issues (see: [US Economic Weekly, Jul 17](#)). Our economists' base case is for 75bps of Fed hikes in total this year, 25bps at each of the next three meetings, i.e. September, October and December. After Warsh's surprisingly dovish comments at the July Fed meeting, which was followed by soft US jobs and retail sales data, along with in-line CPI inflation, the market pulled back September Fed hike pricing from around 25bps to below 10bps. However, his hawkish pivot at last week's Jackson Hole meeting, in which he emphasized that the Fed's focus was firmly on inflation, has revived September hike expectations, with the market currently pricing around 15bps of rate increases.

A September Fed hike could put further upside pressure on bond yields, weighing on equity multiples:

another round of US jobs and CPI inflation data lies ahead of the September 16 Fed meeting. However, given Warsh's emphasis on inflation at Jackson Hole, along with his comments around labour market stability, another weak US jobs print in August (as expected by our economists: they project 40k versus 55k consensus, consistent with the signal from the ADP data this week, which showed private payrolls growth of 38k) is unlikely to provide much of an impact on September pricing (see: [Liquid Insight, Sep 2](#)). Therefore inflation will be key, and the August manufacturing ISM survey out this week provided reason to be cautious. The supplier delivery times index, a measure of supply-chain stress and, hence, historically a good gauge of underlying inflation pressures, rose back close to the four-year high seen in April and May this year, despite an easing in underlying demand growth, as indicated by the 3-point fall in the new orders index. In other words, the supply-side deterioration which emerged earlier in the year around the Iran war is still with us, adding to upside risks for inflation. The renewed outbreak of fighting between the US and Iran over recent days, driving oil prices higher, is another source of inflation upside risk. If the Fed hikes in September, as our economists expect, upside pressure on US real yields – which are closely tied to Fed pricing – is likely to persist in the near-term. Market pricing for hikes in total by the December meeting is currently at only 33bps, i.e. around 40bps below the 75bps that our economists expect.

US 10-year real bond yields are the discount rate for global equities, with the c.10bp rise seen since last week explaining all of the weakening in the Stoxx 600 index over the period, which leaves the index around 2% below the early-August record high. A September Fed hike therefore likely presents risk of further market downside on a further rise in the real yield. A downside scenario would be that a September hike ends up leading to a full repricing of the Fed in line with our economists' base case of 75bps of hikes this year, with a direct translation of this into the US 10-year real yield, which could be a 5% further drag on European equities via rates-related pressure on multiples from a 40bp further increase in the discount rate. From a sector perspective, further upside for the US 10-year real bond yield on the back of a hawkish Fed repricing would provide the largest headwind for semis, personal & household goods and utilities, which have the largest negative sensitivities to a move in rates. Meanwhile, airlines, banks and energy should receive the greatest support, with these sectors having the largest positive sensitivities to a move in rates.



We remain negative on European equities and underweight cyclicals versus defensives: a full hawkish re-pricing to our economists' Fed projections in the near-term, leading to further increases in bond yields, is a plausible bear scenario for European equities. However, our rates strategists have nonetheless recently turned positive on US duration again and have started positioning for a renewed decline in bond yields, arguing that: (a) despite reasonable concerns about inflation risks, inflation momentum has weakened notably, with three-month annualised core CPI inflation declining to a five-year low of 1.6%; (b) the job-market rebound seen earlier this year has fizzled out, with three-month US jobs growth fading back close to 0%, following July's surprise negative payroll print; and (c) the US consumer is starting to show cracks given the recent retail sales data and consumer confidence readings (see: [Global Rates Weekly, Aug 14](#)). Our global investment strategists also see a long position on US duration as an attractive contrarian hedge against a potential shortfall in global growth relative to consensus expectations (see: [The Flow Show, Jul 23](#)). In line with these views, we also remain positioned for lower bond yields via underweights in financials and overweights in bond-proxy defensives like staples and pharma, though the potential for more near-term Fed hawkishness is a risk to that positioning.

If the spike in bond yields indeed starts to fade in line with our rates strategists' projections, this would, other things being equal, be supportive for equities, as it would remove the rates pressure that has been weighing on multiples. However, if the market prices a more dovish Fed partly in response to renewed labour-market weakness and softening consumer trends, this would likely challenge the extremely optimistic macro and earnings assumptions priced into the equity market today. Consensus expects record margins both in Europe and globally, a record contribution to global earnings from the tech sector and sustained double-digit EPS growth over the coming 3-5 years, with the market markets applying an ultra-low equity risk premium to these assumptions. We see further upside risks to low risk premia from:

1. Potential disappointment on AI capex, arguably the most important driver of this year's equity rally, given that intensifying competition at the model layer of the AI stack risks undermining expectations of AI as a high-margin business, which justifies today's strong investment spending, while rising borrowing costs for hyperscalers and increasing political opposition to datacentre construction pose additional risks (see: [European Equity Strategy, Aug 21](#)). Our global strategists count possible AI capex cuts as one of their favourite contrarian ideas for H2 (see: [The Flow Show, Jul 9](#));
2. Energy-supply risks from the US-Iran war, with vessel traffic through the Strait of Hormuz remaining at depressed levels and measures allowing the oil market to cope with the resulting shortfall in oil supplies – a continued run-down in the US' Strategic Petroleum Reserve and a reduction in China's oil imports – likely to be only temporary fixes. Renewed fighting in recent days threatens to constrain flows once more. Meanwhile, a global shortage of refined products (e.g. gasoline, diesel and jet fuel) has translated into unusually elevated crack spreads, which means consumers have to deal with more significant energy-price pressures than implied by the oil price itself (see: [Global Energy Weekly, Aug 12](#)).

Overall, our expectations for higher risk premia and lower EPS in combination with a mild decline in bond yields is consistent with around 10% downside for European equities to 580 by Q2. European cyclicals versus defensives had rebounded from the mid-June to late-July momentum unwind, though cyclicals have seen around 5% renewed underperformance since mid-August and we expect around 5% further underperformance to come on the back of lower bond yields and higher risk premia. Among defensives, we remain overweight food & beverages and telecoms, which



tend to do well in an environment of higher risk premia and lower bond yields. We also stay overweight pharma, which has suffered from the rise in bond yields too and should outperform if yields decline again. Among cyclicals, our envisaged macro scenario of lower rates and higher risk premia keeps us underweight banks and financials, especially if this comes alongside slowing Euro area growth momentum, given tight credit conditions, a fading World Cup effect and higher gas prices. At the same time, lower bond yields should help long-duration sectors like luxury goods (where we are overweight), as well as tech, though we prefer to position for this via our overweight in software (which, after nearly 30% outperformance since late July, has recovered around a quarter of the sharp underperformance seen since May last year), while AI capex concerns keep us underweight semis even after 20% underperformance since the end of June.

Our European equity strategy product offers forecasts for the performance of the European equity index and European sectors' relative performance based on robust, long-run relationships between these asset prices and their macro drivers. To ensure that our recommendations are mutually consistent, we use (wherever possible) assumptions for these macro drivers that flow from our macro analysis framework. Please note that on occasions our assumptions might differ from the BofA house forecast for these macro drivers. Please note the document contains several charts showing "fitted" lines which present the weighted historical performance of the combined drivers (factors identified by BofA and weighted in a manner determined to be most highly correlated (regressed) against the PMI benchmark). There can be no assurance that such drivers, weighted as shown, will continue to be highly correlated with the PMI. The analysis forecasting of that benchmark (which is shown in red on other charts) is derived using a combination of actual data available and the analysts' forecasts of certain of the underlying drivers weighted in a manner similar to the historical fitted line and adjusted for outliers. There can be no assurance that such predictions (of the underlying drivers or the PMIs) will be accurate. More information on the methodology behind the analysis and forecasts can be found [here](#).



Summary of strategy views

Exhibit 1: Summary of macro, equity market and sector views: we are negative on European equities, overweight food & beverages and quality, underweight banks and capital goods

BofA equity strategy projections

Asset class	Strategy view	Key recs	Next 12-months projections		Implied base-case upside / downside
			high	low	
Market, FX, fixed income					
European equities	-	✓	-1%	-10%	
10yr Treasury yield (bps)	-		-19	-63	
Bund yield (bps)	-		-14	-63	
USD TWI	=		2%	0%	
Oil	=		-4%	-31%	
Copper	=		7%	-6%	
US HY spreads (bps)	+		91	12	
Sector price relative to Europe					
Consumer durables	OW		22%	8%	
Airlines	MW		19%	8%	
Food & beverages	OW	✓	15%	6%	
Utilities	MW		13%	6%	
Real estate	OW		13%	-1%	
Semis	UW		19%	-4%	
Telecoms	OW		8%	0%	
Construction materials	MW		7%	1%	
Pharma	OW		7%	0%	
P&H goods	OW		7%	-1%	
Capital goods	UW	✓	5%	-1%	
Autos	MW		5%	-12%	
Energy	MW		3%	-13%	
Insurance	MW		0%	-8%	
Mining	MW		2%	-10%	
Software	OW		4%	-12%	
Chemicals	OW		0%	-11%	
Financial services	UW		-5%	-11%	
Banks	UW	✓	-5%	-14%	

Source: BofA Global Research estimates, LSEG Data & Analytics, Bloomberg. Weightings are relative to MSCI Europe. "Key recs": high-conviction recommendations. "Implied base case, up/downside" charts: thumbnail representations of 12mth forecasts. Green/red bars: highest /lowest points in forecast trajectory (see Exhibit 15 as an example). MW = marketweight, OW = overweight, UW = underweight. Stance: '+' is positive, '=' is neutral and '-' is negative

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Exhibit 2: Summary of style views: we are overweight small versus large and quality, underweight cyclicals versus defensives and value versus growth

BofA equity strategy projections

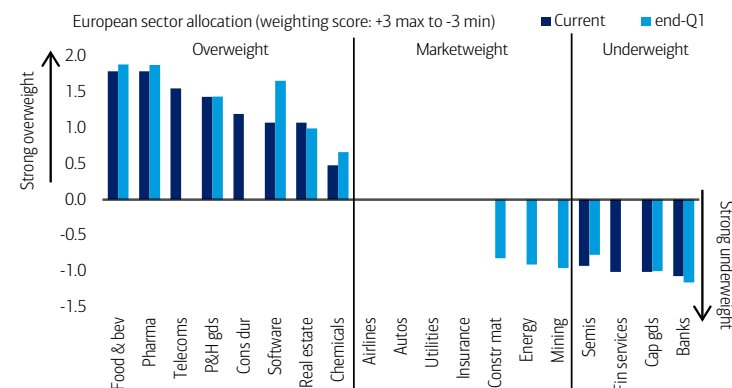
Asset class	Strategy view	Key recs	Next 12-months projections		Implied base-case upside / downside
			high	low	
Country price relative to Europe					
France	MW		5%	2%	
UK	OW		4%	0%	
Switzerland	OW		2%	-2%	
Germany	OW		3%	-1%	
Italy	UW		-1%	-5%	
Spain	UW		-3%	-9%	
Styles, themes, regions					
Cyclicals vs defensives	-		4%	-4%	
Value vs growth	-		1%	-9%	
Small vs large	+		6%	1%	
Quality vs market	+	✓	5%	1%	
UK doms vs exps	+		8%	2%	
MSCI Europe vs global	-		3%	-8%	
MSCI EM vs global	=		5%	-3%	

Source: BofA Global Research estimates, LSEG Data & Analytics, Haver, Bloomberg. See Exhibit 1 for explanatory notes

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Exhibit 3: Our favourite defensive overweights are food & beverages and pharma, while our favourite cyclical underweights are banks and capital goods

European sector allocation overview



Source: BofA Global Research, based on MSCI sectors, except for airlines and construction, which are based on LSEG indices

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Rates pressure

Exhibit 4: Robust global macro momentum, lax fiscal policy, large-scale AI-related corporate debt issuance and hawkish central banks have pushed the US 30-year bond yield to the highest since 2007, while the Japanese 10-year bond yield has reached the highest level since 1998

US 30-year bond yield and Japanese 10-year bond yield

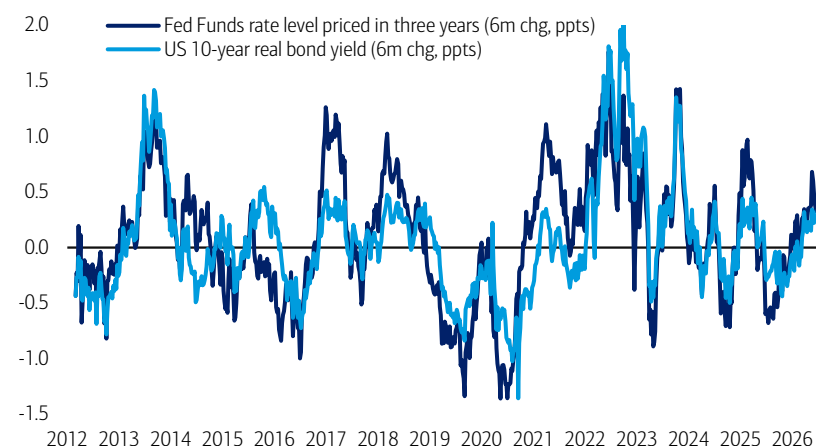


Source: BofA Global Research, LSEG Data & Analytics

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Exhibit 6: Market pricing for the 3-year forward Fed Funds rate remains the key driver of US real yields

US 10-year real yield 6-month change vs 3-year forward Fed rate pricing 6-month change

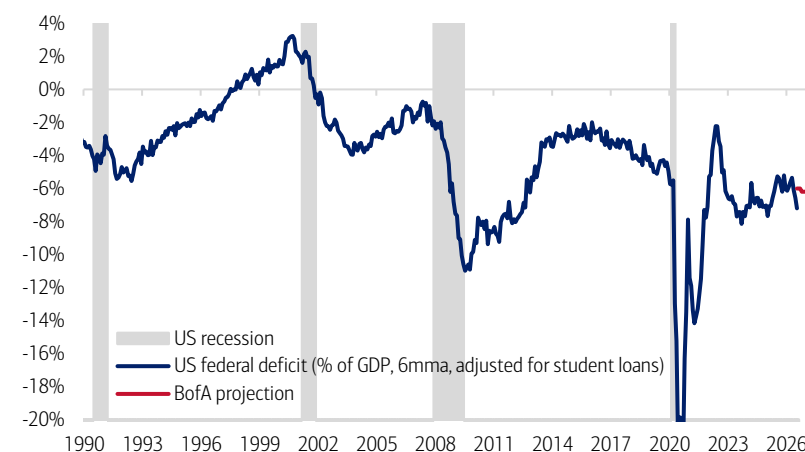


Source: BofA Global Research, LSEG Data & Analytics, Bloomberg

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Exhibit 5: The US federal budget deficit has widened from 5.3% of GDP late last year to 7.2% currently, one of the highest levels seen outside of a recession or war

US federal deficit 6-month average (% of GDP)

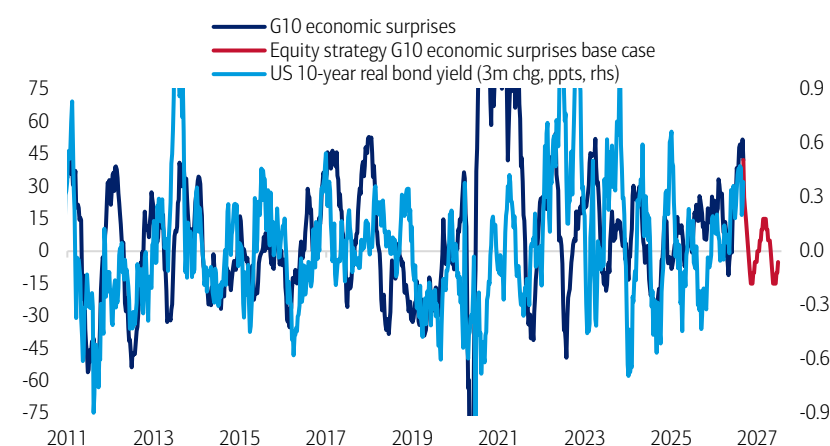


Source: BofA Global Research estimates, Haver

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Exhibit 7: US real bond yields have also been pushed higher by the rise in global macro surprises to an almost 3.5-year high, which we expect to reverse

Global macro surprises vs US 10-year real bond yield 3-month change



Source: BofA Global Research estimates, LSEG Data & Analytics

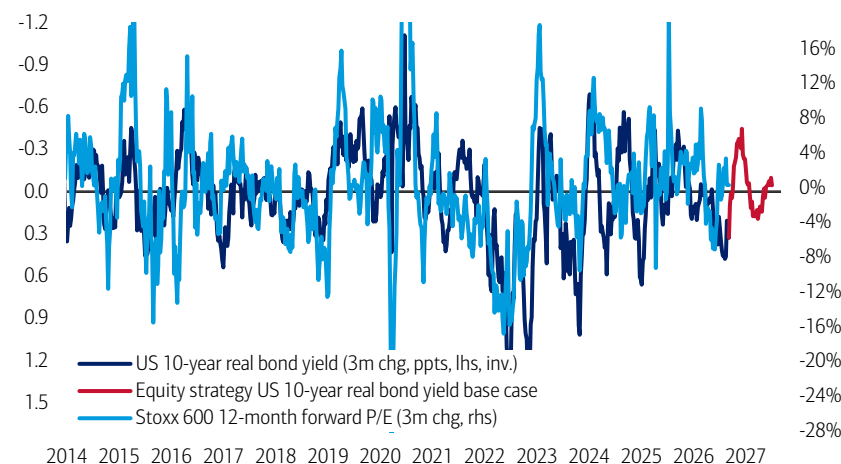
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Rates pressure

Exhibit 8: Real bond yields, as the discount rate for equities, are a key driver of multiples

Stoxx 600 12-month forward P/E 3-month change vs US 10-year real yield 3-month change

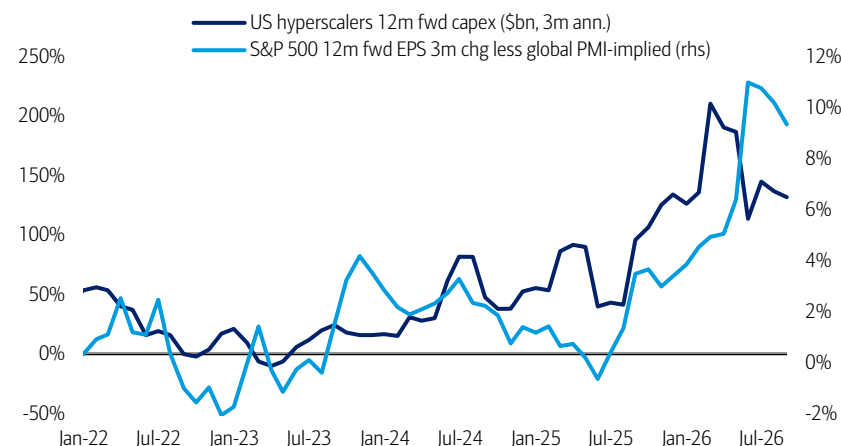


Source: BofA Global Research estimates, LSEG Data & Analytics, Bloomberg

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Exhibit 10: The significant strength in S&P 500 12-month forward EPS momentum in recent years comes alongside the sharp acceleration in US hyperscaler capex expectations

Actual less global PMI-implied S&P 500 12m fwd EPS 3m chg vs US hyperscaler 12m fwd capex 3m chg

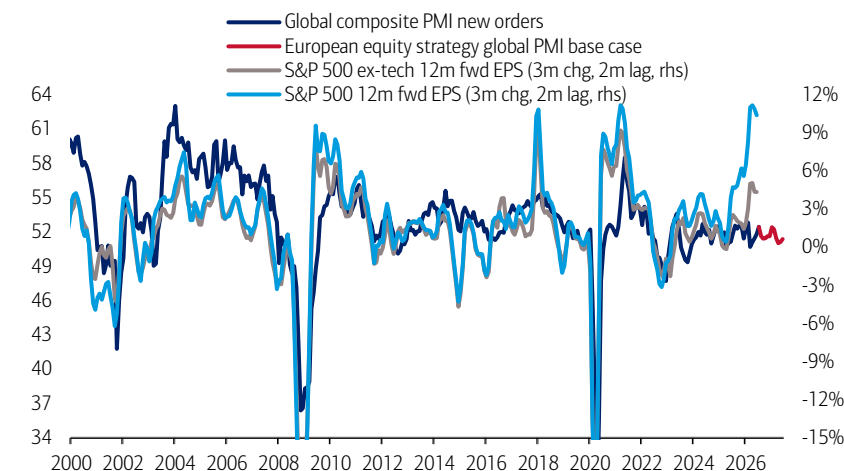


Source: BofA Global Research estimates, LSEG Data & Analytics, Bloomberg

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Exhibit 9: S&P 500 12-month forward EPS momentum has been persistently overshooting the global PMI since the second half of 2023, mainly driven by the tech sector

S&P 500 12-month forward EPS 3-month change vs global composite PMI new orders



Source: BofA Global Research estimates, Haver, LSEG Data & Analytics

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Exhibit 11: The Stoxx 600 equity risk premium has fallen to 4.5%, the lowest in over 20 years

Stoxx 600 equity risk premium (%)



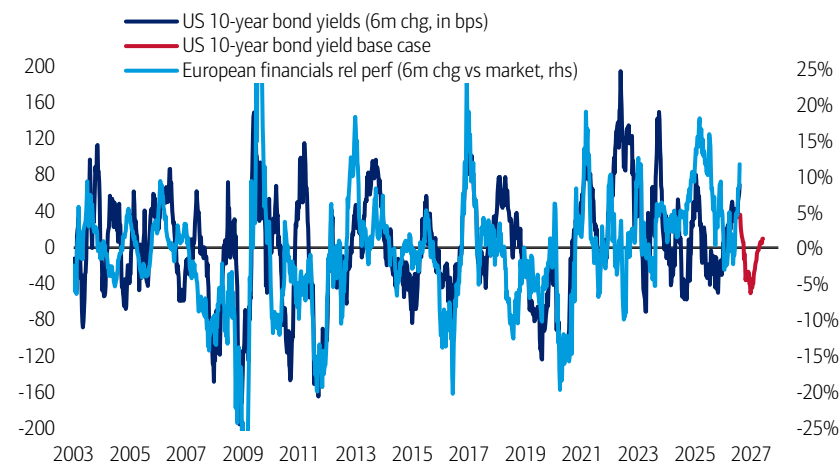
Source: BofA Global Research, LSEG Data & Analytics

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Rates pressure

Exhibit 12: European financials have benefitted from the rise in bond yields since March and should underperform if yields decline again

European financials relative performance versus US 10-year bond yields (2003 to 2027)

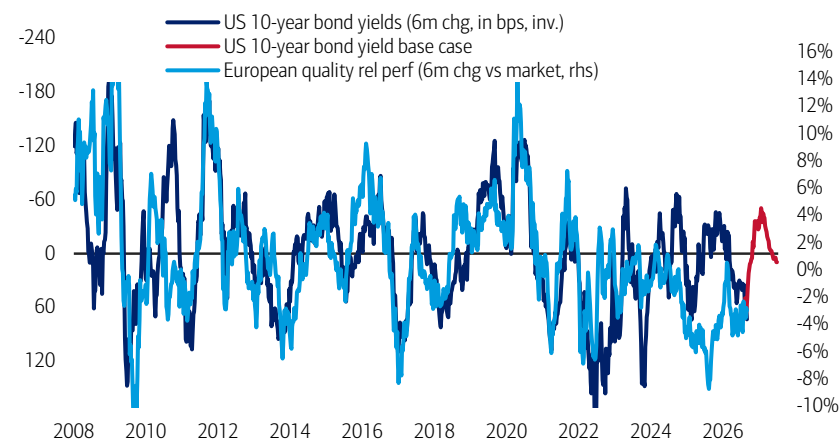


Source: BofA Global Research estimates, LSEG Data & Analytics

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Exhibit 14: Quality stocks should outperform the market when bond yields decline in line with our expectations

European quality relative performance versus US 10-year nominal bond yield (2008 to 2027)

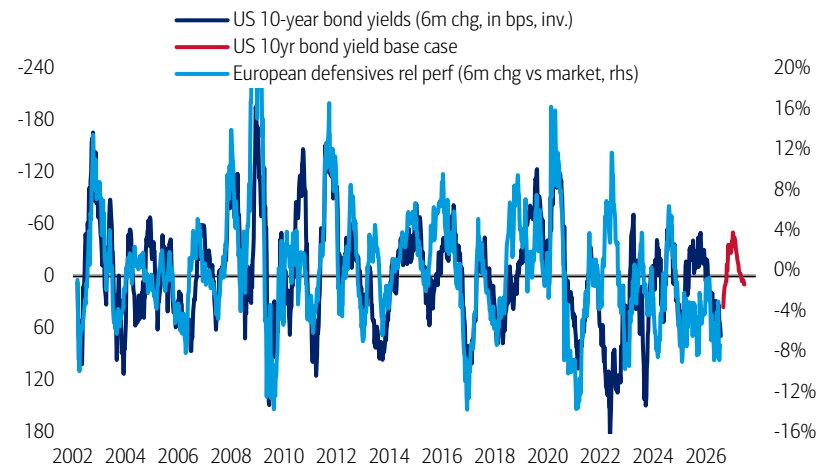


Source: BofA Global Research estimates, LSEG Data & Analytics

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Exhibit 13: The recent underperformance by defensives has tracked the move in rates, with our expectations of renewed bond yield downside pointing to a rebound

European defensives relative performance versus US 10-year bond yields (2002 to 2027)

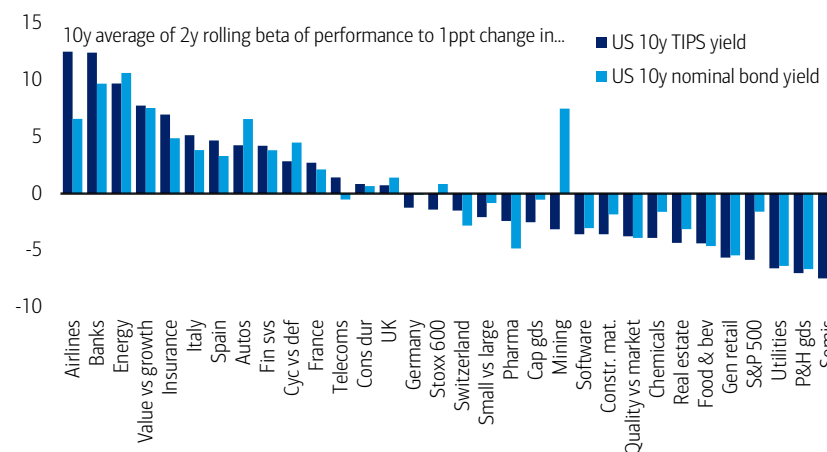


Source: BofA Global Research estimates, LSEG Data & Analytics

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Exhibit 15: Airlines, banks and energy have the highest positive sensitivity to US real bond yields, while semis, P&H goods and utilities have the highest negative sensitivity

European asset, sector, and country correlations to US bond yields



Source: BofA Global Research, LSEG Data & Analytics

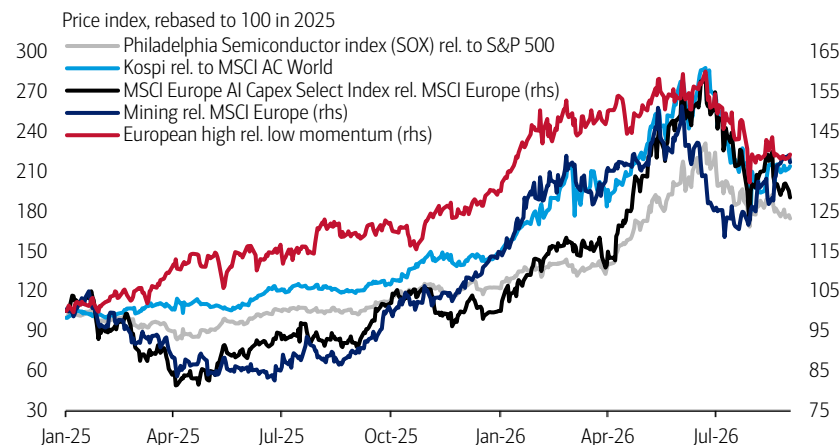
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AI fragilities continue to linger

Exhibit 16: The first half of 2026 was dominated by aggressive momentum outperformance alongside the rally in AI capex exposure

Europe momentum, Europe AI capex, Europe mining, KOSPI and SOX price relatives (100 = Jan 2025)

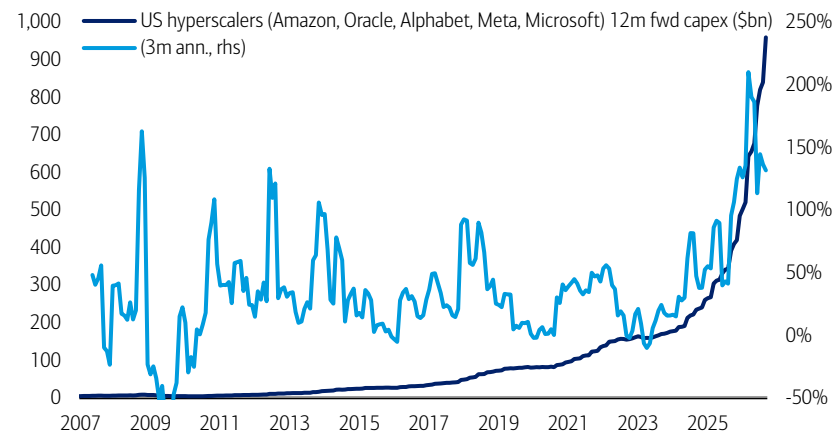


Source: BofA Global Research, Bloomberg Finance LP, LSEG Data & Analytics

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Exhibit 18: The dominant theme driving markets over the past year has been the once-in-generation AI capex boom, with 12-month forward consensus US hyperscaler capex rising from less than \$300bn in early 2025 to \$940bn now

US hyperscaler 12m fwd capex level (\$bn) and growth (3m ann.)



Source: BofA Global Research, LSEG Data & Analytics

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Exhibit 17: This year had seen record outperformance of high- versus low-momentum stocks in Europe, before a sharp pull-back since mid-June

JP Morgan iDex Europe Momentum Top Index versus Bottom Index

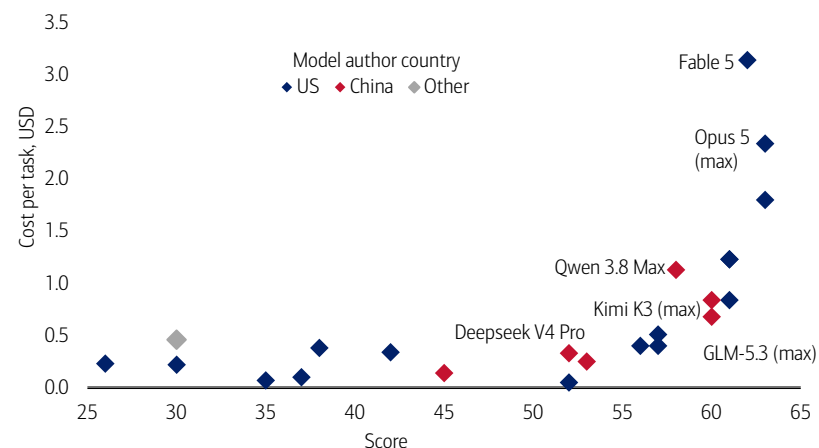


Source: BofA Global Research, Bloomberg Finance LP, LSEG Data & Analytics

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Exhibit 19: Competition at the model layer is heating up, with Chinese open-weight models performing with almost frontier capabilities and at cheaper costs per task

Weighted-average cost of completing model capability benchmark tasks



Source: BofA Global Research, Artificial Analysis Intelligence Index

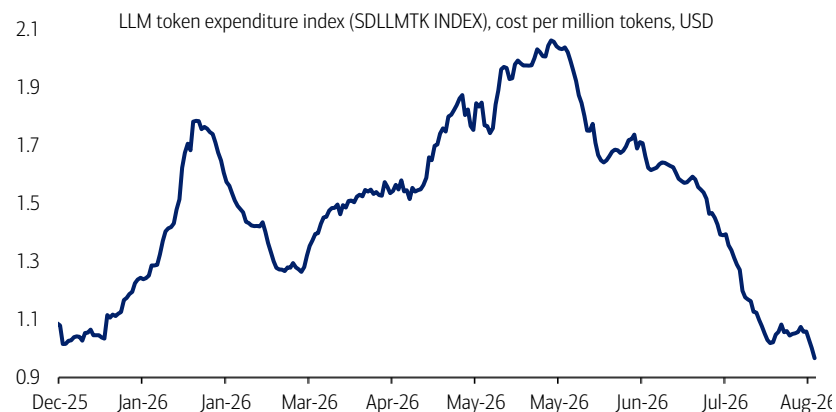
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AI fragilities continue to linger

Exhibit 20: The Silicon Data Token Expenditure Index has continued to decline in a sign that end customers are rotating away from expensive frontier models

LLM token expenditure index, cost per million tokens, USD

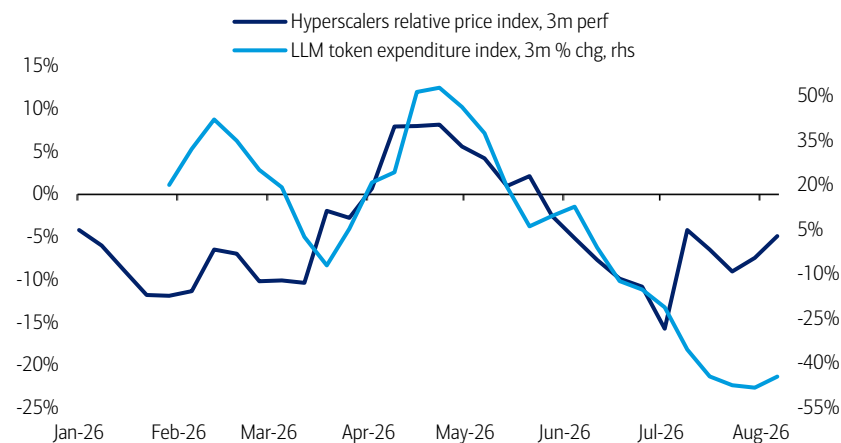


Source: BofA Global Research, Bloomberg Finance LP

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Exhibit 22: Over recent months, hyperscaler performance had tracked the swings in the Silicon Data Token Expenditure Index until recently

Hyperscalers' relative price momentum versus change in LLM token expenditure index

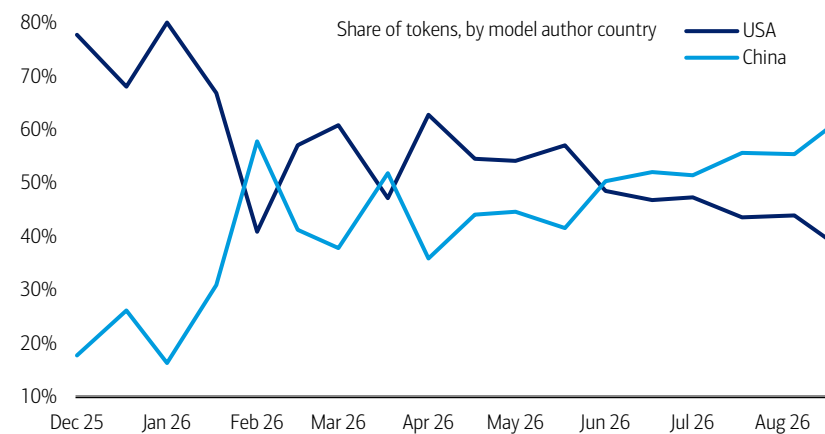


Source: BofA Global Research, Bloomberg Finance LP

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Exhibit 21: Chinese AI model usage has surged past US peers on Open Router in recent months

Share of monthly tokens, by model author country

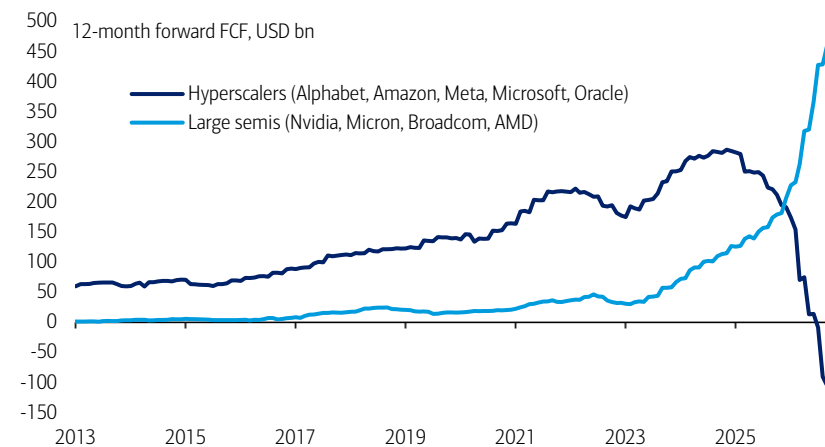


Source: BofA Global Research, OpenRouter; note: OpenRouter data does not capture traffic sent directly to providers

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Exhibit 23: The AI capex boom has led to a staggering transfer in free cash flow from hyperscalers to semis

12-month forward free cash flow of Hyperscalers and large semiconductor companies



Source: BofA Global Research, Bloomberg Finance LP

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AI fragilities continue to linger

Exhibit 24: US hyperscalers have underperformed the broader market by around 20% over the past year

Hyperscalers price relative to market

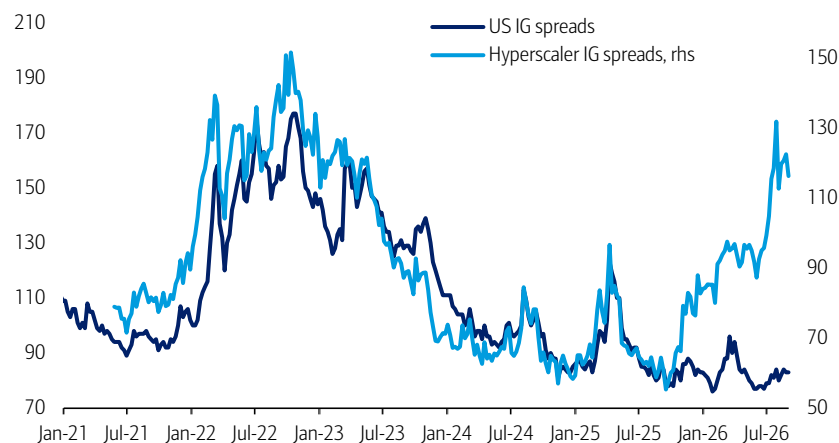


Source: BofA Global Research, Bloomberg Finance LP

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Exhibit 26: Overall credit spreads have remained near their recent lows, even as hyperscalers' funding costs have risen sharply

IG spreads for US and for hyperscalers, 2021 to current

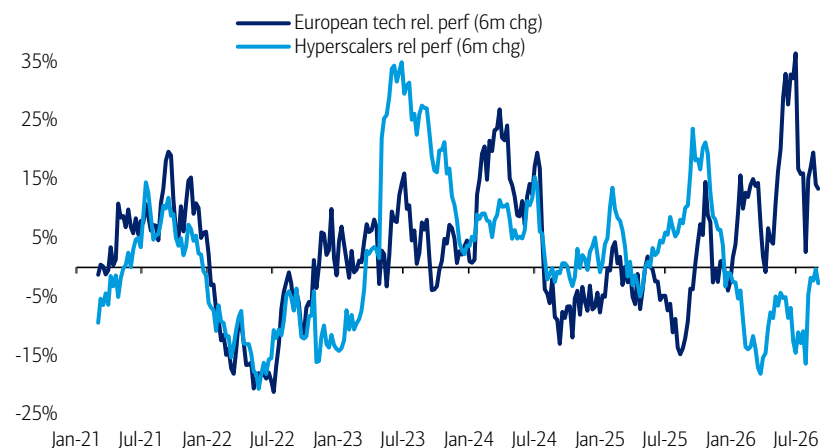


Source: Bloomberg Finance LP

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Exhibit 25: The recent underperformance of European tech during the momentum unwind constitutes a catch-down to the trajectory implied by the performance of the hyperscalers

European tech relative performance momentum versus hyperscalers relative performance momentum

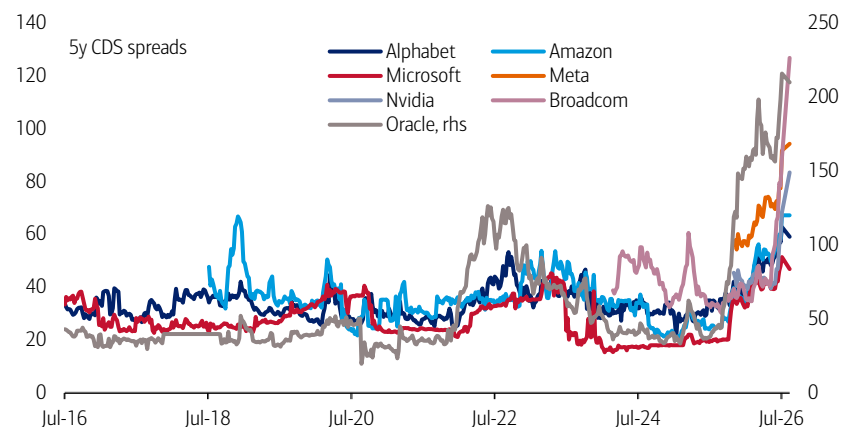


Source: BofA Global Research, Bloomberg Finance LP, LSEG Data & Analytics

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Exhibit 27: The cost of insuring against default has risen for US hyperscalers (and Nvidia and Broadcom) as AI capital spending has become increasingly debt-financed

5-year CDS spreads of US hyperscalers, Nvidia and Broadcom



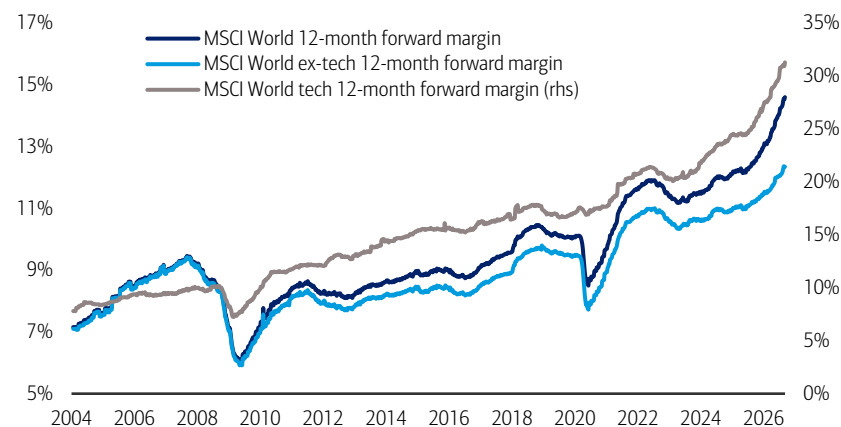
Source: Bloomberg Finance LP

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AI fragilities continue to linger

Exhibit 28: A fragmented and contested AI landscape with a multiplicity of providers would suggest a commoditized, lower-margin business model, which would challenge the sky-high consensus margin expectations at the market level as well as the tech sector

MSCI World and World ex tech 12-month forward consensus EPS / sales

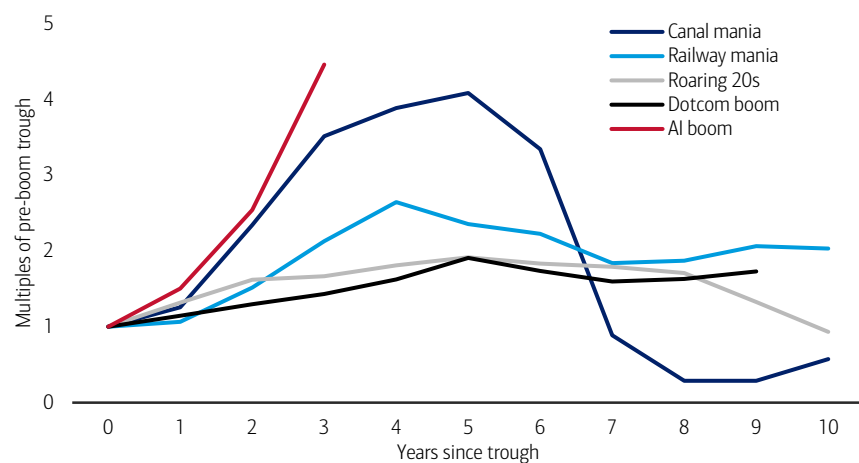


Source: BofA Global Research, LSEG Data & Analytics

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Exhibit 30: Data from the Bank for International Settlements (BIS) suggests that the capex ramp in this cycle is even stronger than in famous historical boom / bust episodes

Investment into major historical innovations (multiples of pre-boom trough)

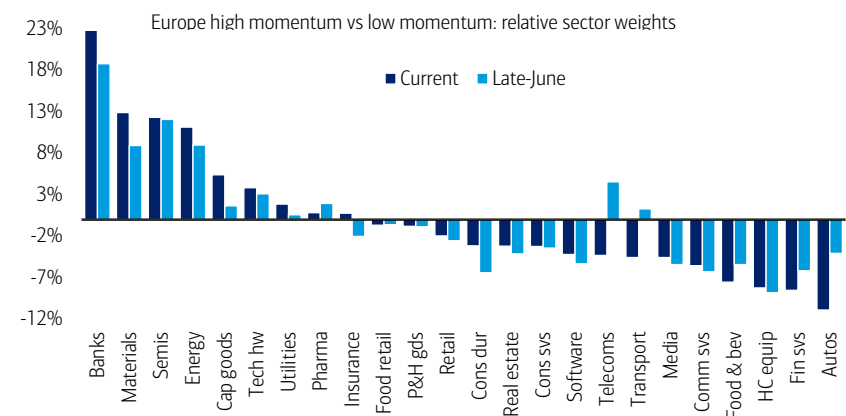


Source: BIS

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Exhibit 29: The European high-momentum style is most overweight banks, materials, semis and energy relative to the low-momentum style, while being most underweight autos, financial services, healthcare equipment and food & beverages

Sector weights of JP Morgan iDex Europe Momentum Top Index versus Bottom Index

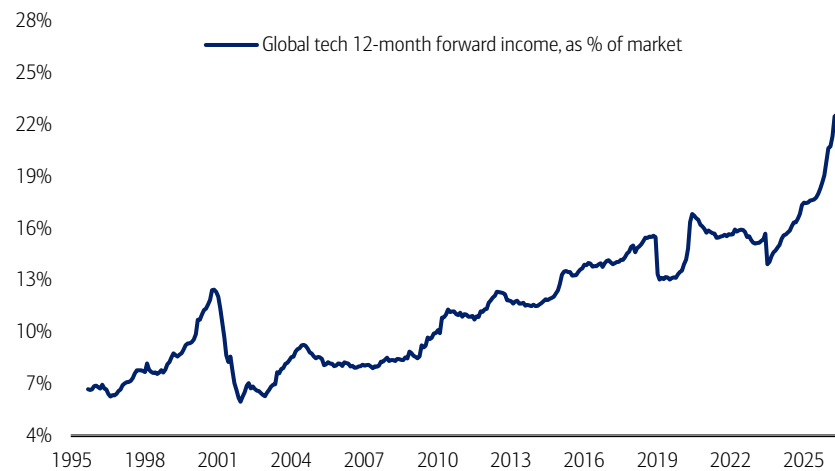


Source: BofA Global Research, Bloomberg Finance LP

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Exhibit 31: Tech is expected to contribute a quarter of global profits over the coming twelve months, an all-time high

Global tech 12-month forward income, as % of market



Source: BofA Global Research, LSEG Data & Analytics

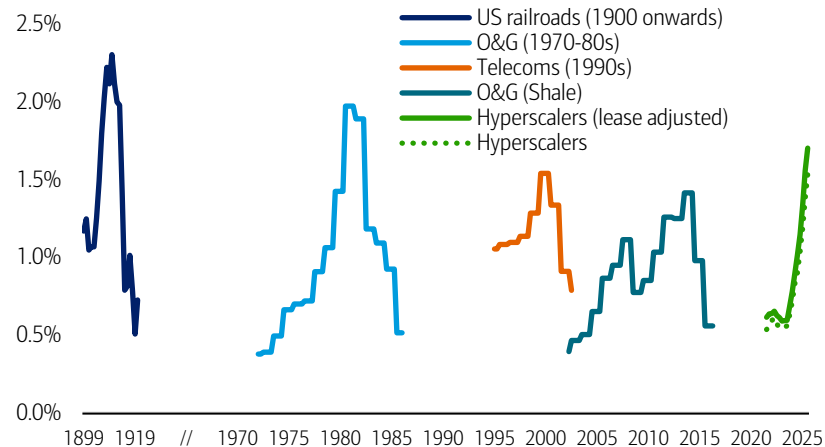
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AI fragilities continue to linger

Exhibit 32: Hyperscaler capex is late cycle, measured at macro level

Sector capex as % of US GDP through each cycle's speculative build phase

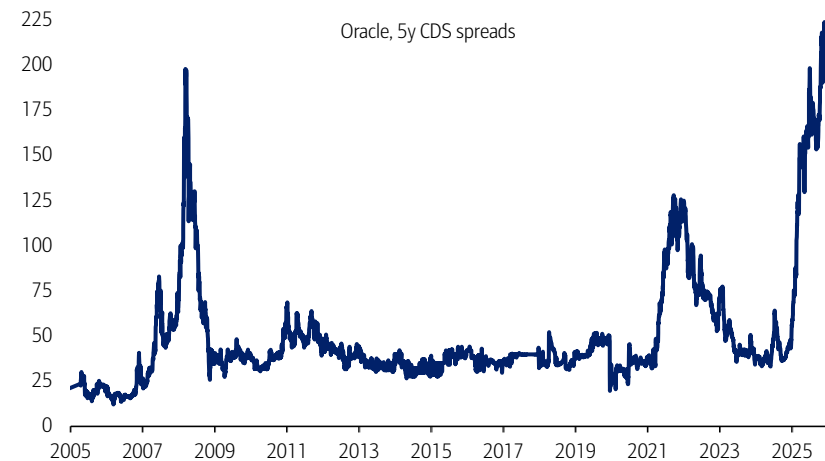


Source: BofA Global Research, NBER, BEA

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Exhibit 34: Oracle's CDS spread has risen above the level seen in 2008

5-year CDS spreads of Oracle

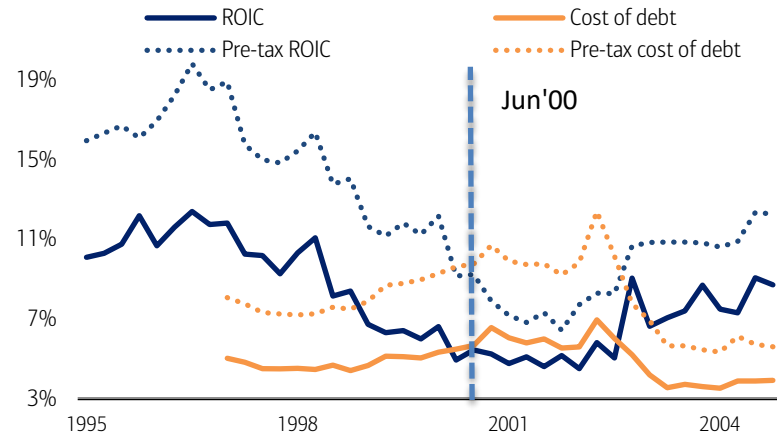


Source: BofA Global Research, Bloomberg

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Exhibit 33: Past cycles also suggest that the capex drive tends to end once the expected return on investment falls below the cost of capital

ROIC dipped below debt costs from '00-'02 destroying investor value

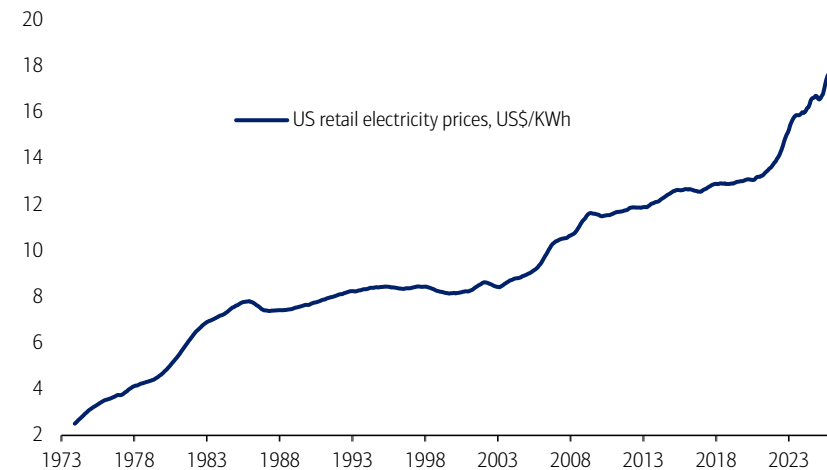


Source: BofA Global Research, Bloomberg

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Exhibit 35: US electricity prices have risen sharply since 2022 to new record highs

US retail electricity prices, US\$/KWh

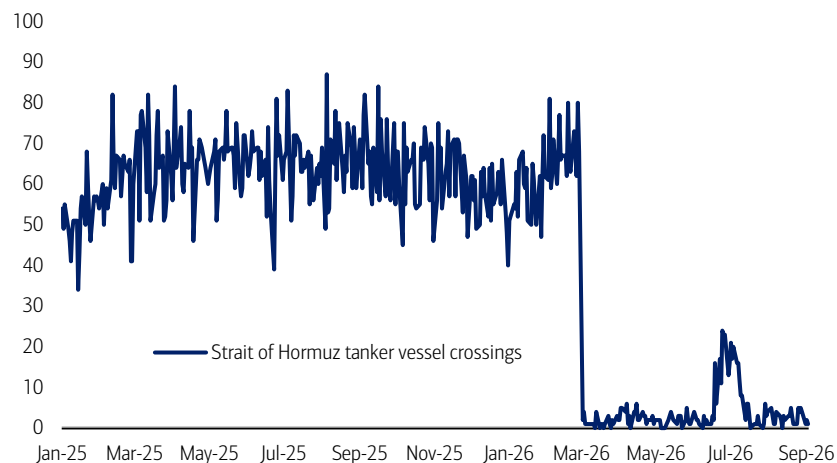


Source: BofA Global Research, Bloomberg

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US-Iran: speedbump or fork in the road?

Exhibit 36: Tanker vessel transits through the Strait of Hormuz have fallen back to effectively zero again, following a pick-up after the signing of the US-Iran Memorandum of Understanding
Strait of Hormuz vessel crossings

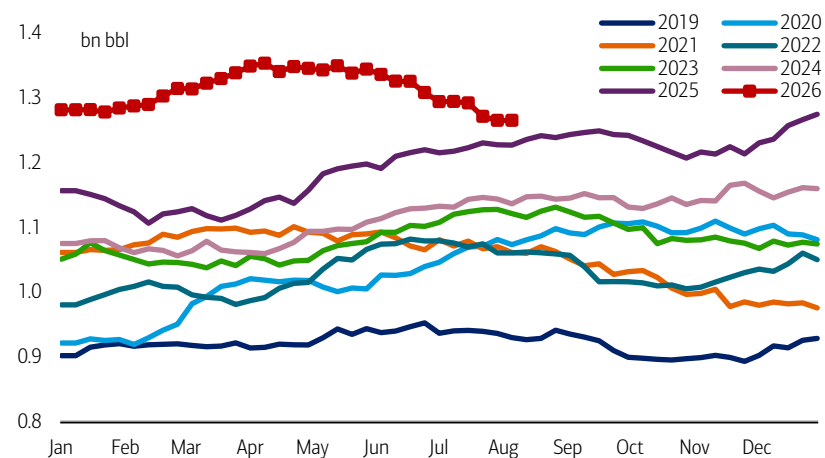


Source: Bloomberg

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Exhibit 38: China has built up a significant amount of crude oil inventories over the years, with satellite data tracking 1.3bn barrels

China observable crude oil inventories, bn bbl

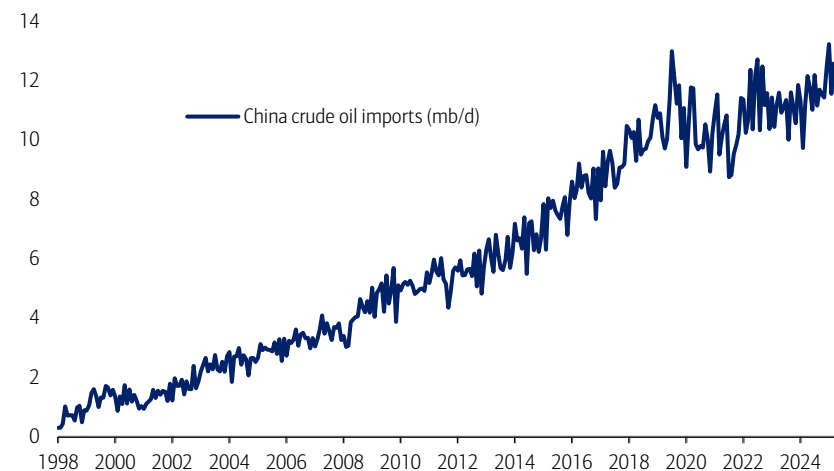


Source: Kayrros

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Exhibit 37: China's crude oil imports fell from 12.6 mb/d in February to a 10-year low of 7.2mb/d in June, before moving higher again in July

China crude oil imports (mb/d)

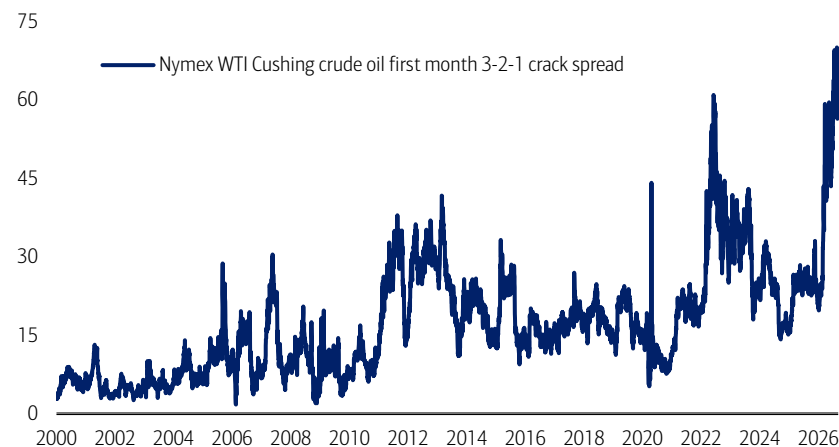


Source: Bloomberg

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Exhibit 39: Refined product cracks have recently hit record levels, reflecting depleted inventories in refined products (such as gasoline, diesel and jet fuel)

Nymex WTI Cushing crude oil first month 3-2-1 crack spread



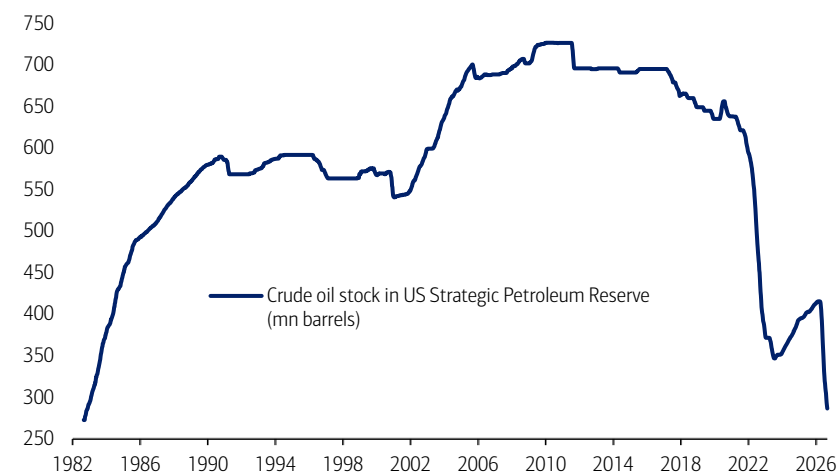
Source: Bloomberg

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US-Iran: speedbump or fork in the road?

Exhibit 40: The decline in the oil price has been supported by significant inventory draws, with the US Strategic Petroleum Reserve (SPR) declining to the lowest level since 1982

Crude oil stock in US Strategic Petroleum Reserve (SPR)

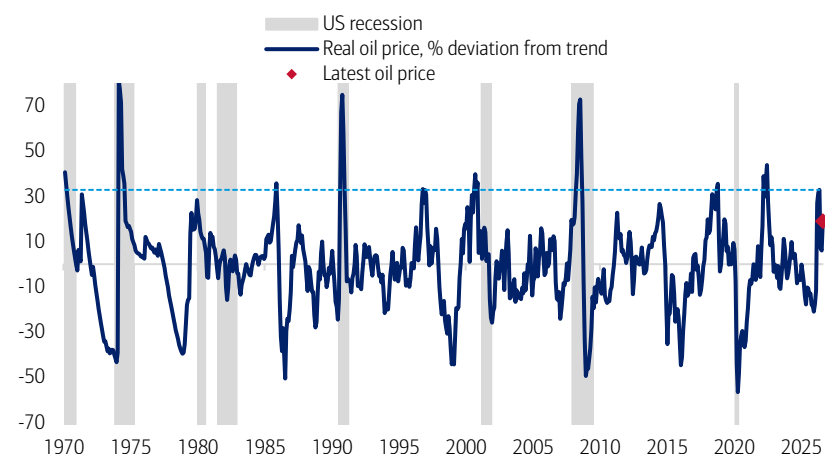


Source: LSEG Data & Analytics

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Exhibit 42: Spikes in the oil price of a magnitude seen at the peak of the Iran war tensions have in the past been associated with the onset of recessions

Oil price in real terms (% deviation from trend)



Source: BofA Global Research, Haver, LSEG Data & Analytics

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Exhibit 41: A global shortage in refined products has lifted crack spreads to a record high, resulting in further pressure on consumers of petroleum-derived products, with average US gasoline prices rising back to \$4.8 per gallon, up from \$4.4 per gallon in July

US gasoline price (\$/gallon)

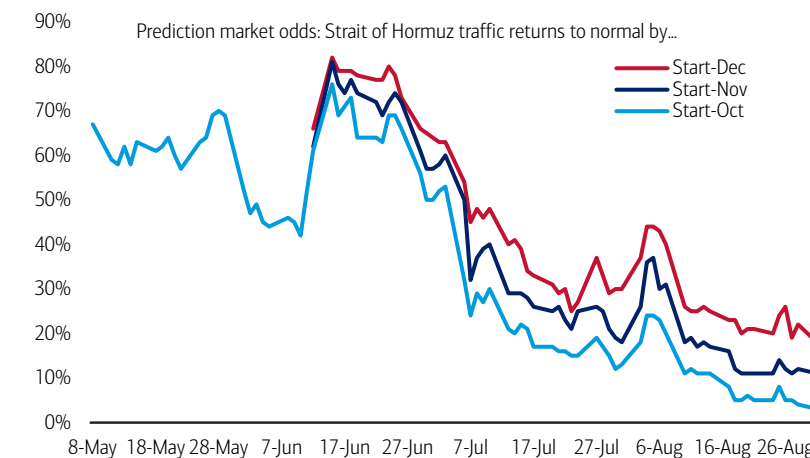


Source: Bloomberg

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Exhibit 43: Prediction markets see only an 18% probability of Strait of Hormuz traffic normalizing by the start of December

Kalshi probability on Strait of Hormuz normalisation



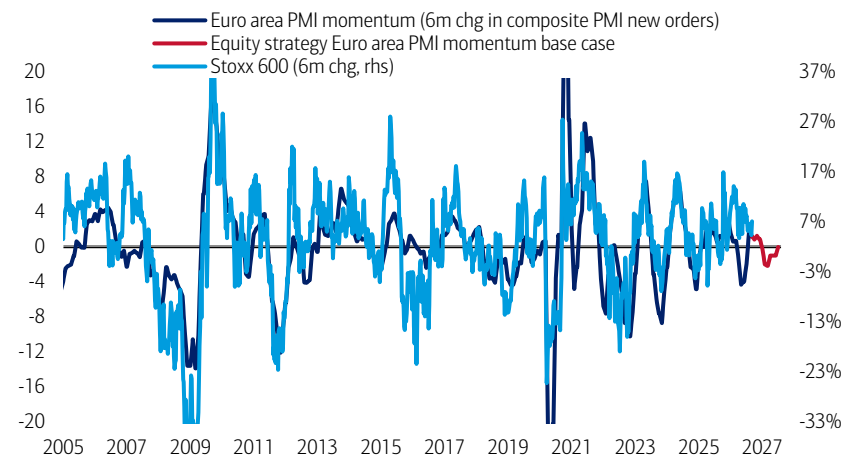
Source: BofA Global Research, Bloomberg

BofA GLOBAL RESEARCH

We see Stoxx 600 downside to 610 by year-end and to 580 by Q2 next year

Exhibit 44: The drag on European equities from weakening Euro area growth momentum is easing

Euro area composite PMI new orders 6-month change vs Stoxx 600 6-month change

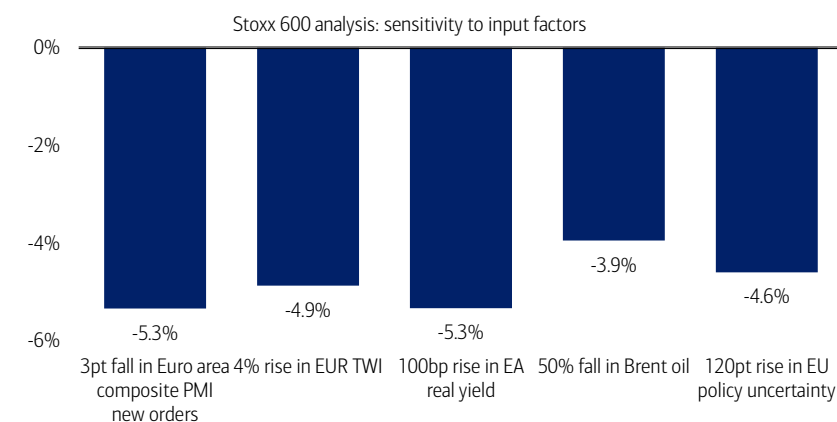


Source: BofA Global Research estimates, Haver, LSEG Data & Analytics

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Exhibit 46: Our analysis suggests that every 3pt decline in the Euro area PMI lowers the macro-implied Stoxx 600 fair-value by ~5%, while every 100bp rise in the real yield lowers it by ~5%

Sensitives of our Stoxx 600 analysis to changes in macro inputs

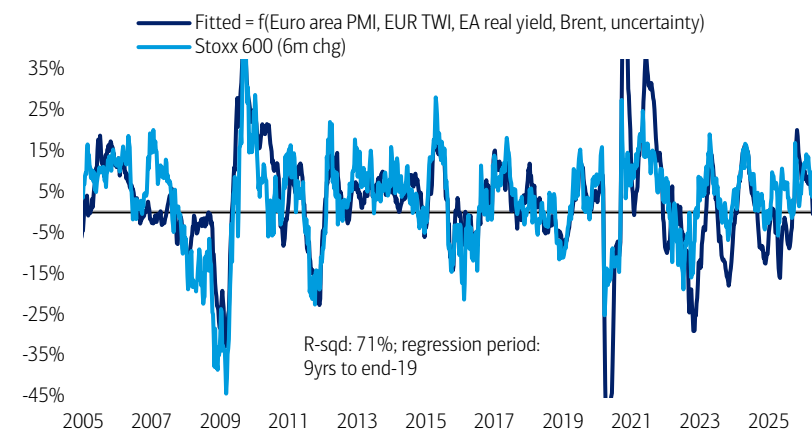


Source: BofA Global Research estimates, Haver, LSEG Data & Analytics

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Exhibit 45: Our Stoxx 600 analysis explains moves in the market as a function of the Euro area PMI, the Euro area real bond yield (i.e. the discount rate), policy uncertainty, the EUR and oil

Stoxx 600 6-month change vs macro-implied

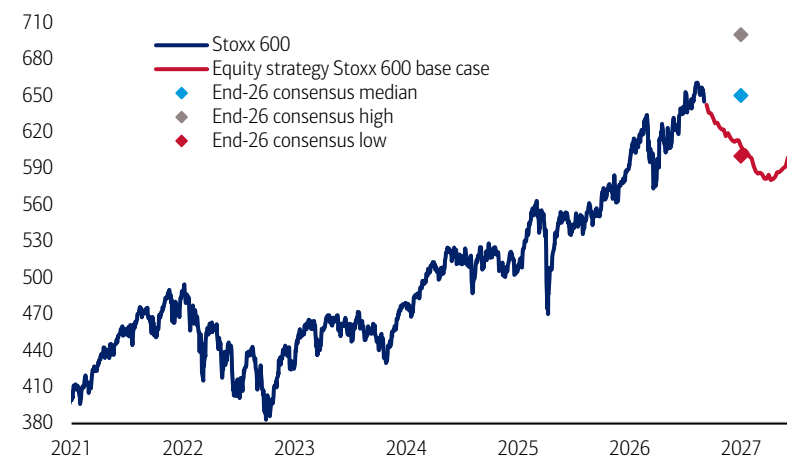


Source: BofA Global Research, LSEG Data & Analytics, Haver, Bloomberg; the fitted line uses sensitivities derived from 2010 to 2019. It represents the analysis output using input factors available at the time and does not reflect any forecast.

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Exhibit 47: We see around 5% downside for the Stoxx 600 by year-end and 10% downside by Q2 next year, driven by rising risk premia and weakening EPS

Stoxx 600 index with BofA EU equity strategy projection



Source: BofA Global Research estimates, LSEG Data & Analytics, Bloomberg

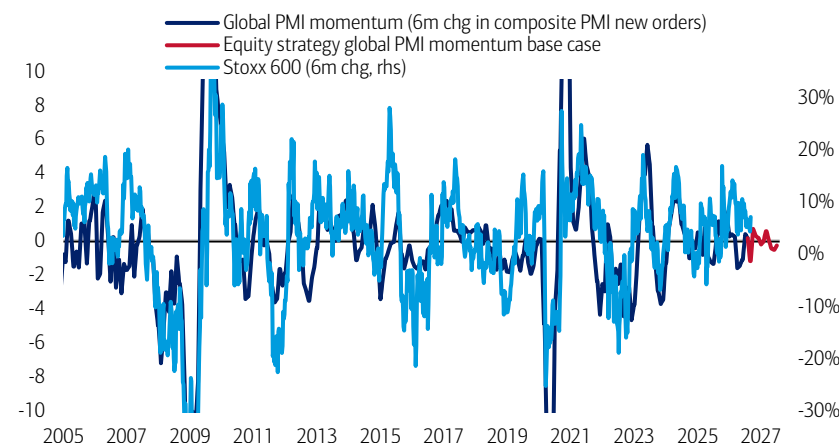
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We see Stoxx 600 downside to 610 by year-end and to 580 by early Q2 next year

Exhibit 48: European equities are pricing upside for the global PMI from its current July level of 52.4

Global composite PMI new orders 6-month change vs Stoxx 600 6-month change

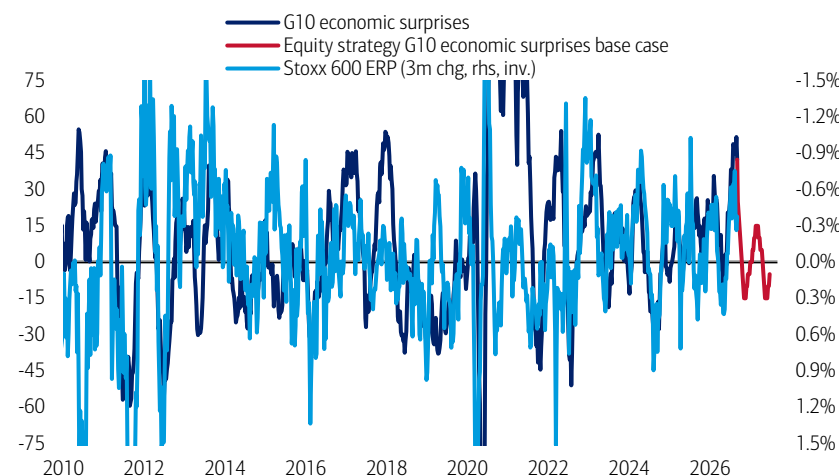


Source: BofA Global Research estimates, Haver, LSEG Data & Analytics

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Exhibit 50: The Stoxx 600 equity risk premium would likely rise if global macro surprises turn negative

Stoxx 600 equity risk premium 3-month change vs global macro surprises

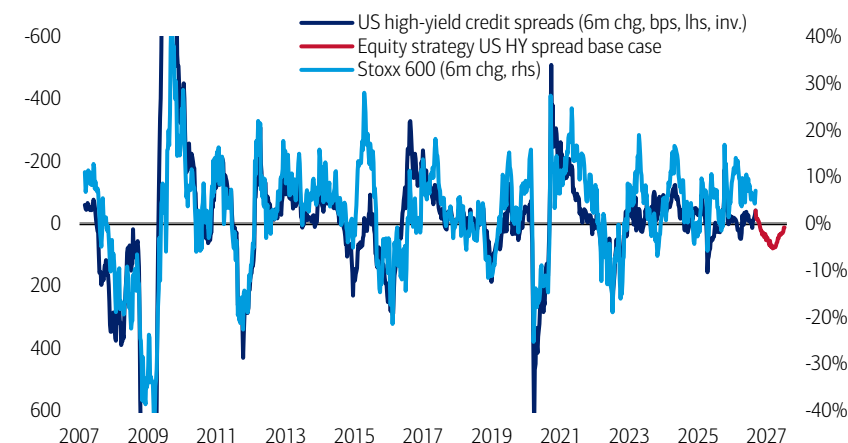


Source: BofA Global Research estimates, LSEG Data & Analytics

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Exhibit 49: We expect renewed upside for US high-yield credit spreads, the best gauge for global risk premia, with widening credit spreads typically associated with equity market downside

US high-yield credit spreads 6-month change vs Stoxx 600 6-month change

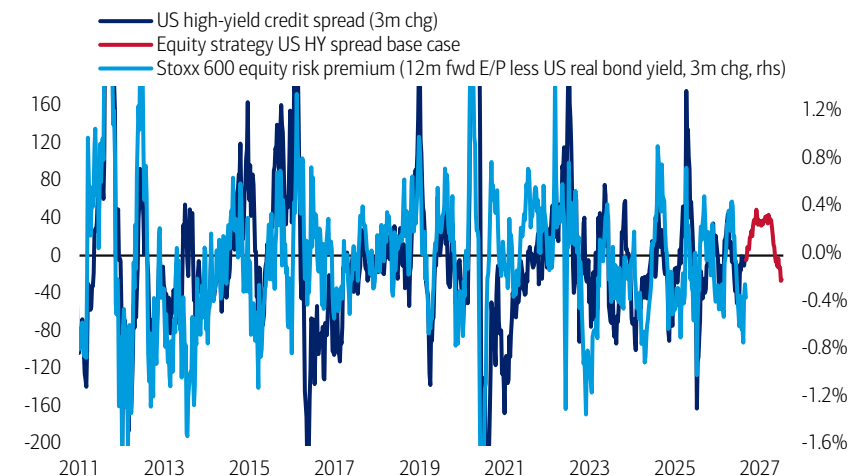


Source: BofA Global Research estimates, LSEG Data & Analytics

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Exhibit 51: We expect renewed upside for US high-yield credit spreads, with a rising Stoxx 600 equity risk premium typically associated with US high-yield spread widening

Stoxx 600 equity risk premium 3-month change vs US high-yield credit spreads 3-month change



Source: BofA Global Research estimates, LSEG Data & Analytics

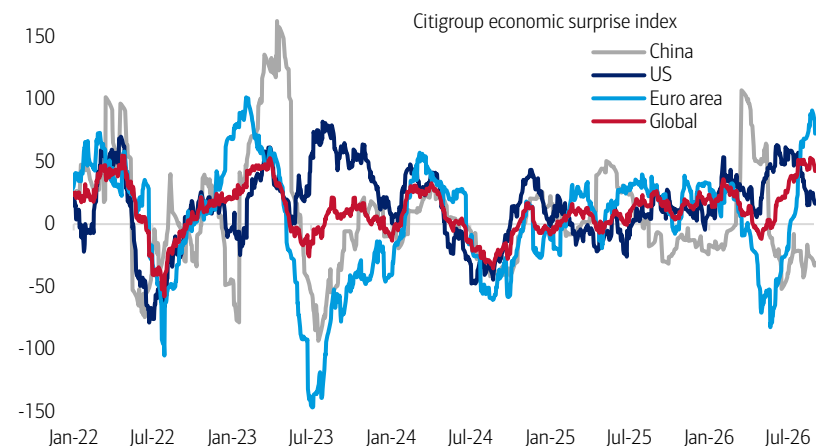
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We remain underweight European relative to global equities

Exhibit 52: Euro area macro surprises turned sharply negative during the Iran war, but have returned to positive, helping push global surprises to around the most positive level since 2023

Global, US, China and Euro area macro surprise indices

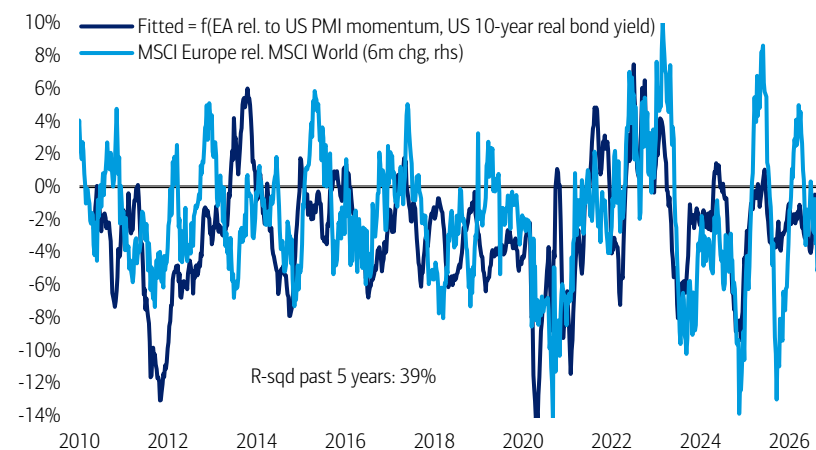


Source: BofA Global Research, LSEG Data & Analytics

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Exhibit 54: The main macro drivers of Europe's relative performance are relative growth momentum and US real yields (given Europe's higher weighting towards value stocks)

MSCI Europe rel. MSCI World 6-month change vs implied from EA rel. US PMI momentum & real yields



Source: BofA Global Research, LSEG Data & Analytics, Bloomberg; the fitted line uses sensitivities derived from 2021 to 2026. It represents the analysis output using input factors available at the time and does not reflect any forecast

BofA GLOBAL RESEARCH

Exhibit 53: We expect European equities to remain at a structural disadvantage from an earnings perspective relative to global equities, while a potential easing in real yields amid an improving inflation backdrop would weigh on Europe's relatively value-oriented index composition

MSCI Europe rel. MSCI World with BofA EU equity strategy projection

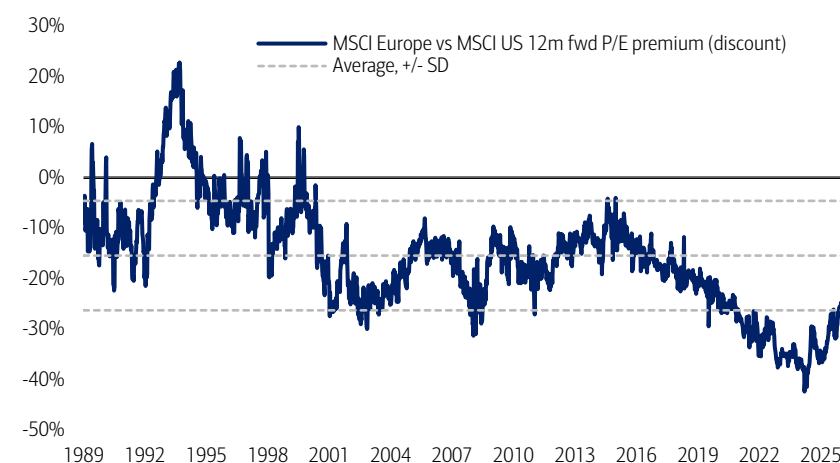


Source: BofA Global Research estimates, LSEG Data & Analytics

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Exhibit 55: Europe's valuation discount relative to the US remains significant, though is nevertheless the most narrow since late 2021

MSCI Europe relative to MSCI US 12-month forward P/E



Source: BofA Global Research, LSEG Data & Analytics

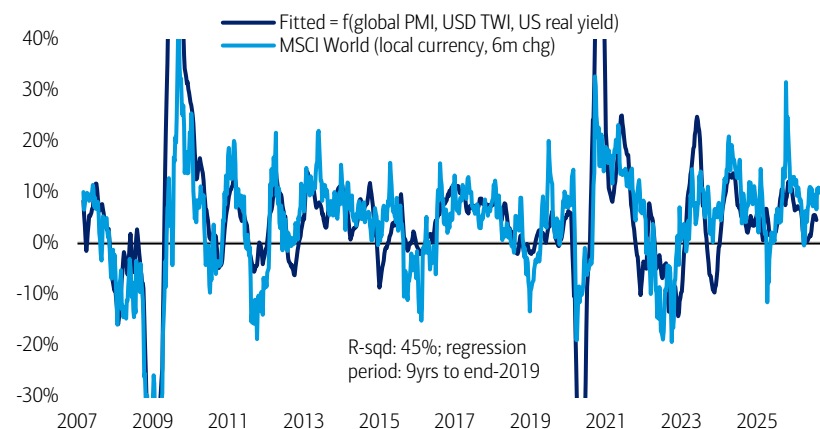
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We remain underweight European relative to global equities

Exhibit 56: Our MSCI World analysis explains moves in the market as a function of the global PMI, the US real bond yield (i.e. the discount rate) and the USD

MSCI World 6-month change vs macro-implied

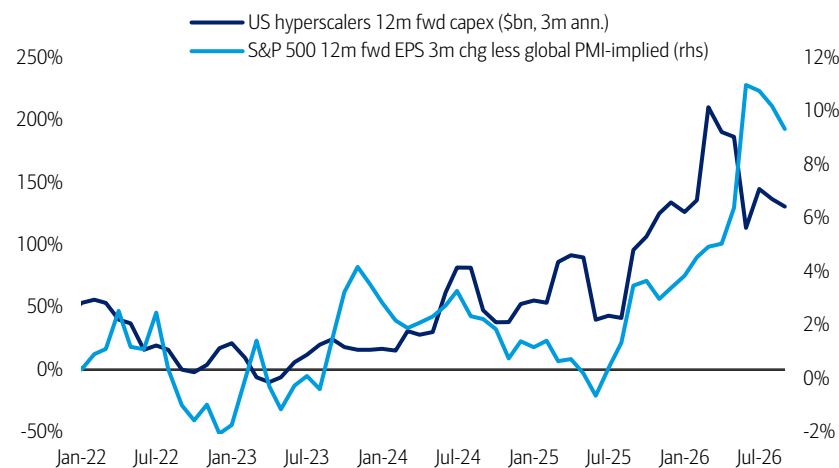


Source: BofA Global Research, LSEG Data & Analytics, Haver, Bloomberg; the fitted line uses sensitivities derived from 2010 to 2019. It represents the analysis output using input factors available at the time and does not reflect any forecast.

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Exhibit 58: The significant strength in S&P 500 12-month forward EPS momentum in recent years comes alongside the sharp acceleration in US hyperscaler capex expectations

Actual less global PMI-implied S&P 500 12m fwd EPS 3m chg vs US hyperscaler 12m fwd capex 3m chg

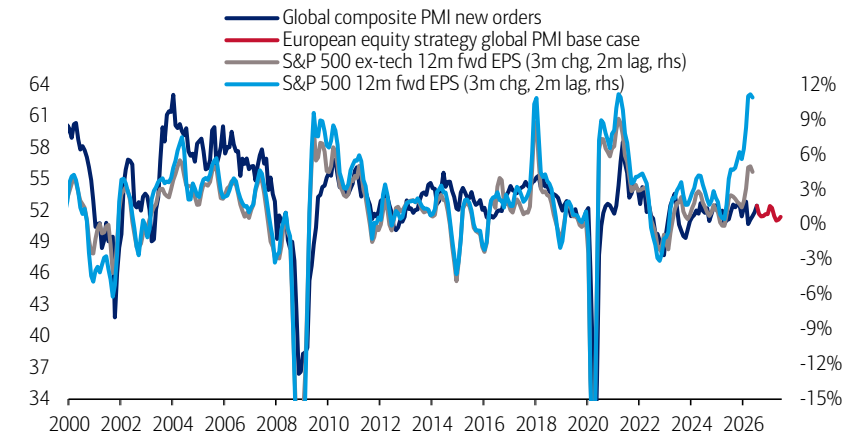


Source: BofA Global Research estimates, LSEG Data & Analytics

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Exhibit 57: S&P 500 12-month forward EPS momentum has been persistently overshooting the global PMI since the second half of 2023, mainly driven by the tech sector

S&P 500 12-month forward EPS 3-month change vs global composite PMI new orders

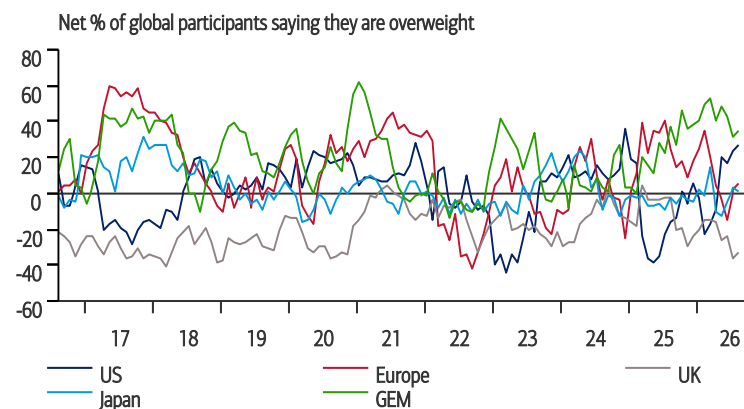


Source: BofA Global Research estimates, Haver, LSEG Data & Analytics

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Exhibit 59: A net 6% of global investors report being overweight European equities in a global allocation context, while a net 33% report being underweight UK equities

How overweight or underweight do you consider your position to be relative to your internal benchmark?



Source: BofA Global Fund Manager Survey

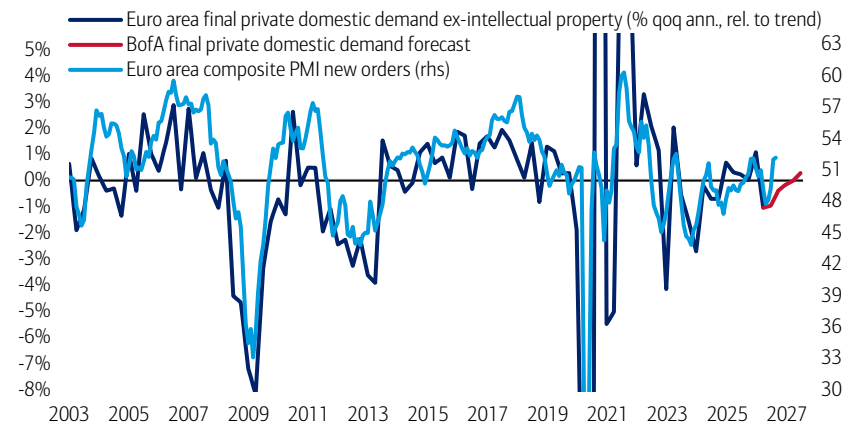
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Global growth has remained resilient so far, despite a number of policy shocks

Exhibit 60: Moves in the Euro area PMI have been well related to moves in Euro area final private domestic demand growth in recent years

Euro area final private domestic demand ex-IP growth (qoq ann.) vs Euro area composite PMI new orders

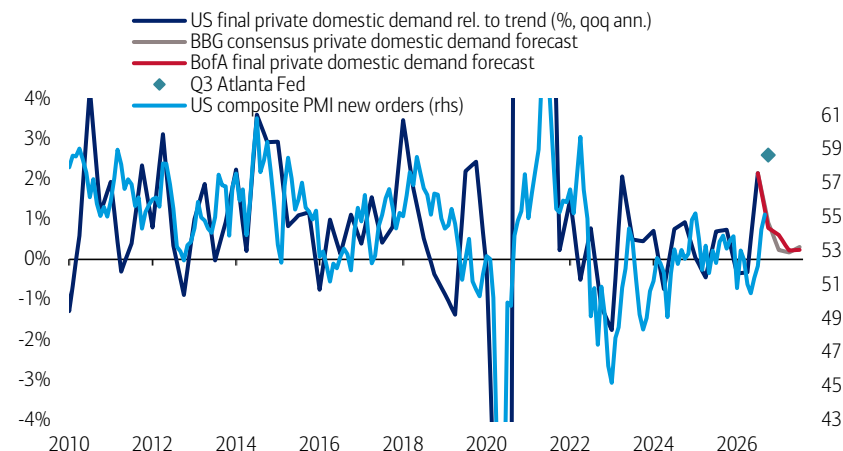


Source: BofA Global Research estimates, Haver

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Exhibit 62: Our economists expect solid US final private demand (i.e. consumption and fixed investment) growth, implying solid levels for the US PMI

US composite PMI new orders vs US final private demand qoq ann. growth



Source: BofA Global Research estimates, Haver, Bloomberg

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Exhibit 61: We expect the China manufacturing PMI to remain around the current level over the coming months

China manufacturing and composite PMI new orders



Source: BofA Global Research estimates, Haver

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Exhibit 63: The global PMI dropped by 2.1 points in March, the sharpest monthly decline since 2021, followed by a 1.7-point recovery through to July to 52.4

Global composite PMI new orders vs global GDP qoq ann. growth



Source: BofA Global Research estimates, Haver. *Global = US, China, Euro area, Japan, Indonesia, Brazil, UK, Mexico, Türkiye, Republic of Korea, Canada, Thailand

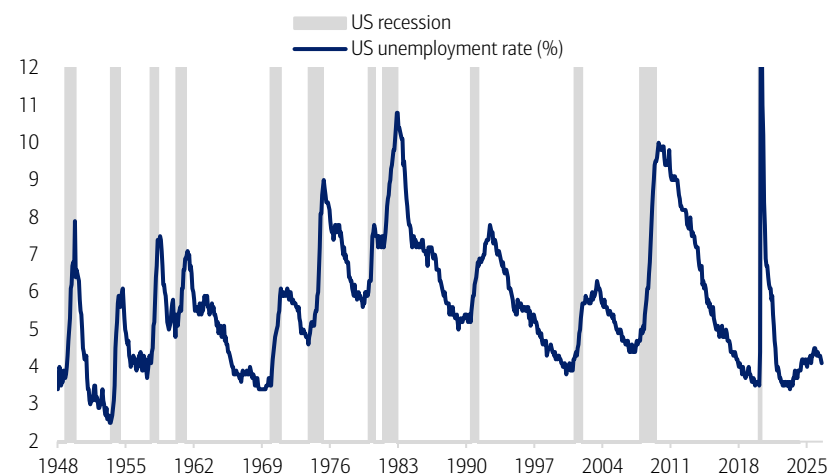
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US growth momentum has remained robust despite the energy shock

Exhibit 64: The US unemployment rate has risen from multi-decade lows in 2023

US unemployment rate

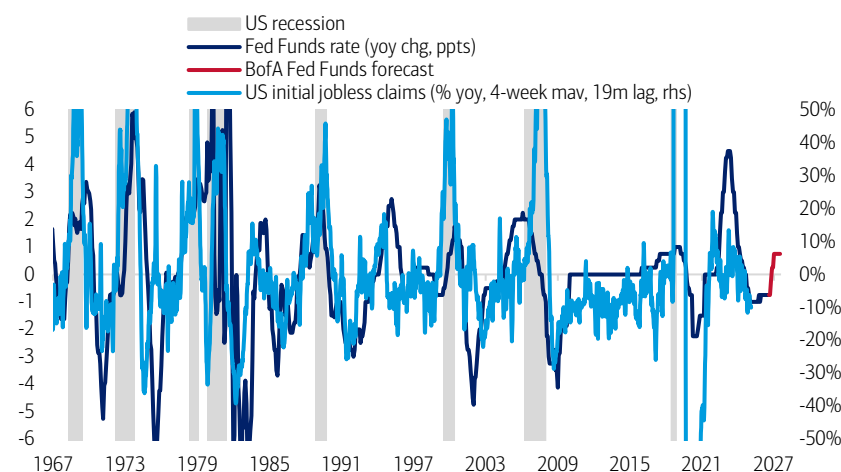


Source: BofA Global Research, Haver

BofA GLOBAL RESEARCH

Exhibit 66: US initial jobless claims have sharply undershot the trajectory implied by the lagged impact of monetary policy tightening in this tightening cycle

Fed Funds rate year-on-year change vs US initial jobless claims year-on-year change

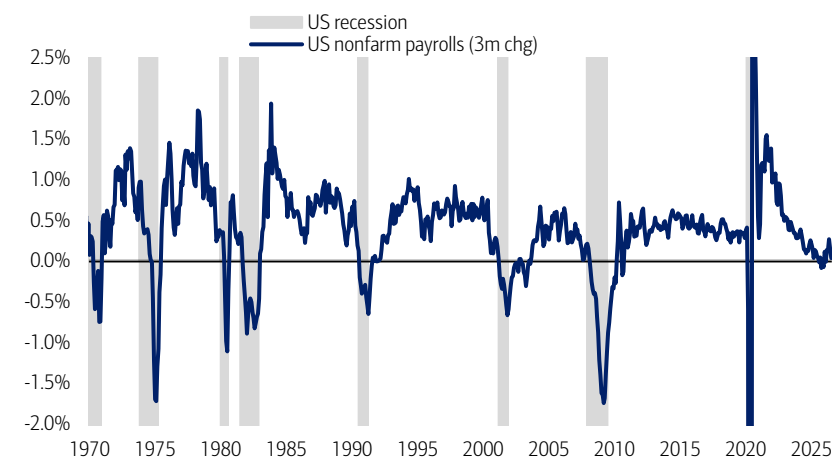


Source: BofA Global Research estimates, Haver

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Exhibit 65: Three-month US payroll growth has slowed again after strengthening earlier in the year

US nonfarm payrolls three-month change

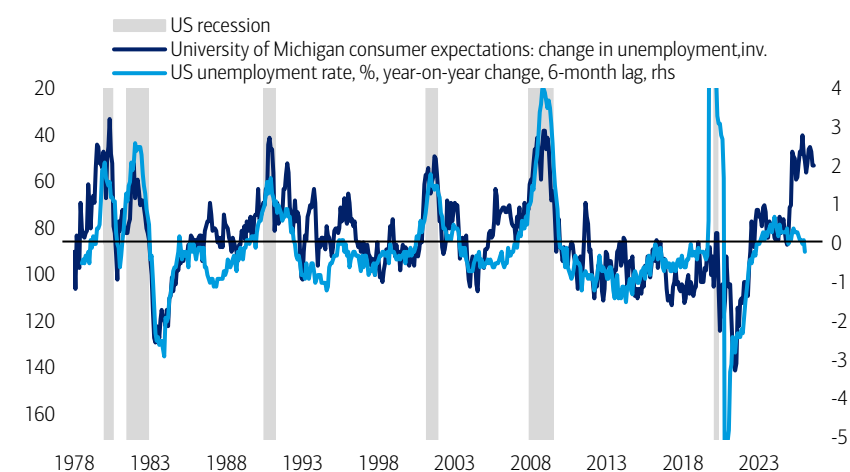


Source: BofA Global Research, Haver

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Exhibit 67: Consumer labour market expectations in the University of Michigan survey, which tend to lead the US unemployment rate, have deteriorated sharply

UofM survey unemployment expectations vs year-on-year change in US unemployment rate



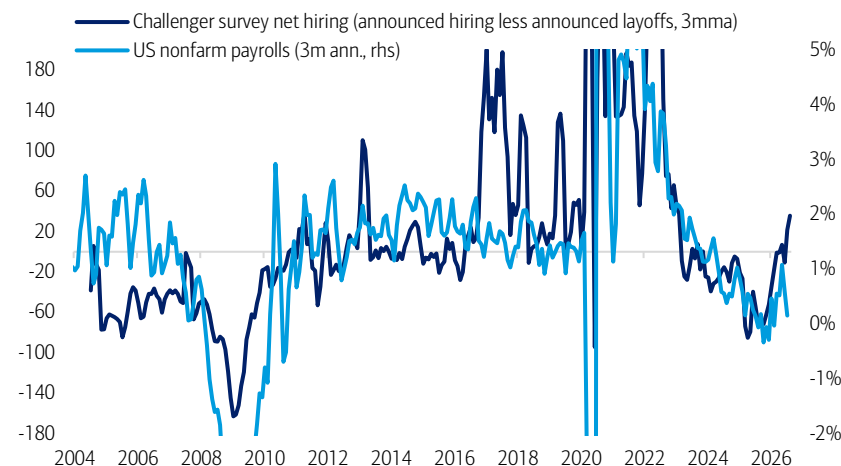
Source: BofA Global Research, Haver

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US growth momentum has remained robust despite the energy shock

Exhibit 68: The Challenger US jobs survey is showing continued improvement in net hiring, consistent with stronger private jobs growth

US net hiring relative to net layoffs vs US private payrolls 3-month ann. growth

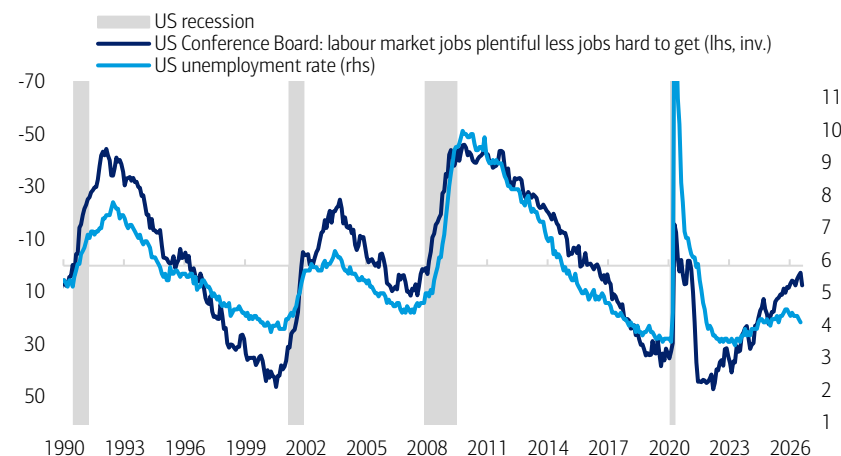


Source: BofA Global Research, Haver

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Exhibit 70: The jobs plentiful less jobs hard to get index from the Conference Board survey, a gauge of current labour market sentiment, points to upside risk for the unemployment rate

US Conference Board survey jobs plentiful less jobs hard to get vs US unemployment rate

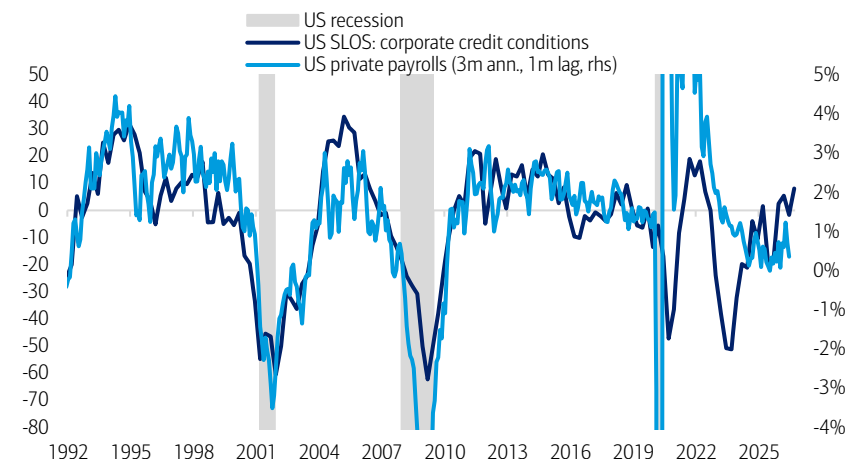


Source: BofA Global Research, Haver

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Exhibit 69: The US Senior Loan Officer Survey shows a marginal tightening in corporate credit conditions, consistent with re-acceleration for private jobs growth

US corporate credit conditions vs US private payrolls 3-month ann. growth

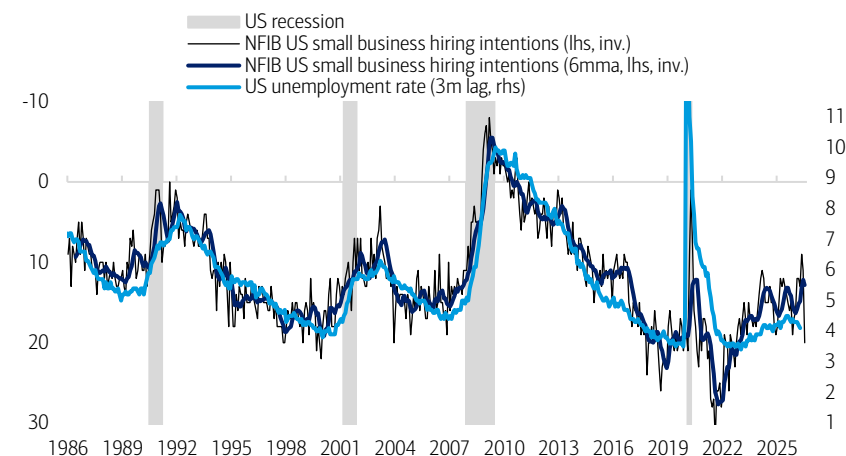


Source: BofA Global Research, Haver

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Exhibit 71: US small businesses' hiring intentions jumped to the strongest level since 2022 in July

NFIB small business survey hiring intentions vs US unemployment rate



Source: BofA Global Research, Haver

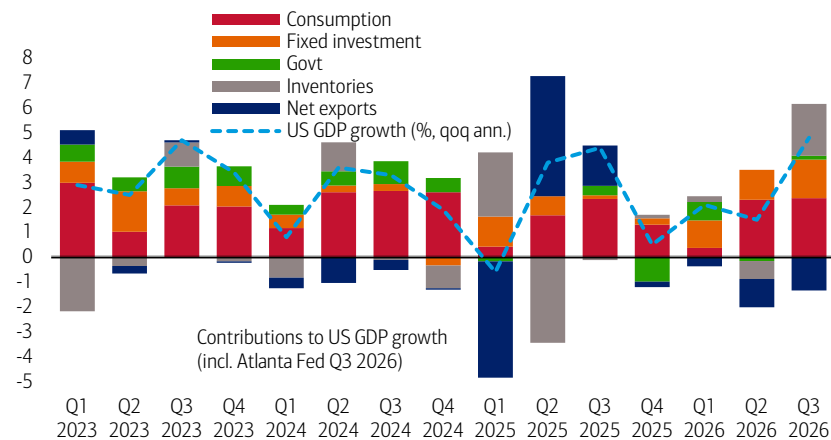
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US growth momentum has remained robust despite the energy shock

Exhibit 72: US final private domestic demand (consumption & investment) growth accelerated to a three-year high in Q2, driven primarily by consumption, with the Atlanta Fed pointing to a further strengthening in Q3

Contributions to US GDP growth including Q3 2026 Atlanta Fed tracking

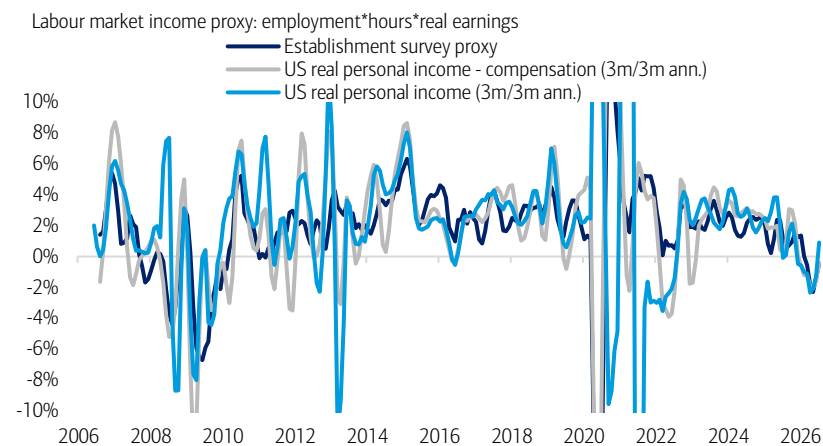


Source: BofA Global Research, Haver

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Exhibit 74: 3-month / 3-month annualized US real labour income growth has started to reaccelerate

US labour market income proxy vs US real personal income 3-month / 3-month ann. growth

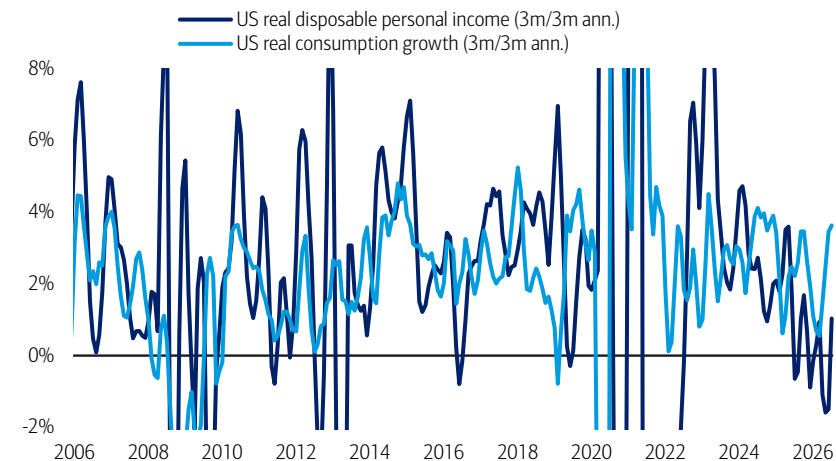


Source: BofA Global Research, Haver

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Exhibit 73: Tax rebates, the drawdown of savings and the spike in borrowing have led to resilient US consumption growth in recent months, despite the sharp slowdown in real income growth

US real disposable personal income growth vs US real consumption growth (3m/3m ann.)

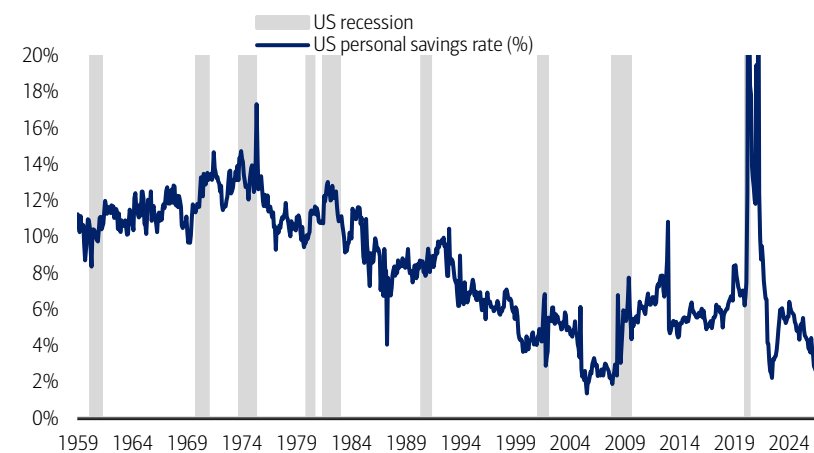


Source: BofA Global Research, Haver

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Exhibit 75: The decline in the US consumer savings rate over the past two years has been a key support for consumption growth

US consumer savings rate (%)



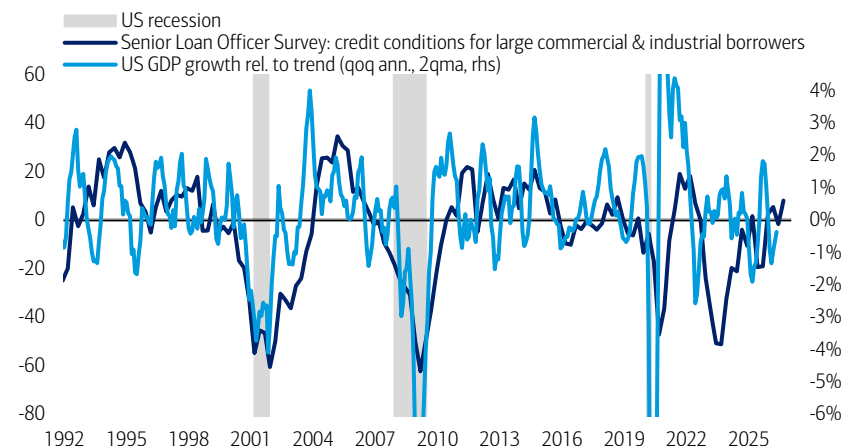
Source: BofA Global Research, Haver

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US growth momentum has remained robust despite the energy shock

Exhibit 76: The latest US Senior Loan Officer Survey (SLOS) showed the largest easing of corporate credit conditions since early 2022, consistent with growth running above trend

US corporate credit conditions vs US GDP qoq ann., 2qma, growth

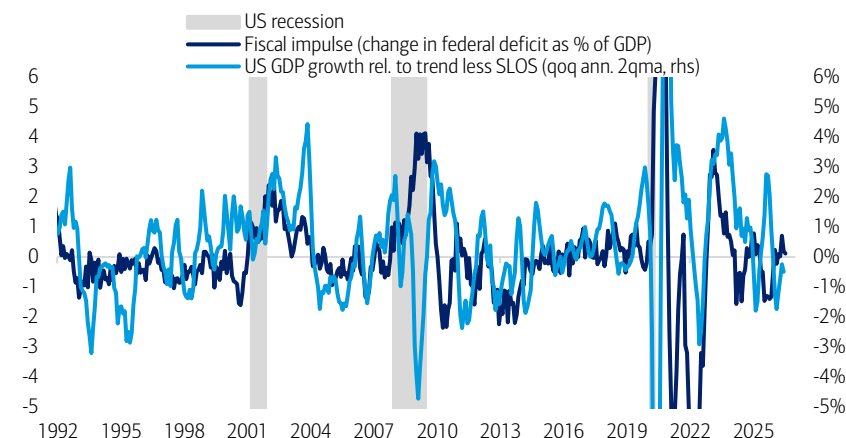


Source: BofA Global Research, Haver

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Exhibit 77: The US fiscal impulse, measured as the change in the federal budget deficit, is likely to be peaking

US GDP qoq ann., 2qma, growth less SLOS-implied vs US fiscal impulse

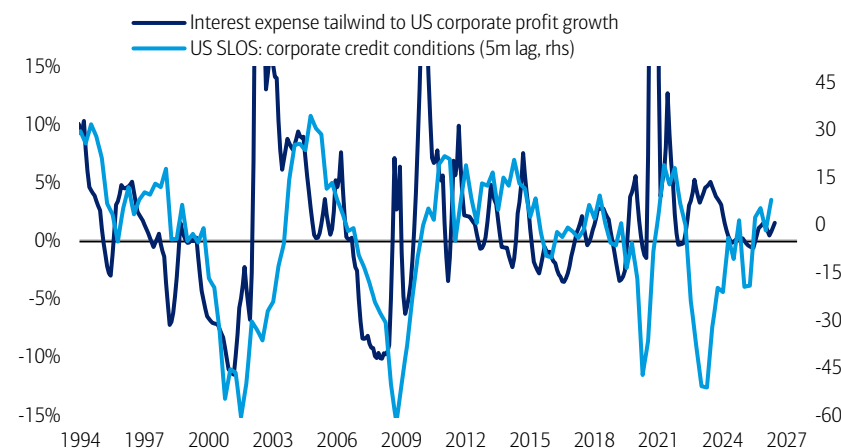


Source: BofA Global Research, Haver. NB. Fiscal impulse calculated as 2qma of 6m chg in 6mma federal deficit, adjusted for student loans

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Exhibit 78: The decline in net interest expense for US corporates has flattened out, while credit conditions have started to ease again

US corporate net interest expense tailwind to profit growth vs US corporate credit conditions

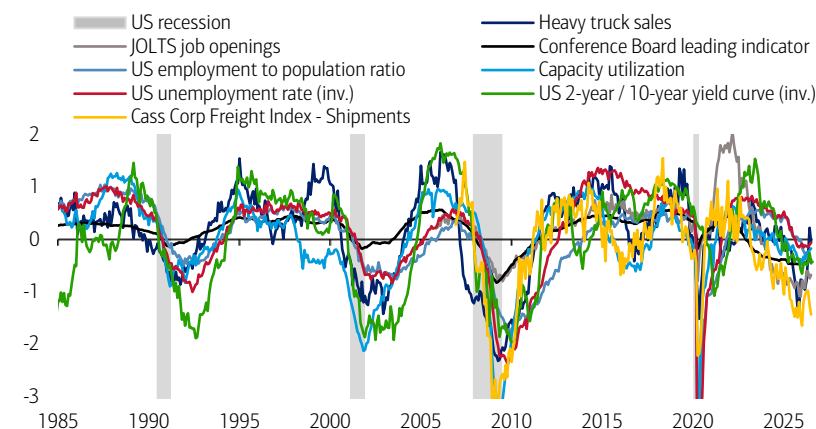


Source: BofA Global Research, Haver

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Exhibit 79: A number of cyclical indicators for the US economy were rolling over from their post-Covid highs – but have recently started to show signs of stabilization again

US job openings, unemployment rate, yield curve, employment-to-population, heavy truck sales, capacity utilization, Conference Board leading indicator and freight shipments (current vs 5-year average z-score)



Source: BofA Global Research, Haver

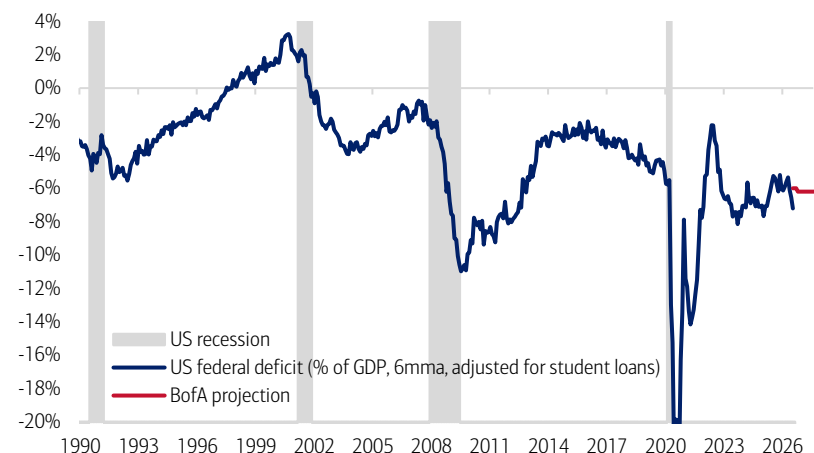
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US growth momentum has remained robust despite the energy shock

Exhibit 80: The US federal budget deficit has widened from 5.3% of GDP late last year to 7.2% currently, with our economists projecting a fiscal year (FY) 2026 deficit of 6%

US federal deficit 6-month average (% of GDP)

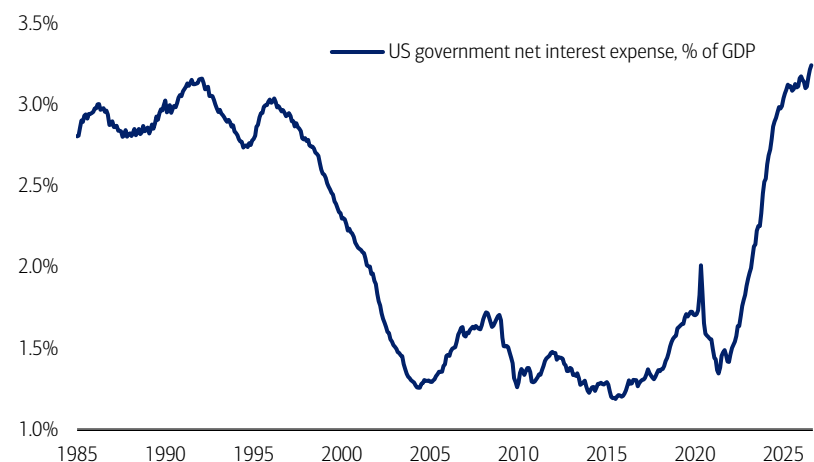


Source: BofA Global Research estimates, Haver

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Exhibit 82: The net interest expense for the US government has risen to 3.2%, the highest level in decades

US government net interest expense (% of GDP)

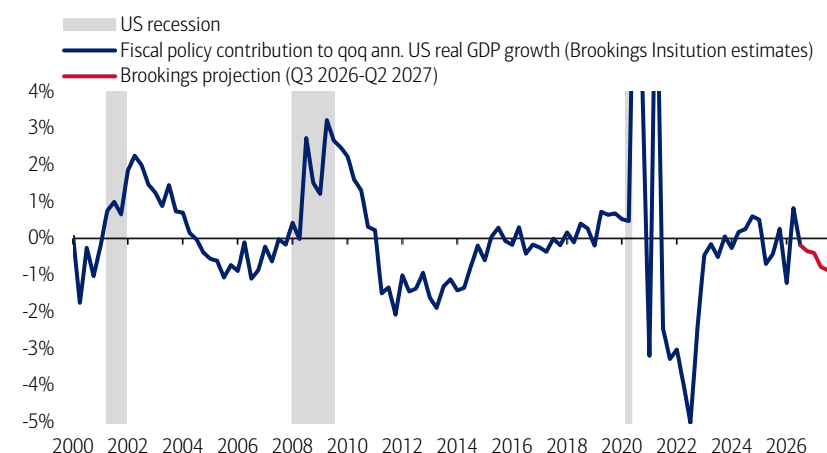


Source: BofA Global Research

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Exhibit 81: Q1 saw a significant degree of fiscal support for growth, but this is set to reverse over the coming quarters

Brookings estimate of fiscal policy contribution to qoq ann. US real GDP growth

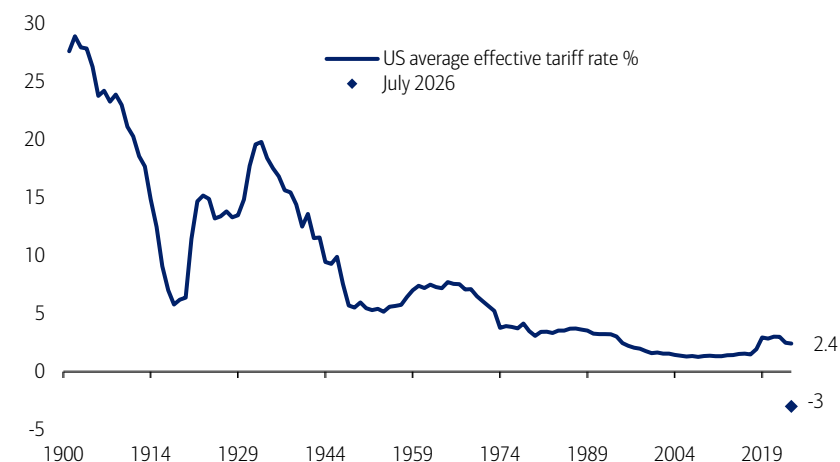


Source: BofA Global Research, Haver

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Exhibit 83: The US effective tariff rate, i.e. customs duties as % of imports, has dropped to -3% in July, with tariff refunds outpacing tariff payments

US average effective tariff rate (%)



Source: BofA Global Research estimates; Yale University Budget Lab

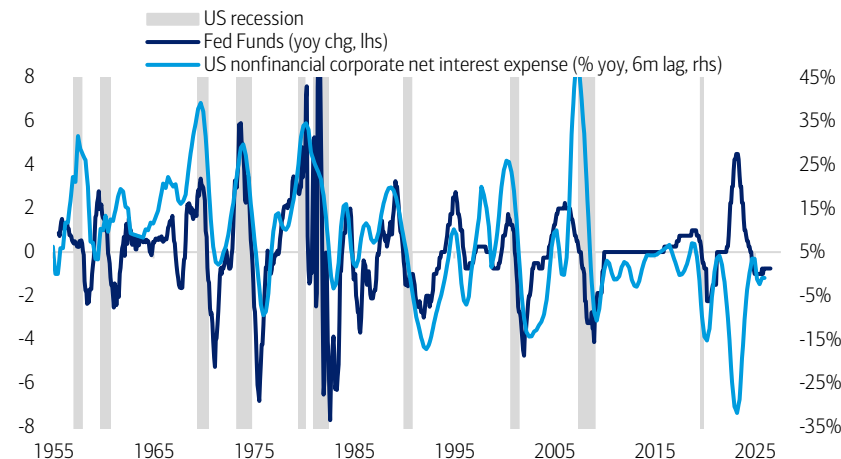
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US growth momentum has remained robust despite the energy shock

Exhibit 84: A key feature of this tightening cycle has been that US corporate's net interest expense has seen a sharp decline in response to Fed tightening, rather than an increase

Fed Funds rate year-on-year change vs US corporate net interest expense year-on-year change

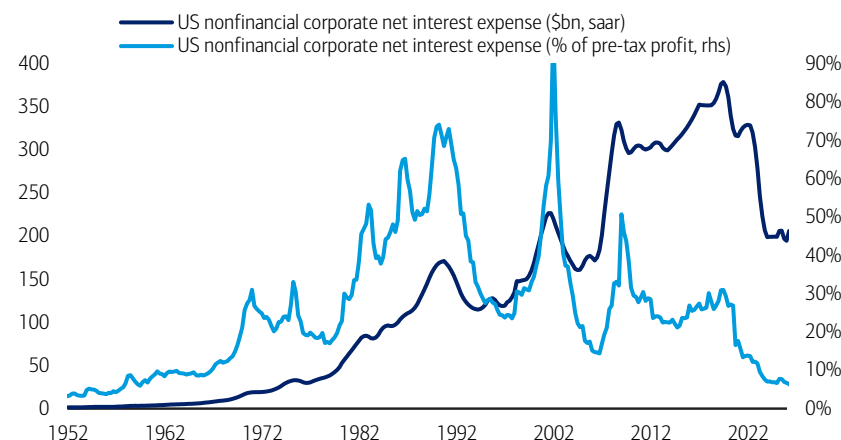


Source: BofA Global Research, Haver

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Exhibit 86: The US corporate net interest expense has begun to flatten out, after dropping since 2019 even though the Fed Funds rate was raised significantly during the period

US corporate net interest expense (\$bn ann. and % of pre-tax profit)

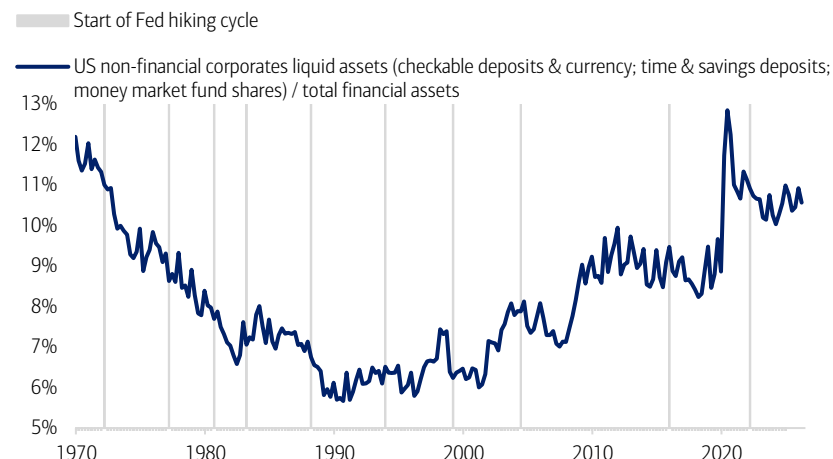


Source: BofA Global Research, Haver

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Exhibit 85: US corporates have historically elevated levels of liquid financial assets, allowing their interest income to see an unusual degree of benefit from this monetary tightening cycle

US corporate liquid assets relative to total financial assets

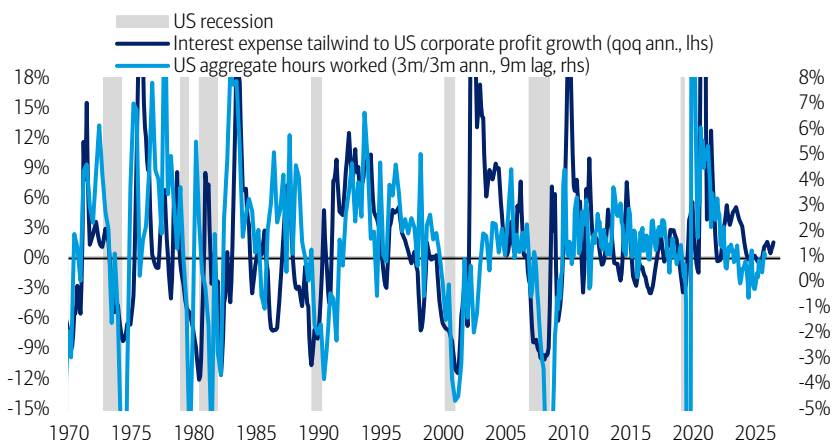


Source: BofA Global Research, Haver

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Exhibit 87: The lack of a headwind for US corporate profit growth from rising interest rates in this tightening cycle helps explain US corporate spending resilience, including that on labour

US corporate net interest expense tailwind to profit growth vs aggregate hours worked growth



Source: BofA Global Research, Haver

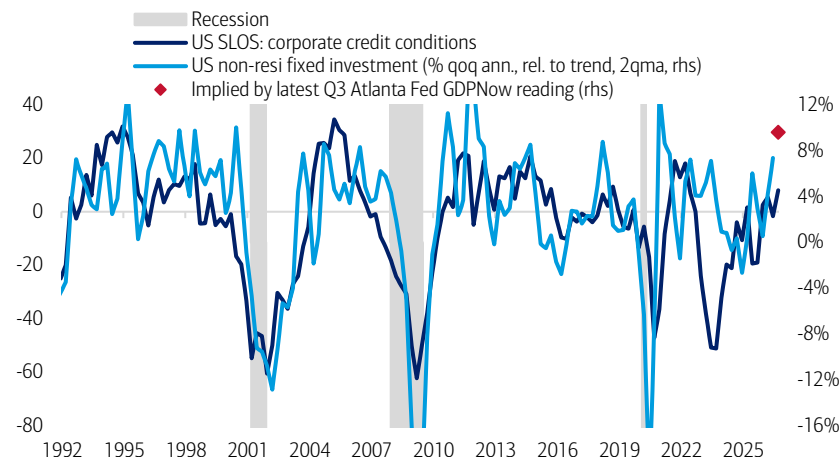
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US growth momentum has remained robust despite the energy shock

Exhibit 88: US non-residential investment growth has started to strongly overshoot the level suggested by US corporate credit conditions

US corporate credit conditions vs US non-residential fixed investment qoq ann., 2qma, growth

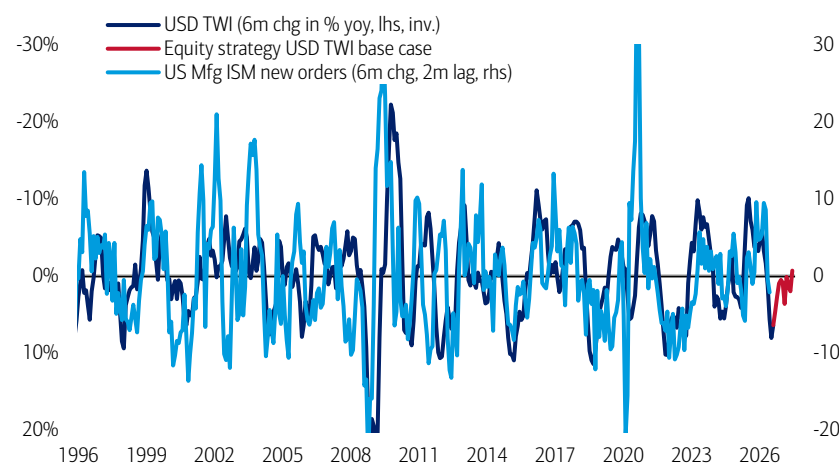


Source: BofA Global Research, Haver

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Exhibit 90: The strengthening in the USD in recent months points to risk of a loss of growth momentum in US manufacturing

US manufacturing ISM new orders 6-month change vs USD trade-weighted index

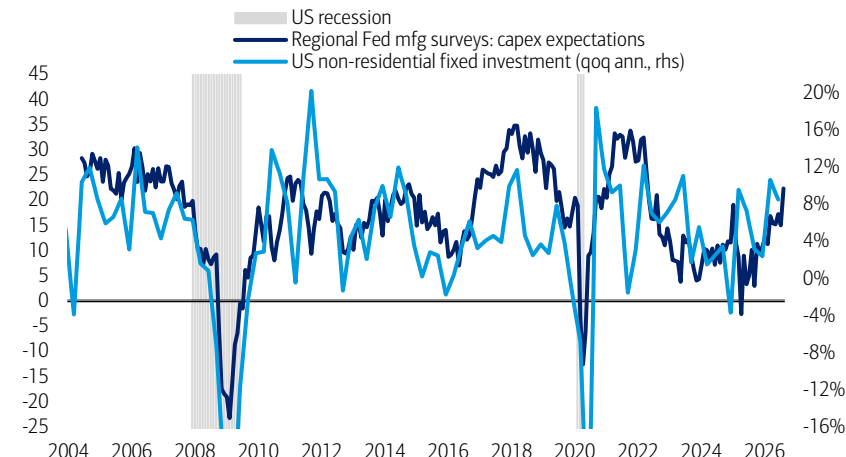


Source: BofA Global Research estimates, Haver

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Exhibit 89: The capex expectations indices from the Fed's regional manufacturing surveys suggest the run-rate of US non-residential fixed investment growth should remain strong

Regional Fed mfg surveys capex expectations vs US non-residential fixed investment qoq ann. growth

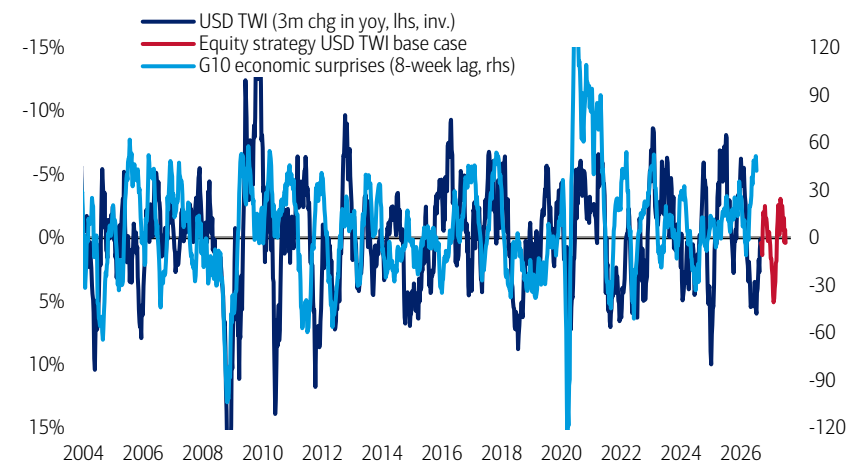


Source: BofA Global Research, Haver

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Exhibit 91: Moves in the USD point to scope for a pull-back in the level of global macro surprises

Global macro surprises vs the USD trade-weighted index



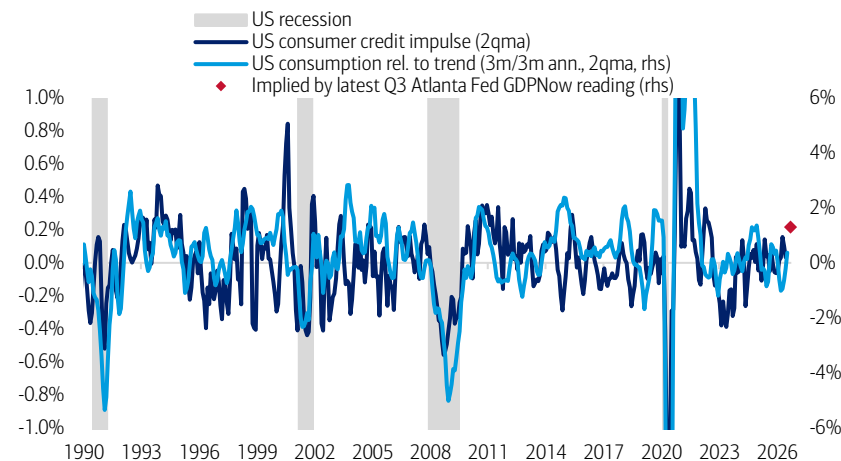
Source: BofA Global Research estimates, Haver, LSEG Data & Analytics

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US growth momentum has remained robust despite the energy shock

Exhibit 92: The US consumer credit impulse remains around neutral, consistent with a neutral impact for consumption growth

US consumption 3-month / 3-month ann., 2qma, growth vs US consumer credit impulse

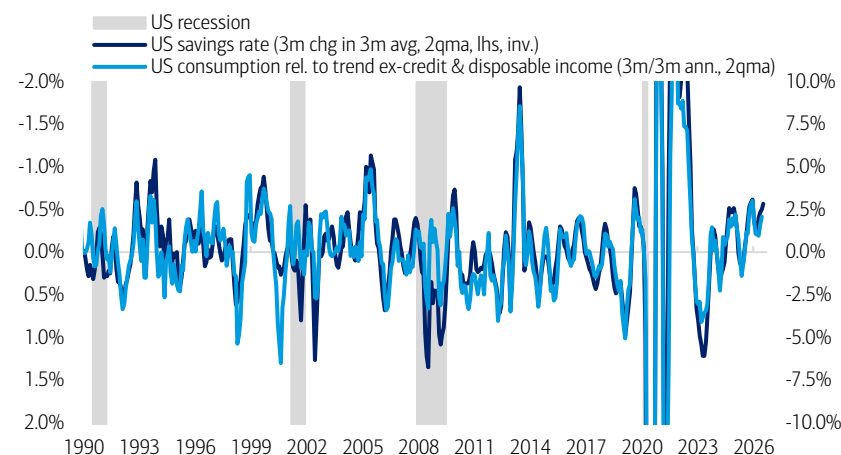


Source: BofA Global Research, Haver

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Exhibit 94: Over- / undershoots in consumption growth relative to the credit impulse & income growth are explained by changes in the savings ratio

US consumption growth less credit impulse & disposable income-implied vs savings rate

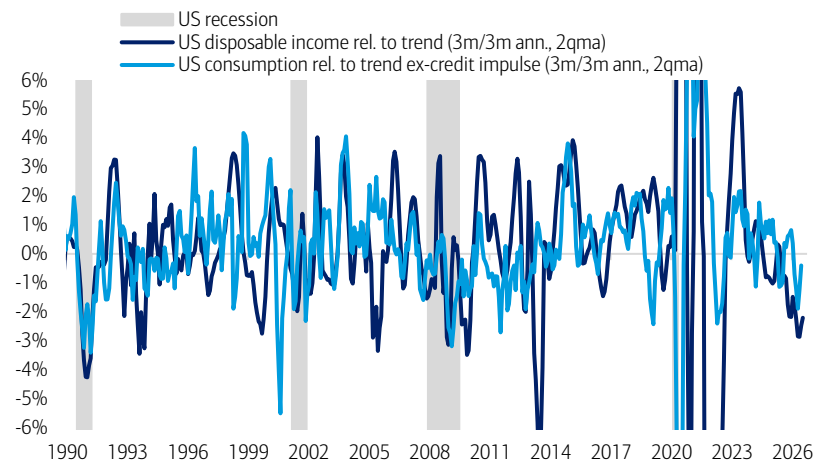


Source: BofA Global Research, Haver

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Exhibit 93: The over- / undershoots in consumption relative to the credit impulse are largely explained by consumers' disposable income growth

US consumption growth less credit impulse-implied vs disposable income growth

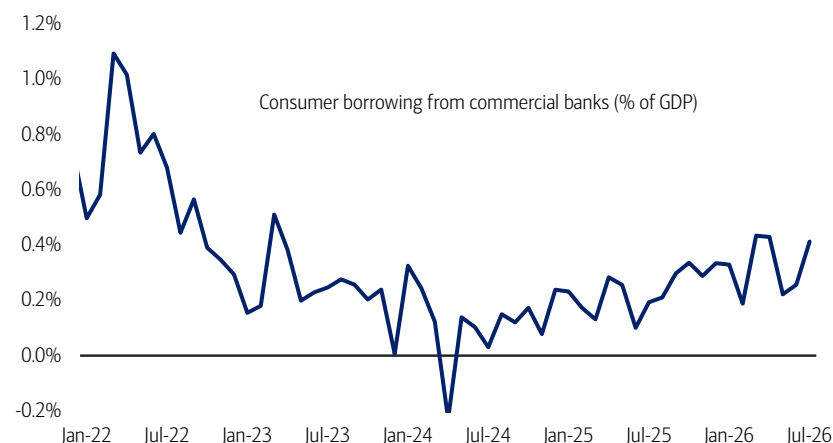


Source: BofA Global Research, Haver

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Exhibit 95: US consumer bank borrowing strengthened again in July, after two months of softness as payback from higher borrowing during the energy spike earlier in the year

Monthly change in consumer borrowing from commercial banks (% of GDP)



Source: BofA Global Research, Haver

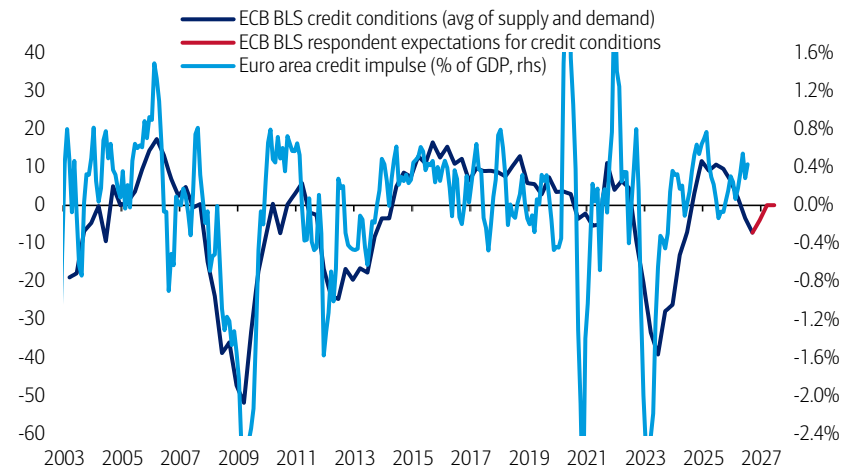
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Euro area macro data is improving again

Exhibit 96: Euro area credit conditions imply scope for further downside for the Euro area credit impulse

Euro area credit impulse vs ECB Bank Lending Survey Euro area credit conditions

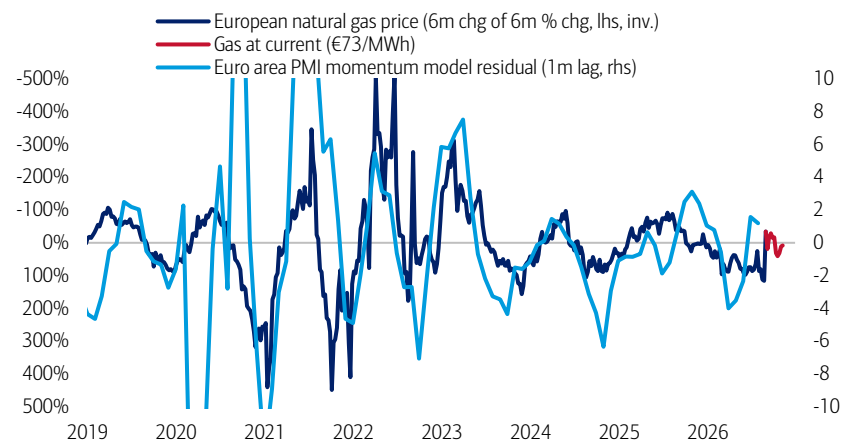


Source: BofA Global Research, Haver

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Exhibit 98: The headwind for Euro area PMI momentum from higher European natural gas prices is set to ease over the coming months, even with the recent increase in gas prices

European natural gas prices vs actual relative to model-implied Euro area PMI new orders

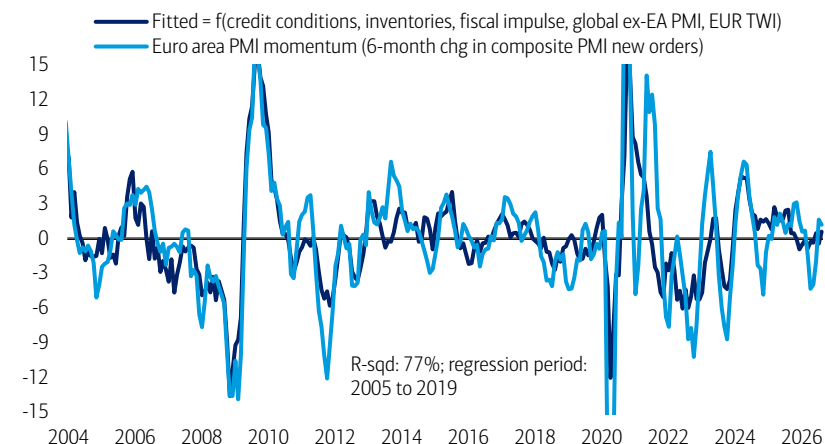


Source: BofA Global Research estimates, Haver, LSEG Data & Analytics

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Exhibit 97: Our Euro area PMI analysis is based on credit conditions, the inventory cycle, the EUR TWI, the fiscal impulse and external growth

Euro area composite PMI new orders 6-month change vs macro drivers

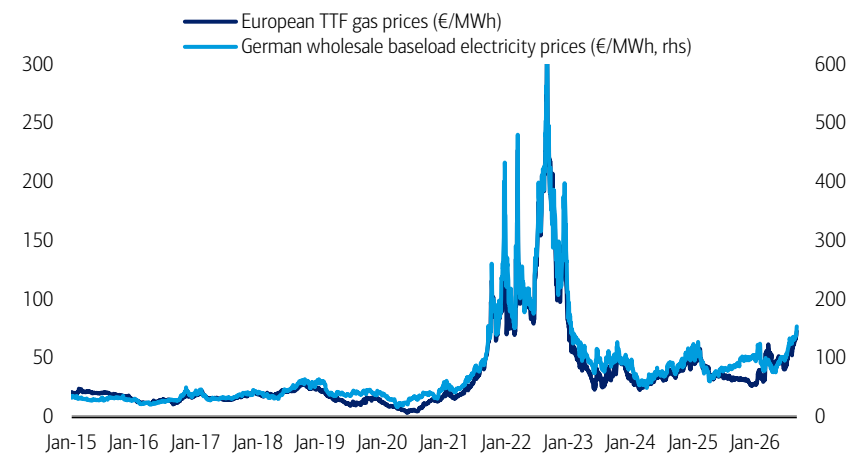


Source: BofA Global Research, LSEG Data & Analytics, Haver. The fitted line uses sensitivities derived from 2005 to 2019. It represents the analysis output using input factors available at the time and does not reflect any forecast

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Exhibit 99: The levels of natural gas and electricity prices in Europe remain far below the levels experienced during the Russia / Ukraine war

European TTF natural gas price vs German electricity prices



Source: Bloomberg

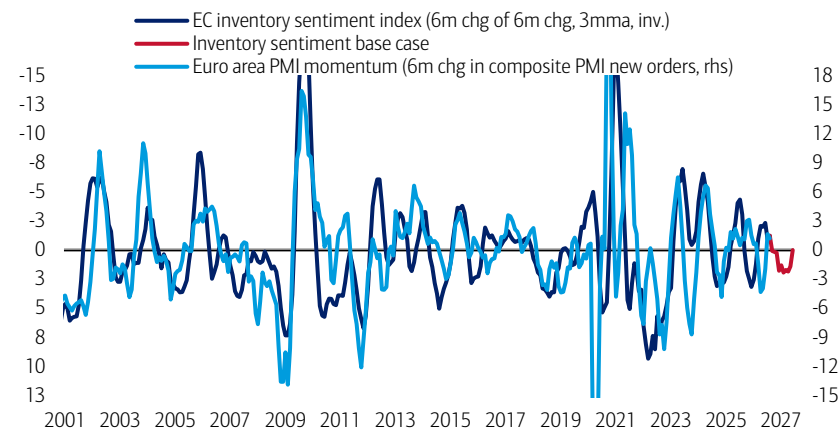
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Euro area macro data is improving again

Exhibit 100: The inventory cycle has turned into a renewed tailwind for Euro area PMI momentum, after being a drag over recent months

Change in Euro area inventory sentiment vs 6-month change in Euro area PMI

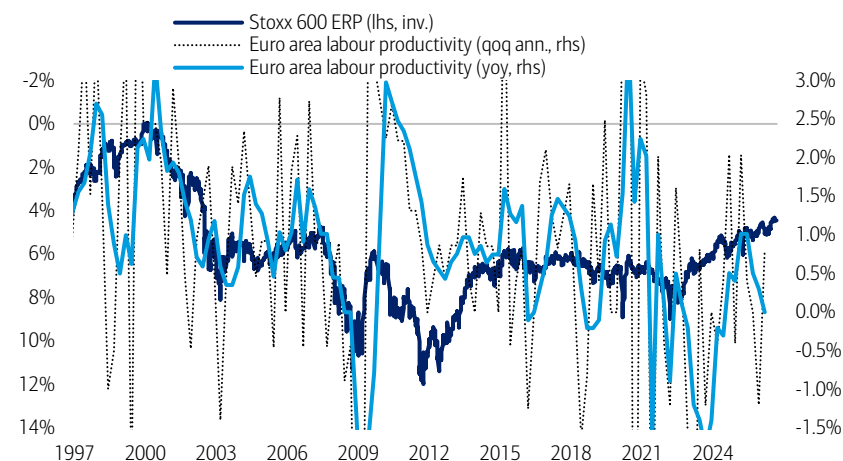


Source: BofA Global Research estimates, Haver

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Exhibit 102: Euro area productivity growth accelerated from around -2% in 2023, helping to underpin the re-pricing lower of the Stoxx 600 ERP

Stoxx 600 equity risk premium (ERP) vs Euro area productivity year-on-year growth

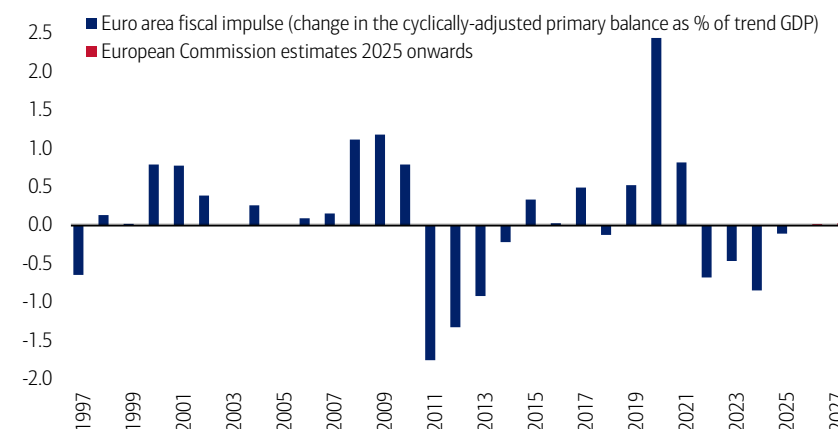


Source: BofA Global Research, LSEG Data & Analytics, Haver

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Exhibit 101: The European Commission estimates a Euro area fiscal impulse of -0.1% of GDP in 2025, remaining at 0% in both 2026 and 2027

Euro area fiscal impulse (change in the cyclically-adjusted primary balance as % of trend GDP)

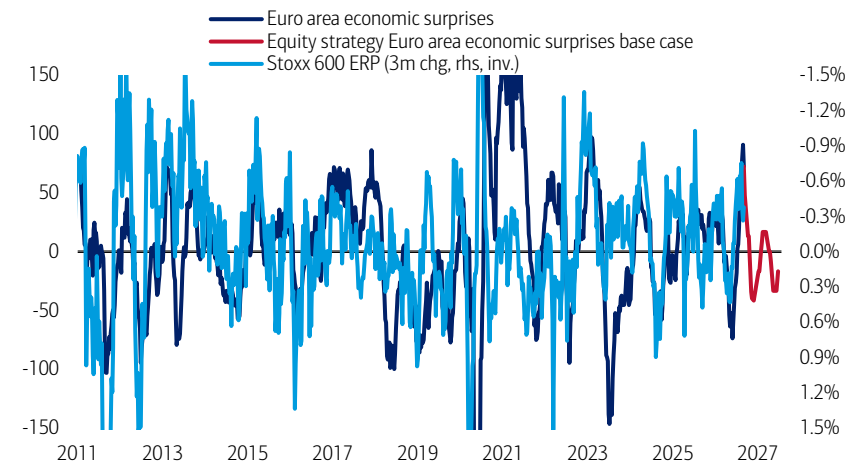


Source: BofA Global Research, Haver

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Exhibit 103: The Stoxx 600 equity risk premium is falling as Euro area macro data surprises to the upside

Stoxx 600 equity risk premium 3-month change vs Euro area macro surprises



Source: BofA Global Research estimates, LSEG Data & Analytics, Haver

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China growth – easing FX headwind and improving external growth momentum

Exhibit 104: China growth slowed sharply in Q2, with fixed asset investment remaining weak in July, though real retail sales and industrial production have saw some renewed acceleration

China activity data and GDP growth

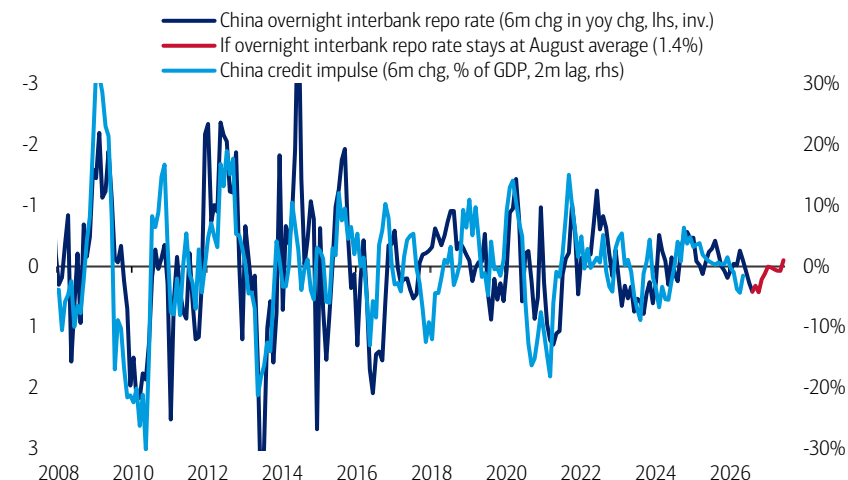


Source: BofA Global Research, Haver

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Exhibit 105: Recent dynamics in China's overnight interbank repo rate suggest that China's credit cycle could remain a drag on growth in the near term

Change in China overnight repo rate vs 6-month change in China credit impulse

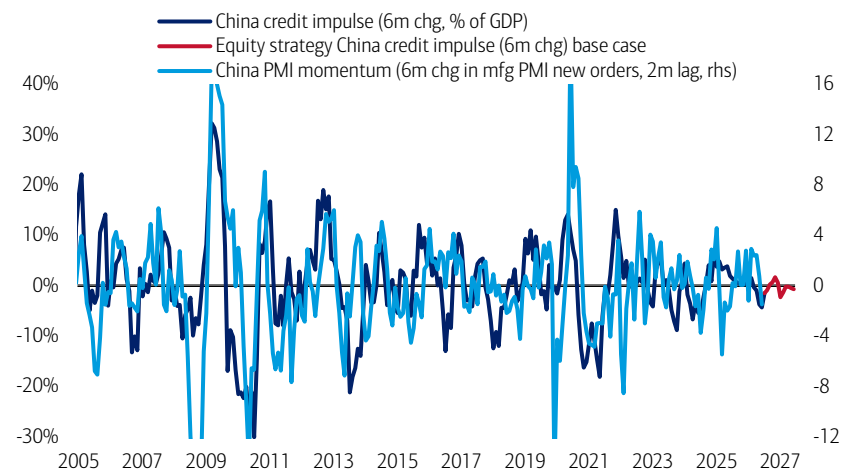


Source: BofA Global Research, Haver

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Exhibit 106: The China credit impulse is a key driver of China's manufacturing PMI

6-month change in China credit impulse vs 6-month change in China PMI

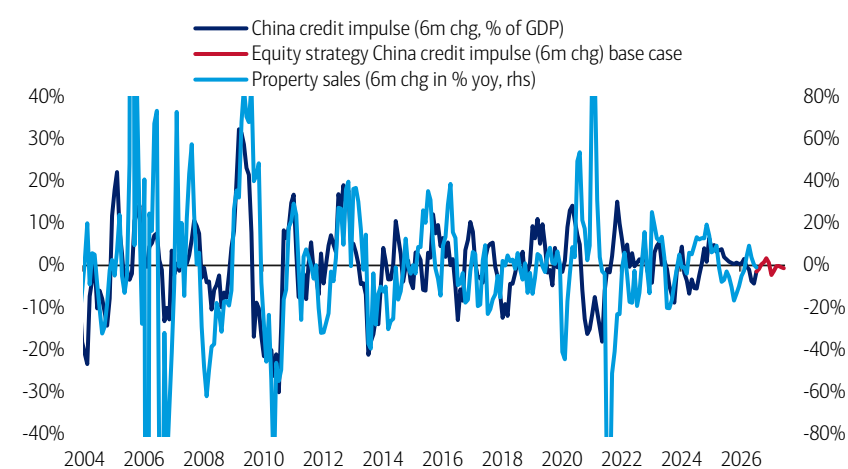


Source: BofA Global Research estimates, Haver

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Exhibit 107: A fading credit impulse implies downward pressure for the property market

6-month change in China credit impulse vs 6-month change in China property sales growth



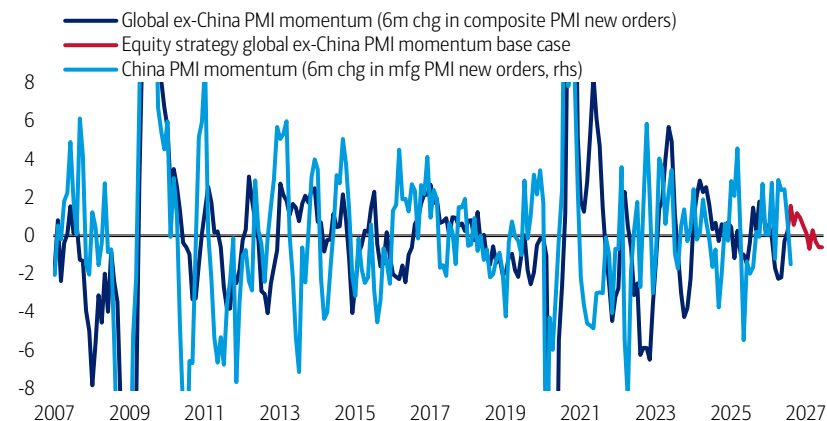
Source: BofA Global Research estimates, Haver

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China growth – easing FX headwind and improving external growth momentum

Exhibit 108: We expect external growth momentum to improve further, supporting China's growth momentum...

6-month change in global ex-China PMI vs 6-month change in China PMI



Source: BofA Global Research estimates, LSEG Data & Analytics, Haver

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Exhibit 110: Our economists expect China GDP growth to reaccelerate to around 5% by early next year

China manufacturing PMI new orders versus China GDP qoq ann. growth

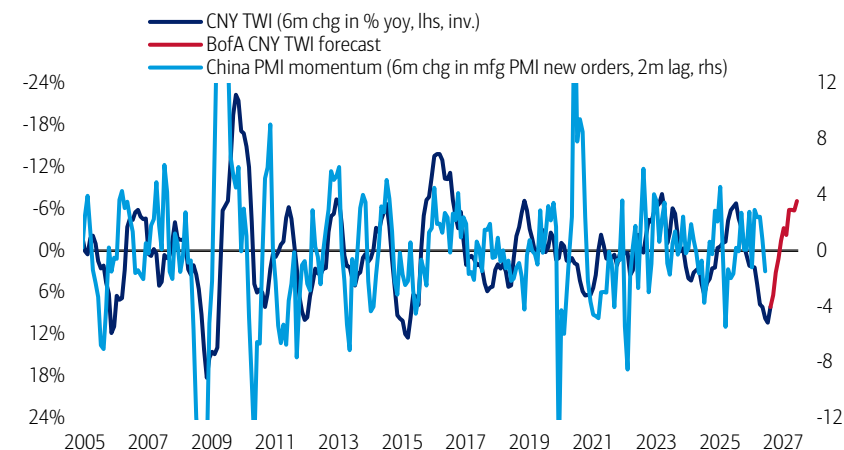


Source: BofA Global Research estimates, Haver

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Exhibit 109: ...with scope for an easing FX headwind, which is sizeable currently

Change in CNY trade-weighted index vs 6-month change in China PMI



Source: BofA Global Research estimates, LSEG Data & Analytics, Haver

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Exhibit 111: Our projection for the global PMI is a function of our projections for the US, Euro area and China PMIs

6-month change in global PMI vs 6-month changes in US, Euro area and China PMIs



Source: BofA Global Research, Haver; the fitted line uses sensitivities derived from 2010 to 2018. It represents the analysis output using input factors available at the time and does not reflect any forecast.

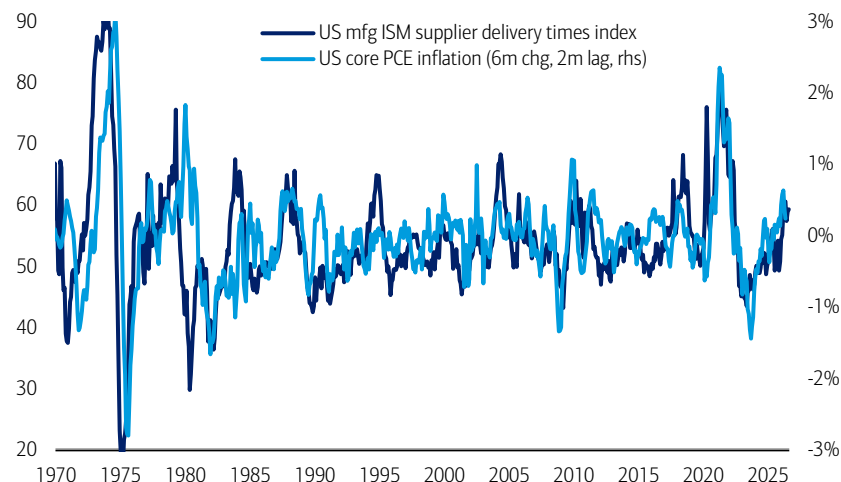
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Our economists expect US core inflation to run above 3% for the rest of the year

Exhibit 112: US supply-chain stress, the best historical gauge of inflation, has risen sharply since the Iran war to the highest level since 2022

US supplier delivery times index vs 6-month change in US core PCE year-on-year inflation

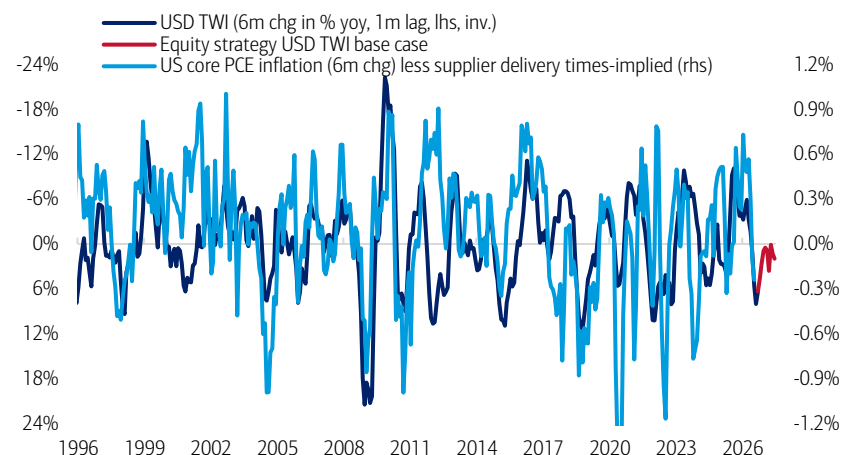


Source: BofA Global Research, Haver

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Exhibit 114: USD weakness typically leads US core inflation to overshoot the trajectory implied by gauges of supply-chain stress

Change in USD trade-weighted index versus US core PCE inflation less supplier delivery times-implied

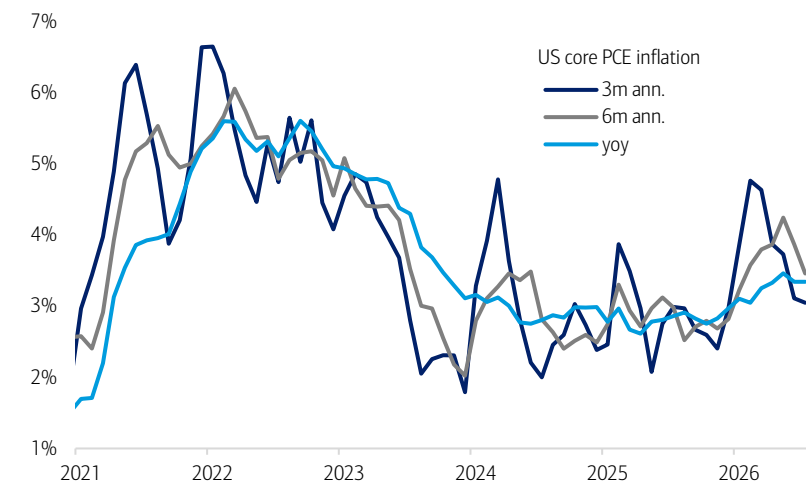


Source: Global Research estimates, LSEG Data & Analytics

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Exhibit 113: Our economists forecast US core inflation to run above 3% year-on-year over the rest of 2026

US core PCE inflation, 3-month and 6-month annualised, and year-on-year

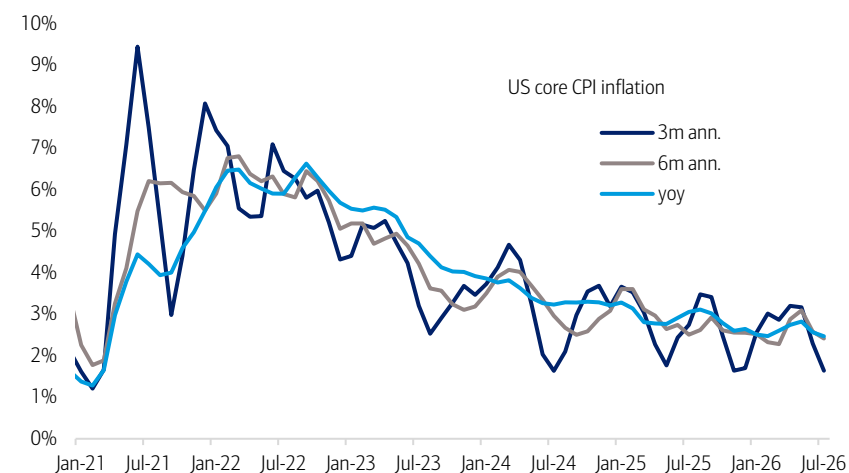


Source: BofA Global Research, Haver

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Exhibit 115: US core CPI inflation momentum has faded to the lowest in five years

US core CPI inflation, 3-month and 6-month annualised, and year-on-year



Source: BofA Global Research, Haver

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Stoxx 600 P/E: the drag from rising ERP versus the boost from fading real yields

Exhibit 116: In our base case, we expect the Stoxx 600 12-month forward P/E to de-rate from 14.5x currently to 13.5x on the back of a rise in the equity risk premium

Stoxx 600 12-month forward P/E (x)

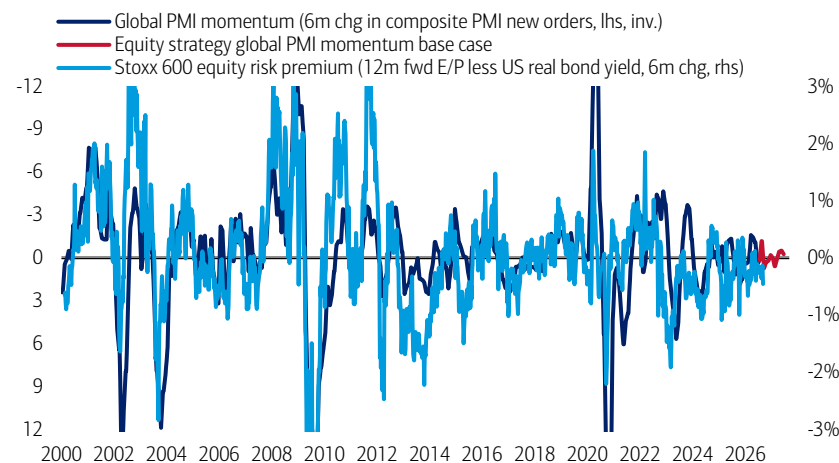


Source: BofA Global Research estimates, LSEG Data & Analytics

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Exhibit 118: We expect lower real yields, but this boost for multiples should be more than offset by the drag from a rising ERP, which tends to happen when global PMIs faded, as we expect

Global PMI 6-month change vs Stoxx 600 equity risk premium 6-month change

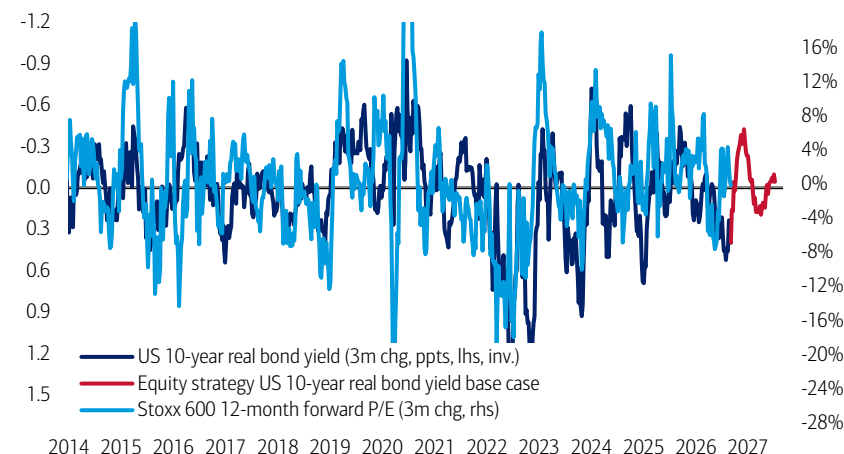


Source: BofA Global Research estimates, LSEG Data & Analytics, Haver, Bloomberg

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Exhibit 117: Real bond yields, as the discount rate for equities, are a key driver of multiples

Stoxx 600 12-month forward P/E 3-month change vs US 10-year real yield 3-month change



Source: BofA Global Research estimates, LSEG Data & Analytics, Bloomberg

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Exhibit 119: The Euro Stoxx 50 equity risk premium has fallen to 4.3%, around the lowest in over 20 years

Euro Stoxx 50 equity risk premium (%)



Source: BofA Global Research, LSEG Data & Analytics

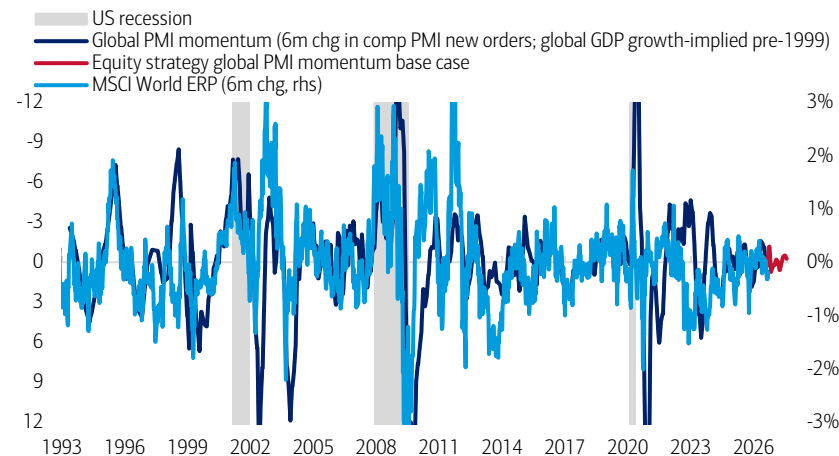
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We expect a rise in the ERP from their current ultra-low levels

Exhibit 120: The global ERP is highly sensitive to swings in global growth, but between 2022-24 there was a large cumulative ERP undershoot relative to the cyclical swings in global growth

Global PMI 6-month change vs MSCI World equity risk premium (ERP) six-month change



Source: BofA Global Research estimates, Haver, LSEG Data & Analytics

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Exhibit 122: Real wage growth in the US moves closely in line with productivity growth...

US real wage year-on-year growth versus US productivity year-on-year growth

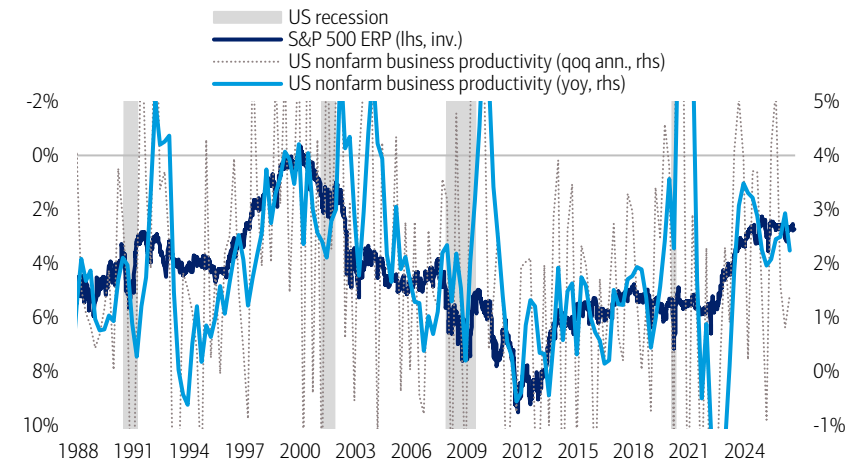


Source: BofA Global Research, Haver

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Exhibit 121: There has been a clear shift lower in the S&P 500 ERP relative to history since mid-2022, which has been underpinned by an improvement in US productivity growth

S&P 500 equity risk premium vs US productivity year-on-year growth

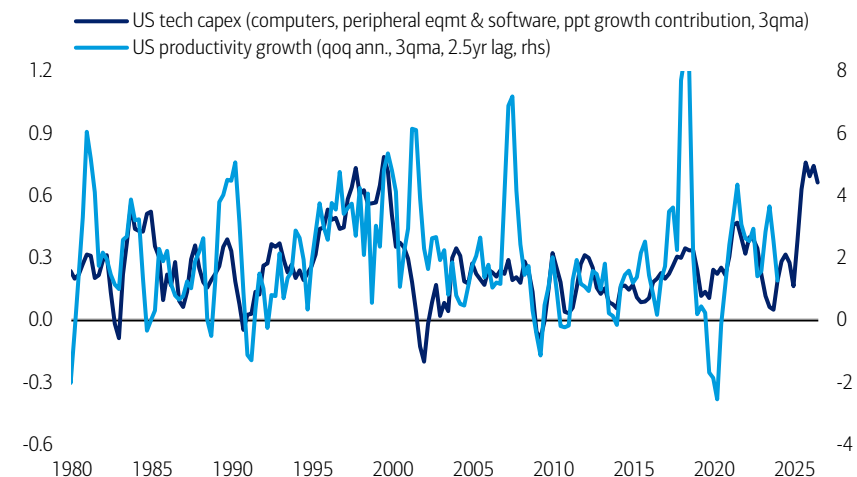


Source: BofA Global Research, Haver, LSEG Data & Analytics

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Exhibit 123: ...with US productivity growth tending to follow tech investment with a lag

US tech investment qoq ann., 3qma, growth vs US productivity qoq ann., 3qma, growth



Source: BofA Global Research, Haver

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Earnings expectations look very optimistic

Exhibit 124: Our macro projections imply 3% downside for the Stoxx 600 12-month forward EPS by year-end from the current all-time highs

Stoxx 600 12-month forward consensus EPS

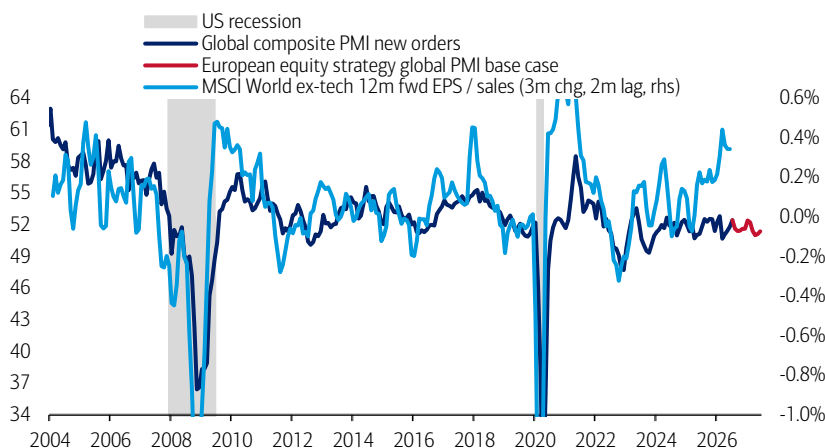


Source: BofA Global Research estimates, LSEG Data & Analytics

BofA GLOBAL RESEARCH

Exhibit 126: At the global level, the relentless rise in EPS expectations has been driven by rising margin expectations, which have overshoot their historical link with the global macro cycle

MSCI World ex-tech 12-month forward EPS 3-month change vs global composite PMI new orders

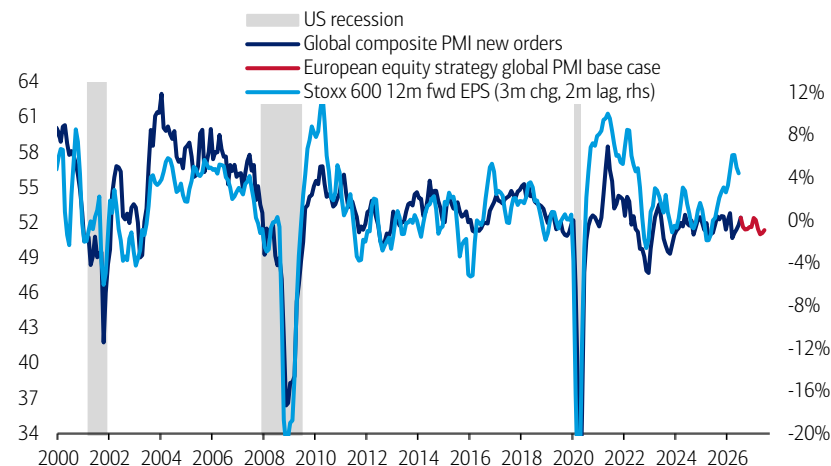


Source: BofA Global Research estimates, LSEG Data & Analytics, Haver

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Exhibit 125: Stoxx 600 12-month forward EPS momentum recently rose to a four-year high, sharply overshooting its typical relationship with the global PMI

Stoxx 600 12-month forward EPS 3-month change vs global composite PMI new orders

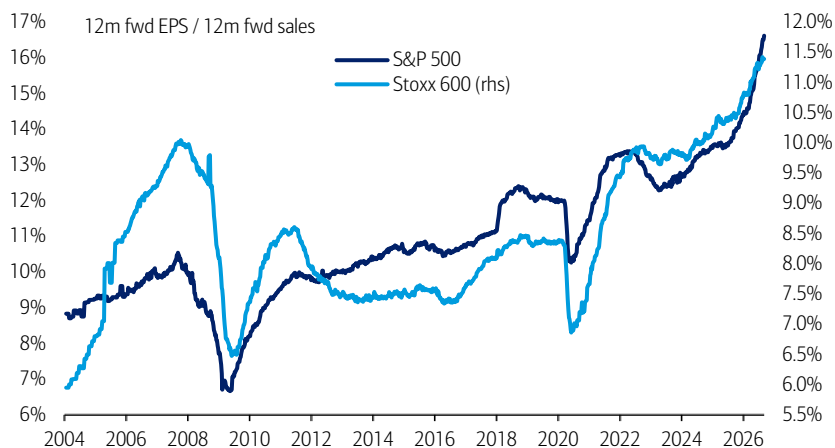


Source: BofA Global Research estimates, Haver, LSEG Data & Analytics

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Exhibit 127: With European 12-month forward EPS and margins already at all-time highs and the ERP close to a 20-year low, a decline in the discount rate is the last remaining equity driver

European and US 12-month forward consensus EPS / sales



Source: BofA Global Research, LSEG Data & Analytics

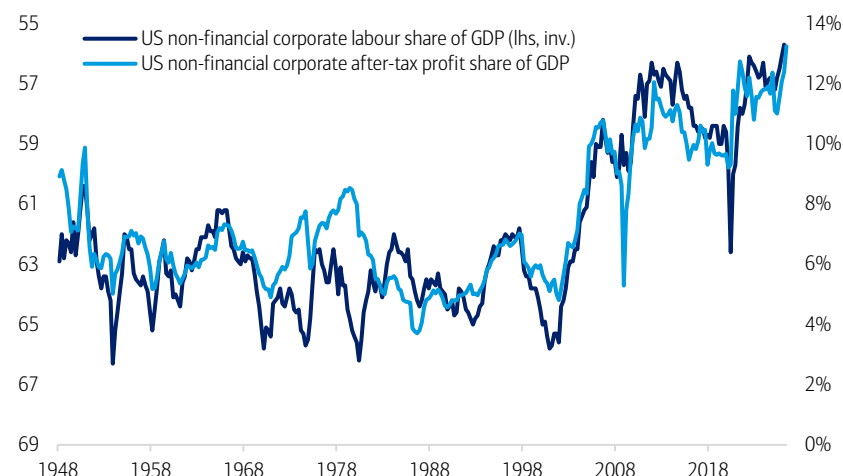
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Earnings expectations look very optimistic

Exhibit 128: Stronger corporate margins imply a lower labour share of GDP: the entry of China into the WTO in 2001 led to a rise in corporate margins and a decline in the labour share of GDP

S&P 500 non-financial corporate labour share vs S&P 500 non-financial corporate after-tax profit share of GDP

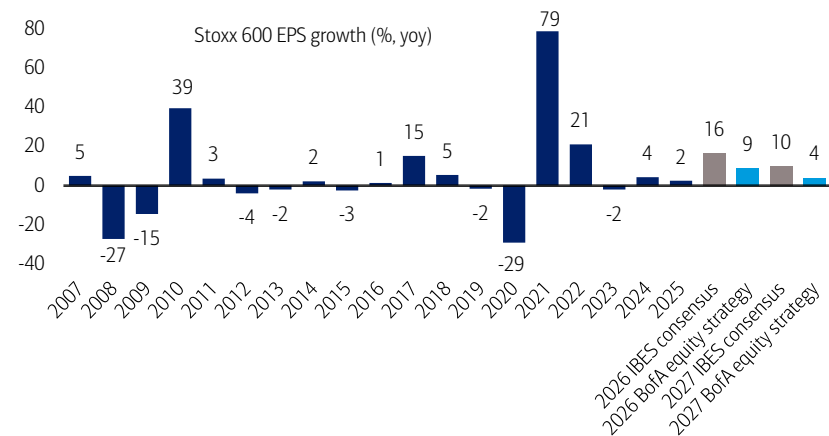


Source: BofA Global Research, Haver

BofA GLOBAL RESEARCH

Exhibit 130: Our macro projections are consistent with 9% year-on-year EPS growth in 2026 and 4% growth in 2027, both below bottom-up consensus expectations

Stoxx 600 consensus year-on-year EPS growth projections

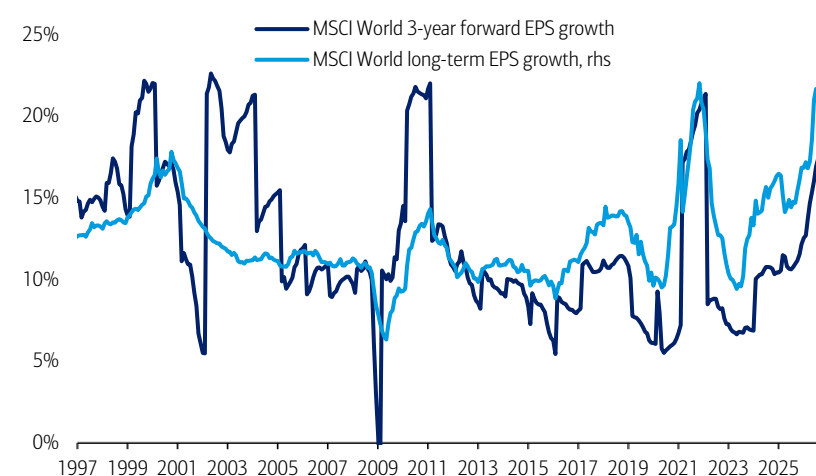


Source: BofA Global Research estimates, LSEG Data & Analytics

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Exhibit 129: Consensus expects the global profit boom to last, with 3-year forward EPS growth recently rising to a fresh five-year high

MSCI World 3-year forward EPS growth and long-term EPS growth

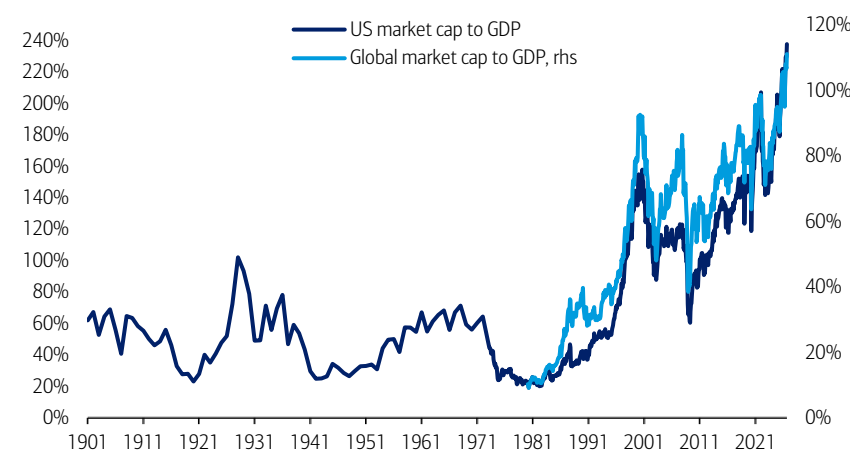


Source: BofA Global Research, LSEG Data & Analytics

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Exhibit 131: The market cap for US equities is more than twice the level of US GDP, a record high, with market cap globally matching GDP for the first time

US and global market capitalization as % of GDP

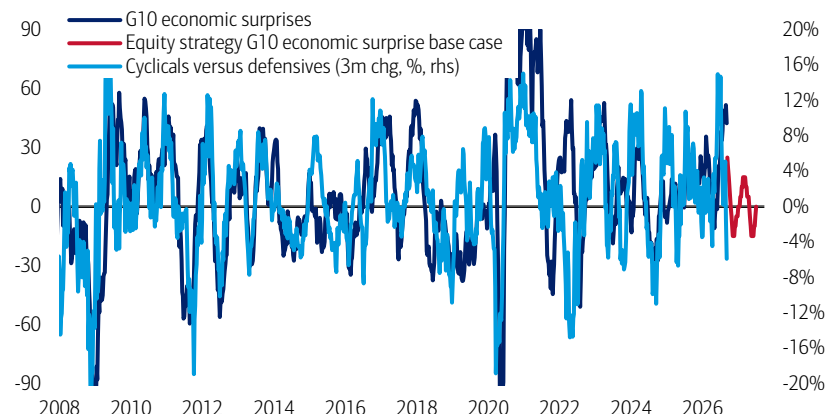


Source: BofA Global Research, CEPR, Haver, LSEG Data & Analytics

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We are underweight cyclicals versus defensives as we expect risk premia to widen

Exhibit 132: Following 6% underperformance over the past month, cyclicals versus defensives are more realistically priced for the current run-rate of global macro surprises, but are vulnerable if surprises were to fade into mildly negative territory, as we expect them to
European cyclicals / defensives performance versus G10 economic surprise index (2008 to 2026)

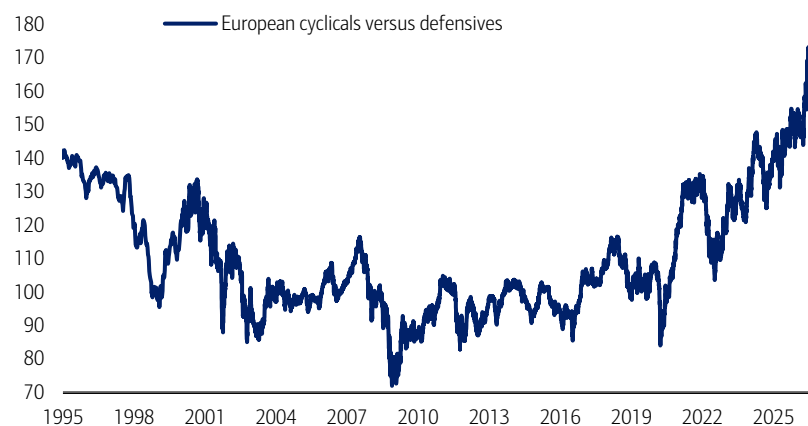


Source: BofA Global Research estimates, LSEG Data & Analytics

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Exhibit 134: European cyclicals have outperformed defensives by more than 20% since in April last year

European cyclicals / defensives price index (1995 to now)

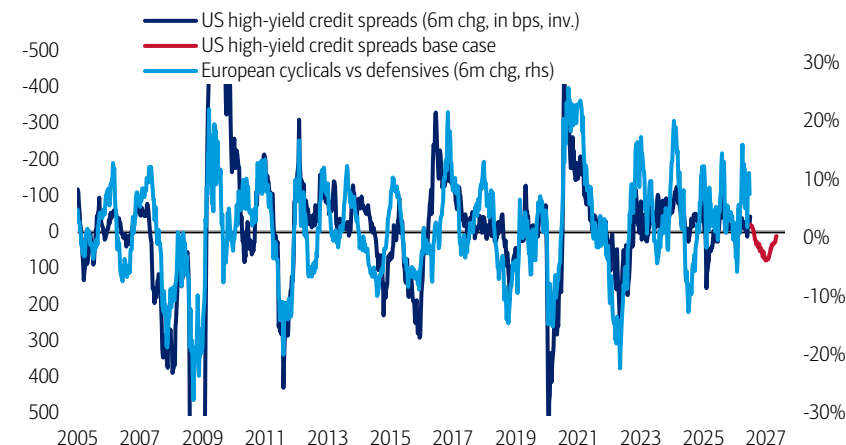


Source: BofA Global Research, Datastream; the fitted line represents the analysis output using input factors available at the time and does not reflect any forecast

BofA GLOBAL RESEARCH

Exhibit 133: Cyclicals are still priced for a further tightening in US high-yield credit spreads, while we think US high-yield credit spreads should widen

European cyclicals / defensives performance versus US high-yield credit spreads (2004 to 2026)

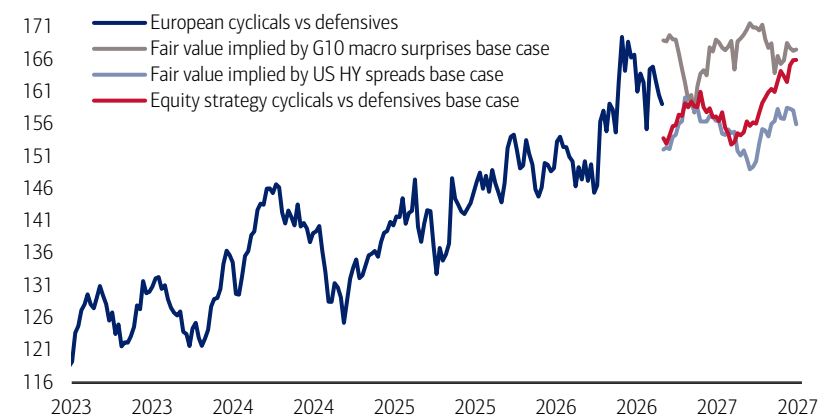


Source: BofA Global Research estimates, LSEG Data & Analytics

BofA GLOBAL RESEARCH

Exhibit 135: Our macro projections point to nearly 5% further downside for cyclicals versus defensives over the coming months, following nearly 10% underperformance since mid-June

European cyclicals / defensives performance projections (2023 to 2026)



Source: BofA Global Research estimates, LSEG Data & Analytics. Note: Cyclicals are defined as the market cap-weighted index of all cyclical sectors excluding financials and resources. Defensives are the market cap-weighted index of all defensive sectors

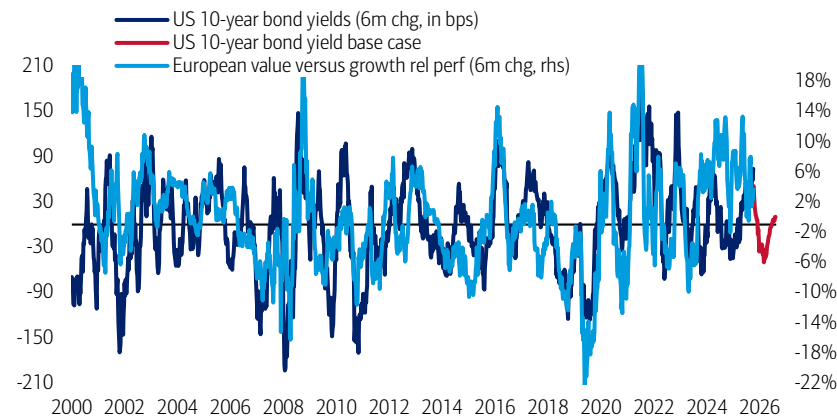
BofA GLOBAL RESEARCH



We are underweight value versus growth, given downside risk for growth & bond yields

Exhibit 136: Value stocks usually underperform growth stocks when US 10-year bond yields fade, and we see downside for bond yields over the coming months

European value / growth relative performance versus US 10-year nominal bond yields (2000 to 2026)

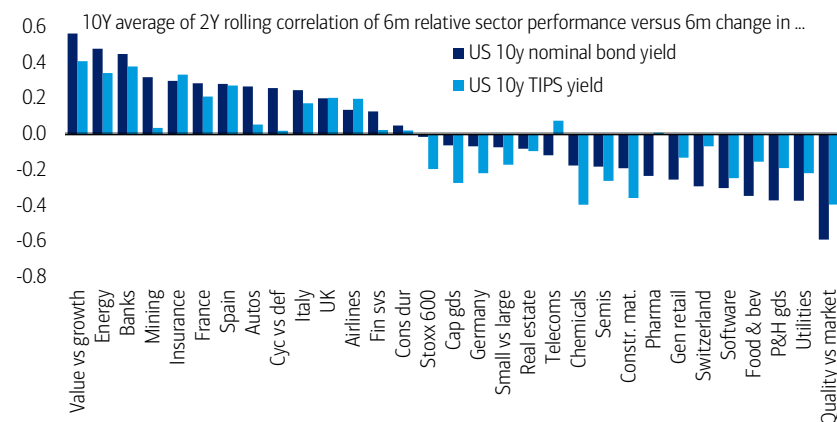


Source: BofA Global Research estimates, LSEG Data & Analytics

BofA GLOBAL RESEARCH

Exhibit 138: Value versus growth, energy and banks are the most positively correlated assets to US bond yields, while quality, utilities and P&H goods are most negatively correlated

European asset, sector, and country correlations to US bond yields

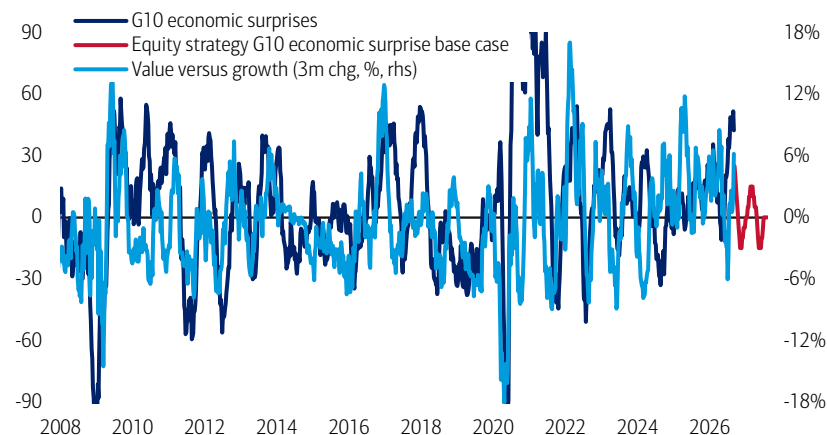


Source: BofA Global Research estimates, LSEG Data & Analytics

BofA GLOBAL RESEARCH

Exhibit 137: We expect global macro surprises to turn negative, which tends to be associated with value underperforming growth

European value / growth versus G10 economic surprise index (2008 to 2026)

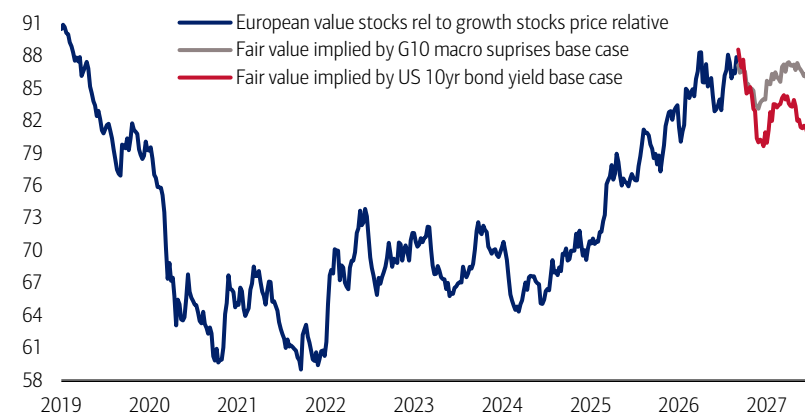


Source: BofA Global Research estimates, LSEG Data & Analytics

BofA GLOBAL RESEARCH

Exhibit 139: Value stocks have outperformed growth stocks by 30%+ over the last two years. Our macro projections are consistent with around 10% renewed underperformance for value versus growth over the coming months

European value / growth performance projections (2019 to 2026)



Source: BofA Global Research estimates, LSEG Data & Analytics, based on the MSCI Europe value & growth indices

BofA GLOBAL RESEARCH

We are overweight quality stocks as we see favourable rates and risk-premia dynamics

Exhibit 140: Quality stocks usually outperform the market when US 10-year bond yields decline and underperform when they rise

European quality relative performance versus US 10-year nominal bond yield (2008 to 2026)

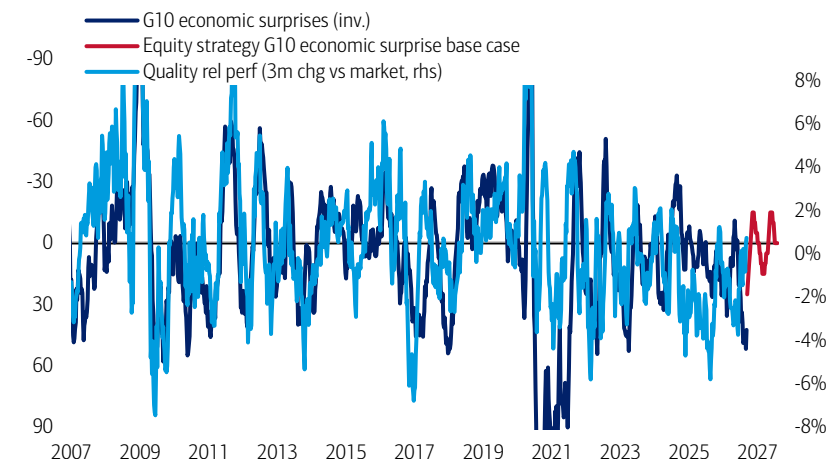


Source: BofA Global Research estimates, LSEG Data & Analytics

BofA GLOBAL RESEARCH

Exhibit 142: We expect global surprises to turn negative again over the coming months, which typically leads to quality outperformance

European quality relative performance versus G10 economic surprise index (2007 to 2026)

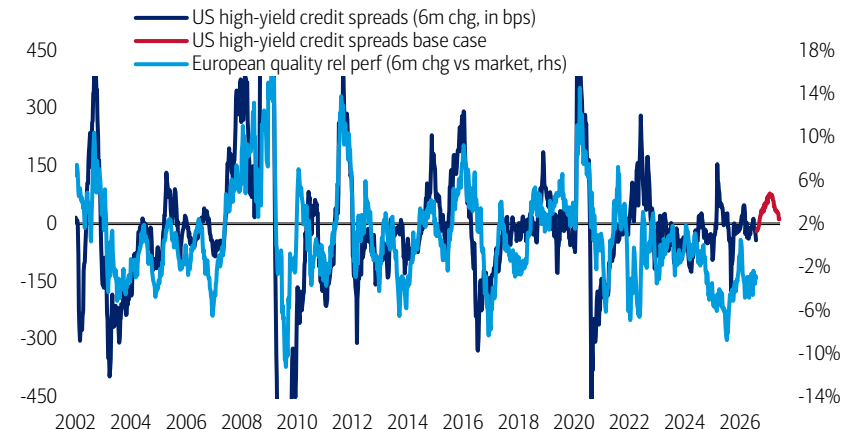


Source: BofA Global Research estimates, LSEG Data & Analytics

BofA GLOBAL RESEARCH

Exhibit 141: We expect US high-yield credit spreads to widen, which tends to be associated with outperformance of quality stocks

European quality relative performance versus US high-yield credit spreads (2002 to 2026)



Source: BofA Global Research estimates, LSEG Data & Analytics

BofA GLOBAL RESEARCH

Exhibit 143: Quality stocks have underperformed the market by more than 15% since early 2024, leaving quality's price relative at an eight-year low. Our macro projections point to around 5% renewed outperformance for quality over the coming months

European quality performance versus the market (2018 to 2026)



Source: BofA Global Research estimates, LSEG Data & Analytics, based on the MSCI Europe quality index

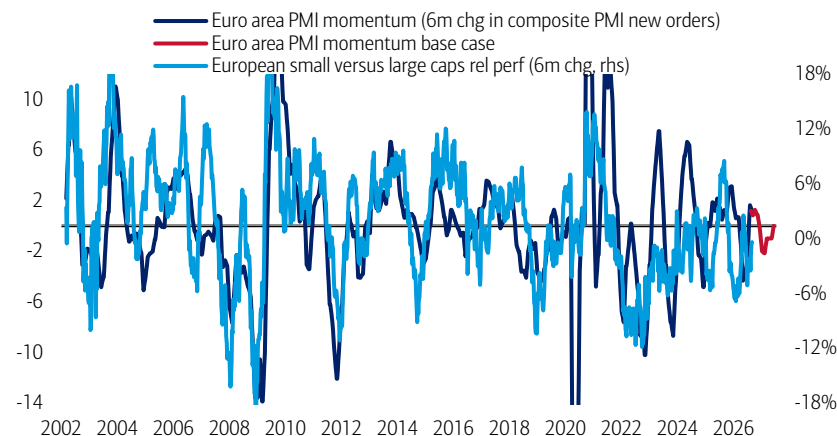
BofA GLOBAL RESEARCH



We are overweight small versus large caps given that pricing looks overly pessimistic

Exhibit 144: European small caps' relative performance tends to move in line with Euro area PMI momentum, which we expect to improve over the coming months

European small / large caps performance versus Euro area PMIs (2002 to 2026)

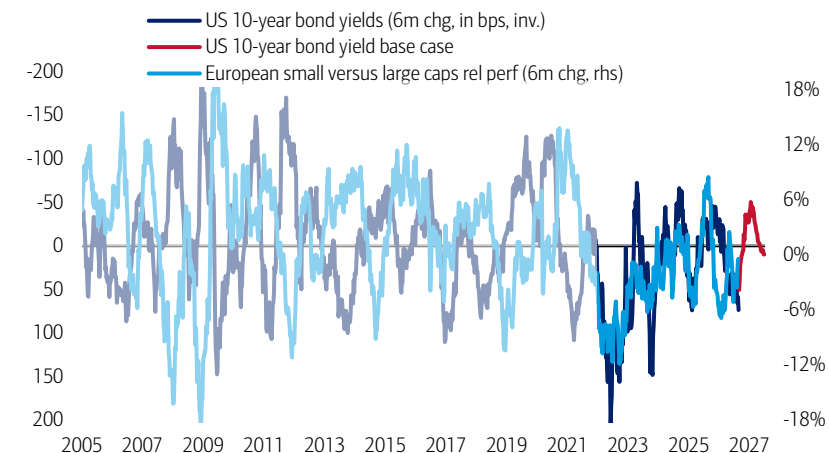


Source: BofA Global Research estimates, LSEG Data & Analytics

BofA GLOBAL RESEARCH

Exhibit 146: Small caps' inverse relationship to rates has emerged during the current monetary tightening cycle (potentially due to relatively higher levels of floating-rate debt), with our expectation of lower bond yields pointing to small cap outperformance ahead

European small / large caps performance versus US 10-year nominal bond yields (2005 to 2026)

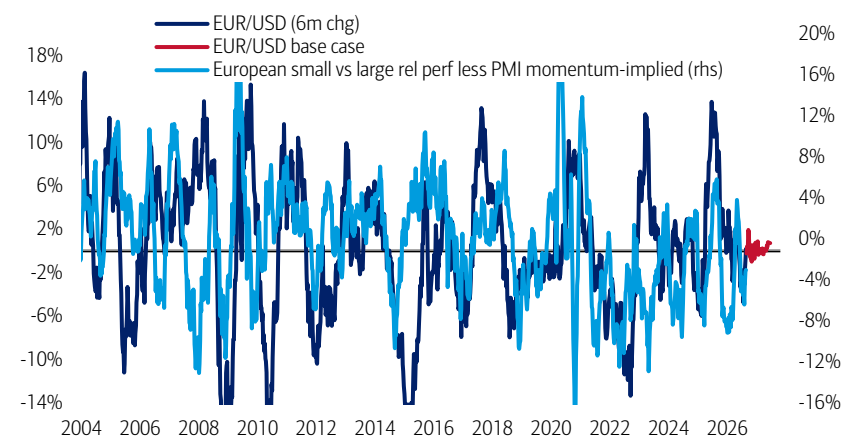


Source: BofA Global Research estimates, LSEG Data & Analytics

BofA GLOBAL RESEARCH

Exhibit 145: Given their high domestic sales exposure, small caps tend to outperform the more globally oriented large caps when the EUR strengthens against the USD

European small / large caps performance versus EUR/USD (2004 to 2026)

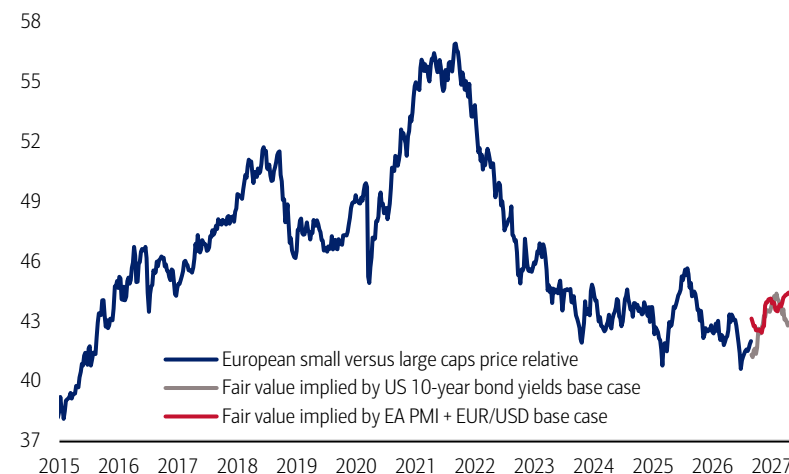


Source: BofA Global Research estimates, LSEG Data & Analytics

BofA GLOBAL RESEARCH

Exhibit 147: Small caps have underperformed large caps by nearly 10% since August last year, with our macro projections pointing to a 6% rebound by year-end

European small / large caps performance projections (2015 to 2026)



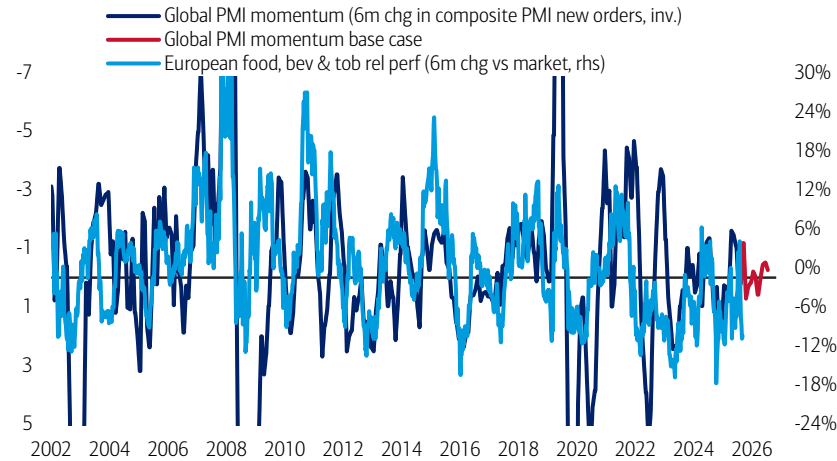
Source: BofA Global Research estimates, LSEG Data & Analytics, based on the MSCI Europe small & large cap indices

BofA GLOBAL RESEARCH

Overweight food & beverages as markets continue to under-price macro risks

Exhibit 148: We expect food & beverages to close the undershoot that has opened up relative to global growth momentum

European food & beverages relative performance versus global PMIs (2002 to 2026)

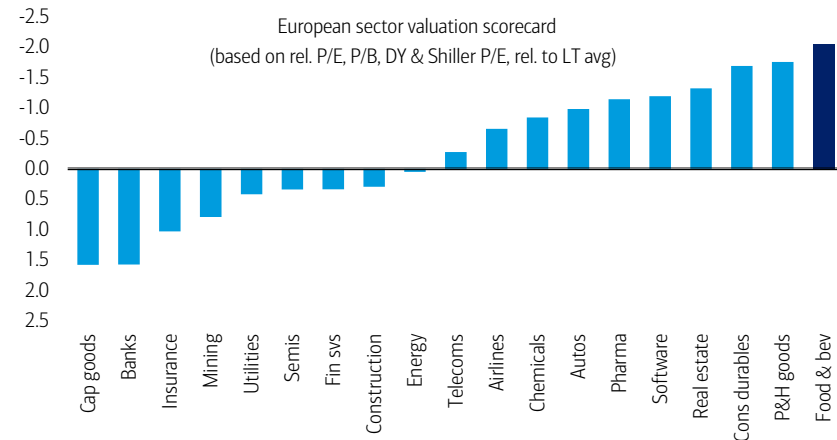


Source: BofA Global Research estimates, LSEG Data & Analytics, Haver

BofA GLOBAL RESEARCH

Exhibit 150: Valuations look attractive, with food & beverages ranking as the cheapest sector on our valuation scorecard

European sector valuation scorecard

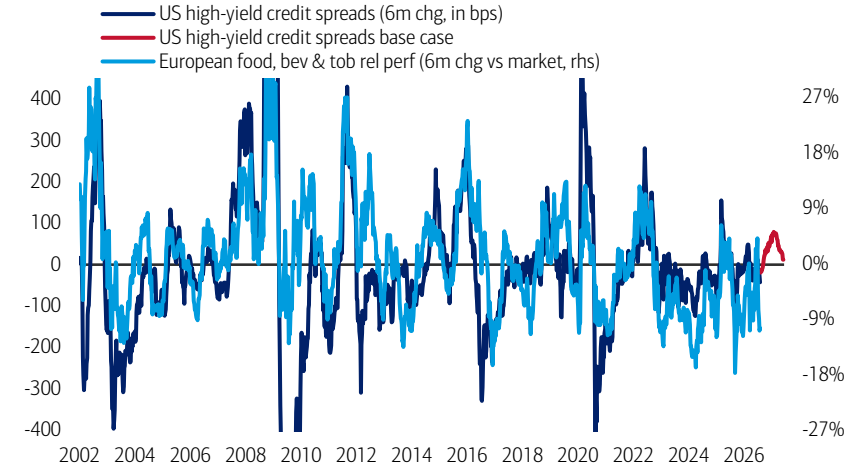


Source: BofA Global Research, LSEG Data & Analytics

BofA GLOBAL RESEARCH

Exhibit 149: Our expectation for a widening in US high-yield credit spreads is reliably associated with outperformance of food & beverages

European food & beverages relative performance versus US high-yield credit spreads (2002 to 2026)

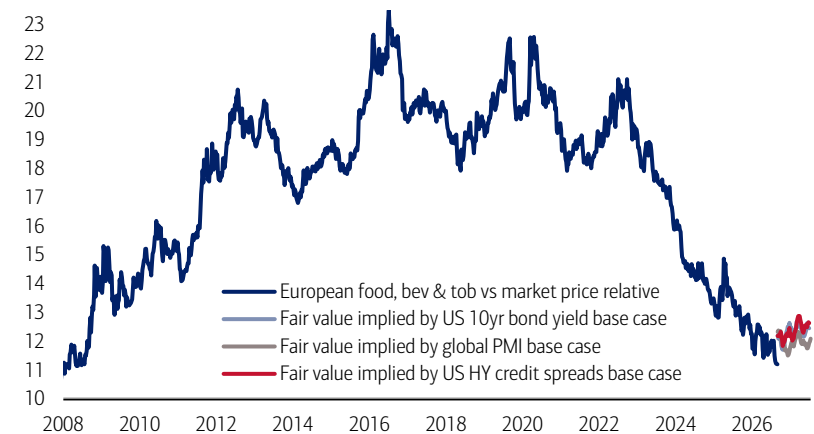


Source: BofA Global Research estimates, LSEG Data & Analytics

BofA GLOBAL RESEARCH

Exhibit 151: After more than 30% underperformance over three years, our macro projections imply scope for around 15% outperformance for food & beverages over the coming months

European food & beverages performance projections (2008 to 2026)



Source: BofA Global Research estimates, LSEG Data & Analytics

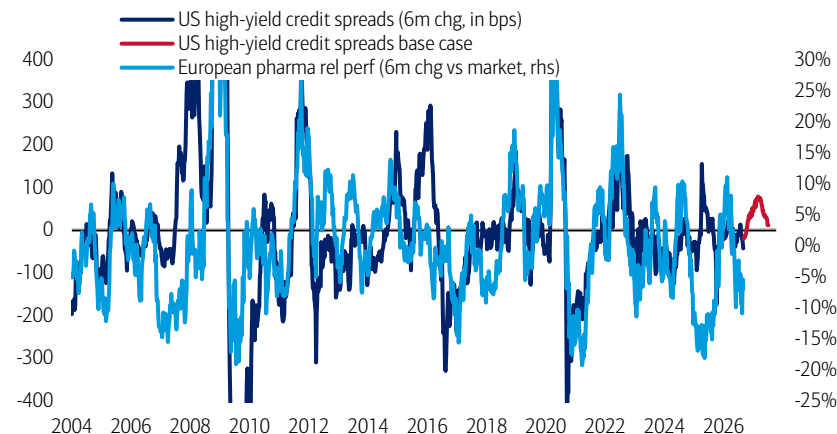
BofA GLOBAL RESEARCH



Overweight pharma as risk premia widen and bond yields decline

Exhibit 152: Pharma typically outperforms when risk premia widen, as we expect them to over the coming months

European pharma relative performance versus US high-yield credit spreads (2004 to 2026)

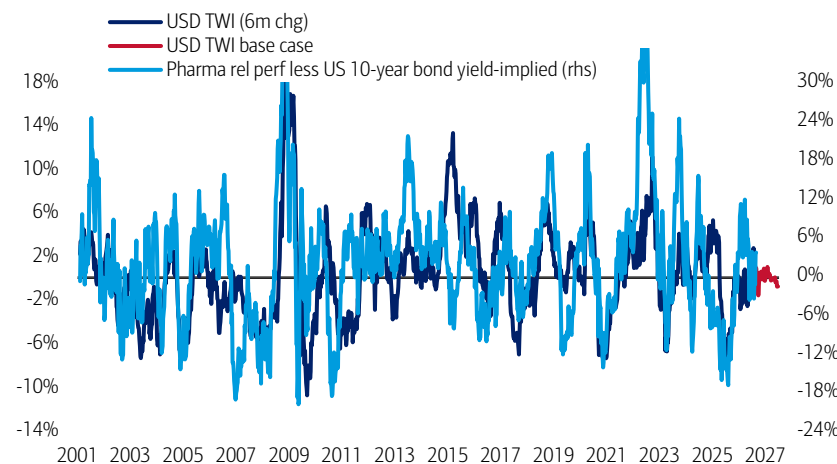


Source: BofA Global Research estimates, LSEG Data & Analytics

BofA GLOBAL RESEARCH

Exhibit 154: As the sector in Europe with the biggest US sales footprint, pharma typically underperforms the market when the USD weakens, and vice versa

European pharma relative performance versus USD trade-weighted index (TWI) (2001 to 2026)

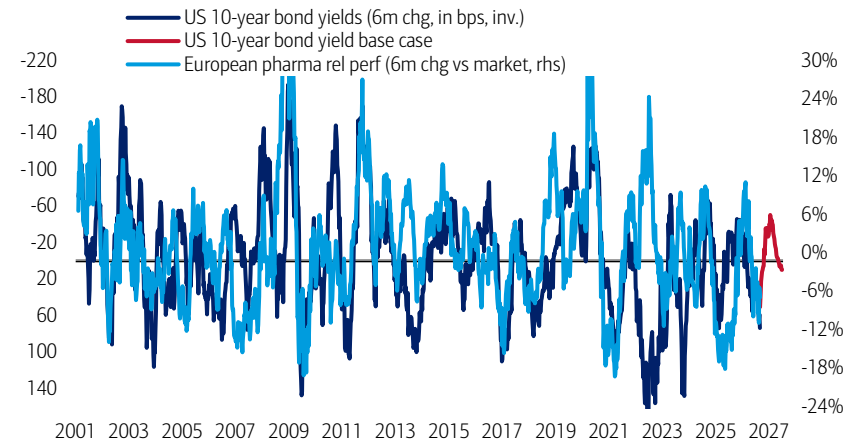


Source: BofA Global Research estimates, LSEG Data & Analytics

BofA GLOBAL RESEARCH

Exhibit 153: Pharma usually outperforms when US 10-year bond yields decline, as we expect them to

European pharma relative performance versus US 10-year bond yields (2001 to 2026)

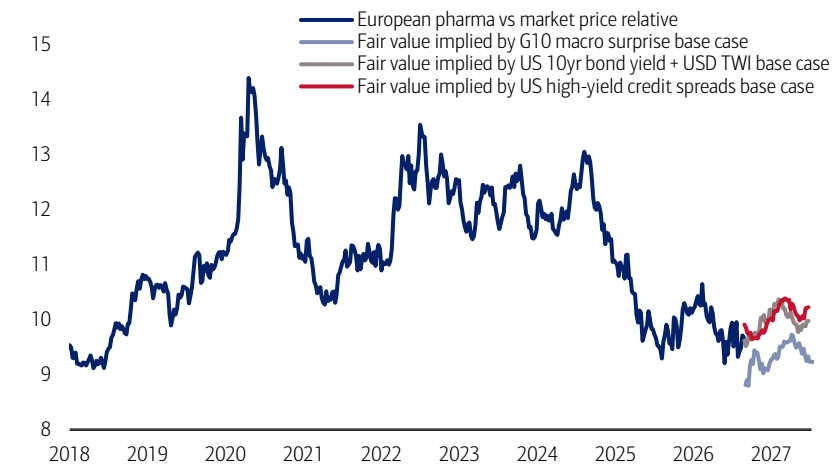


Source: BofA Global Research estimates, LSEG Data & Analytics

BofA GLOBAL RESEARCH

Exhibit 155: Our macro projections of declining global PMIs and widening risk premia imply more than 5% upside for pharma's price relative over the coming months

European pharma performance projections (2018 to 2026)



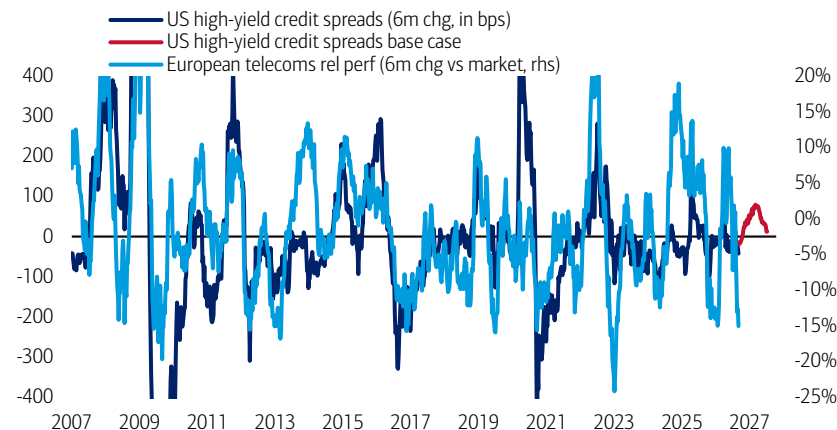
Source: BofA Global Research estimates, LSEG Data & Analytics

BofA GLOBAL RESEARCH

Overweight telecoms as recent correction looks overdone

Exhibit 156: We expect US high-yield credit spreads to widen, which typically boosts the performance of telecoms

European telecoms relative performance versus US high-yield credit spreads (2007 to 2026)

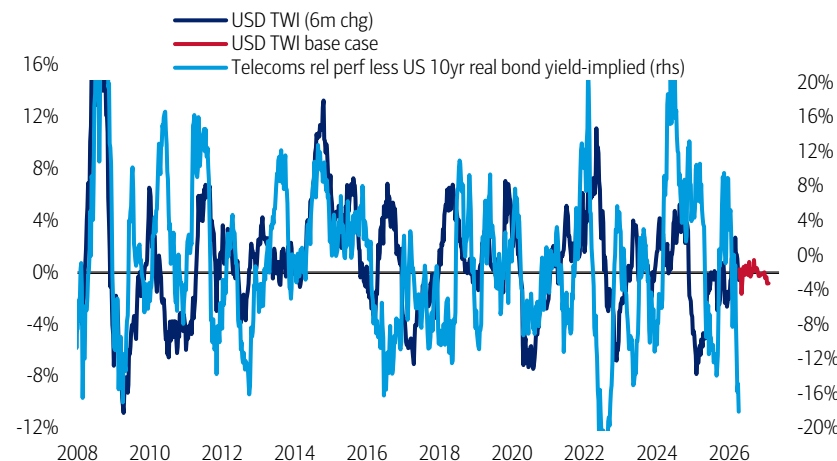


Source: BofA Global Research estimates, LSEG Data & Analytics

BofA GLOBAL RESEARCH

Exhibit 158: Given the sector's above-market share of revenues originating from the US, telecoms tends to underperform its real yield-implied trajectory when the USD weakens

European telecoms relative performance versus USD trade-weighted index (TWI) (2008 to 2026)

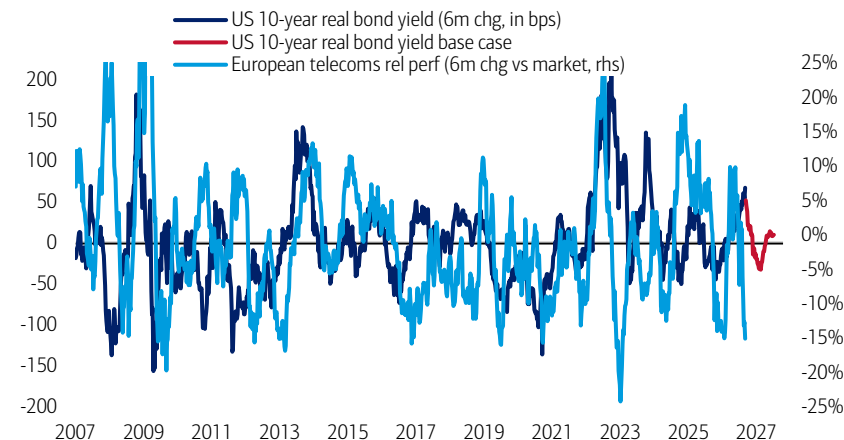


Source: BofA Global Research estimates, Haver, LSEG Data & Analytics

BofA GLOBAL RESEARCH

Exhibit 157: Reflective of telecoms' value characteristics, the sector tends to underperform when real rates fall, as we expect them to, but the sector is already discounting this risk

European telecoms relative performance versus US 10-year real bond yields (2007 to 2026)

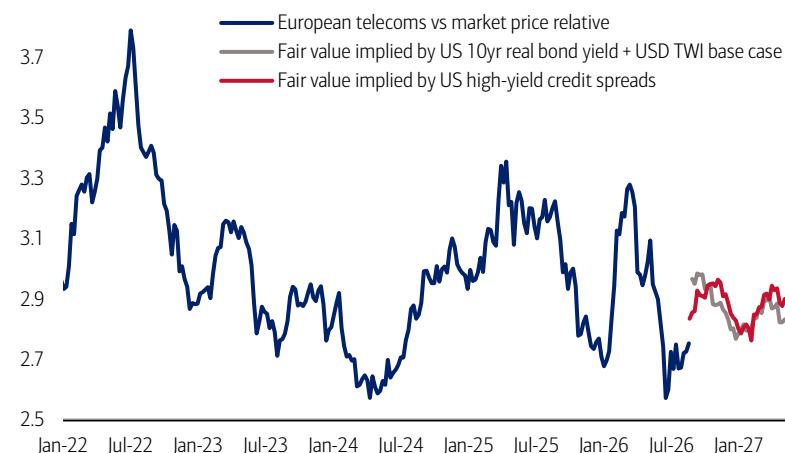


Source: BofA Global Research estimates, LSEG Data & Analytics

BofA GLOBAL RESEARCH

Exhibit 159: After sharp recent underperformance, our macro projections point to nearly a 10% renewed outperformance for telecoms over the coming months

European telecoms performance projections (2022 to 2026)



Source: BofA Global Research estimates, LSEG Data & Analytics

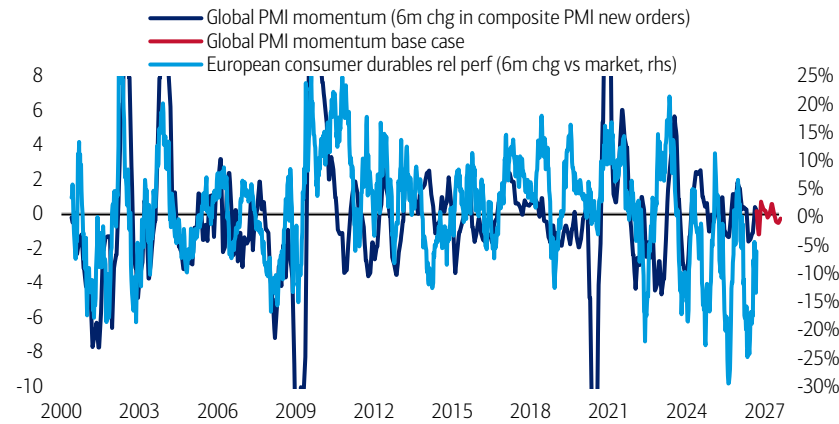
BofA GLOBAL RESEARCH



Overweight luxury goods given pessimistic pricing and scope for China fiscal stimulus

Exhibit 160: European consumer durables (which are mostly luxury goods), are priced for an overly pessimistic turn in global growth

European consumer durables relative performance versus Global PMI (2000 to 2026)

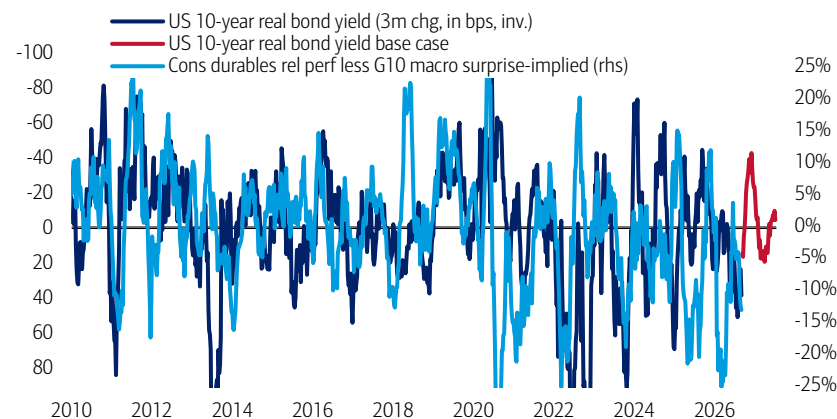


Source: BofA Global Research estimates, LSEG Data & Analytics

BofA GLOBAL RESEARCH

Exhibit 162: Lower real bond yields (i.e. a lower discount rate for equities) tends to lead luxury goods to outperform, given its status as a growth sector

European consumer durables relative performance versus US 10-year TIPS yield (2010 to 2027)

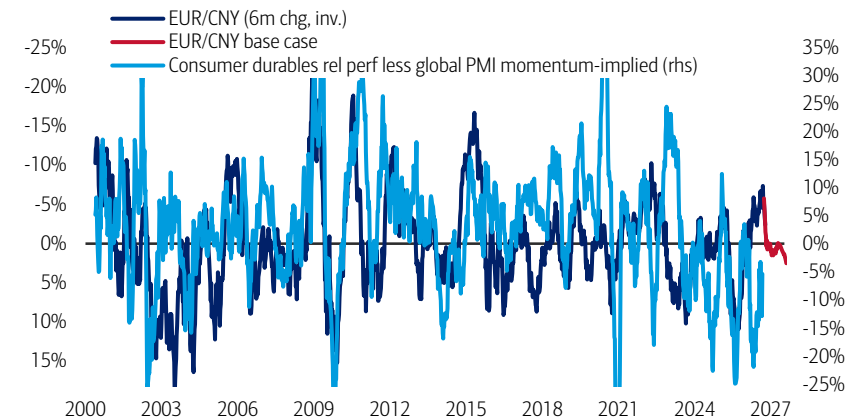


Source: BofA Global Research estimates, LSEG Data & Analytics

BofA GLOBAL RESEARCH

Exhibit 161: Given consumer durables' relatively high exposure to China, it tends to outperform the PMI-implied trajectory when the CNY strengthens relative to the EUR, but the sector has failed to benefit from this FX support recently

European consumer durables relative performance versus EUR/CNY (2000 to 2026)

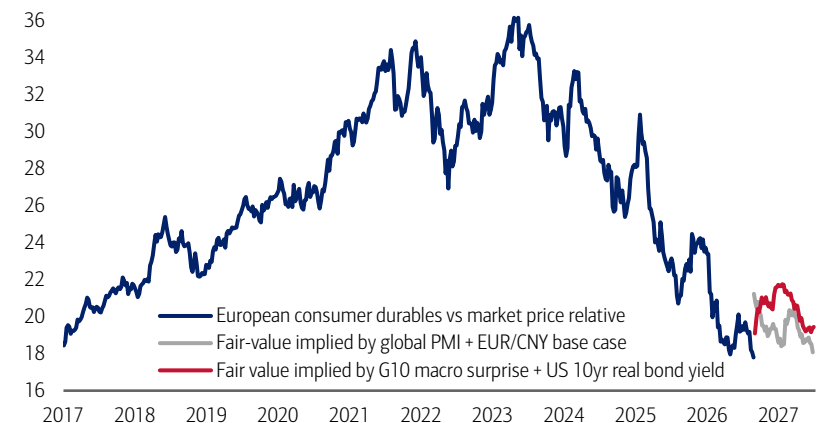


Source: BofA Global Research estimates, LSEG Data & Analytics

BofA GLOBAL RESEARCH

Exhibit 163: Following over 20% underperformance since October last year, our growth and rates projections imply 20%+ upside potential for consumer durables' price relative by early next year

European consumer durables performance projections (2017 to 2026)



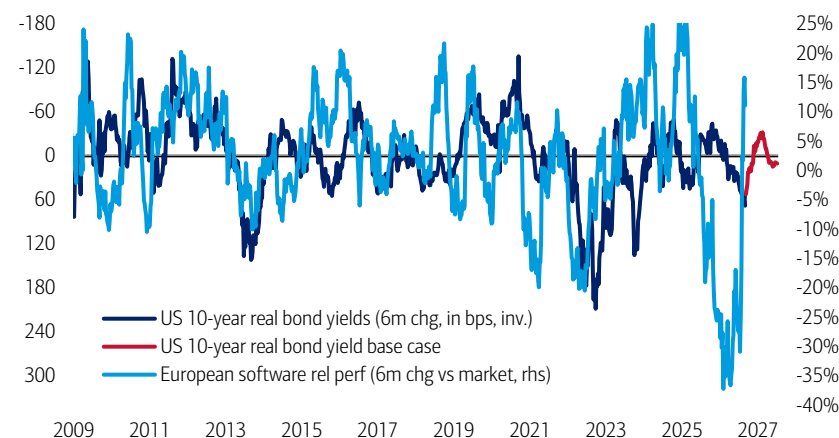
Source: BofA Global Research estimates, LSEG Data & Analytics

BofA GLOBAL RESEARCH

Overweight software given its continued defensive growth appeal despite AI risks

Exhibit 164: We think US real bond yields will decline over the coming months due to weaker growth momentum, which typically leads to software outperformance (since, as a growth sector, it likes lower rates)

European software relative performance versus US 10-year TIPS yield (2004 to 2026)

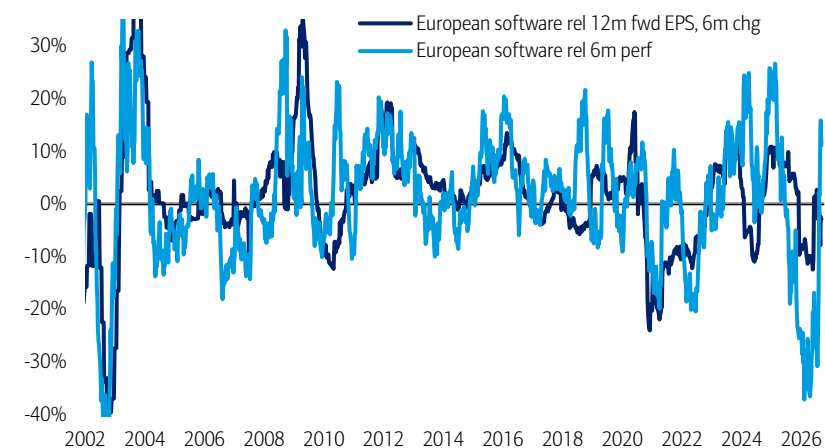


Source: BofA Global Research estimates, LSEG Data & Analytics

BofA GLOBAL RESEARCH

Exhibit 166: Software's relative price momentum has rebounded to levels consistent with relative EPS upgrades ahead

European software relative performance versus relative 12-month forward EPS (% , 2002 – now)

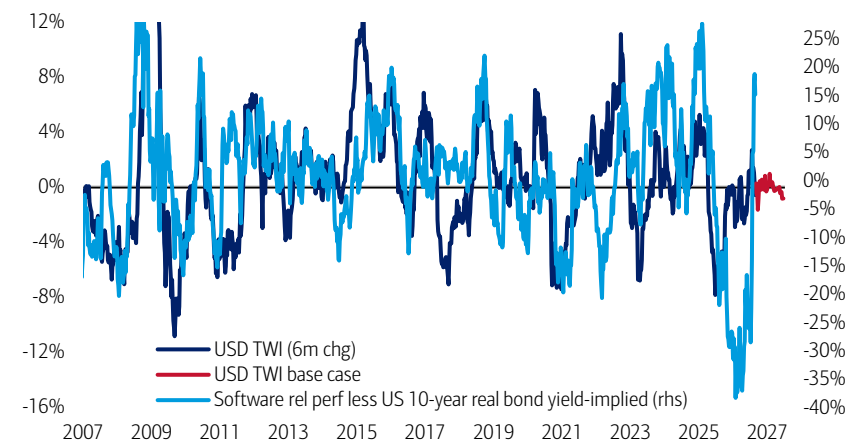


Source: BofA Global Research, LSEG Data & Analytics

BofA GLOBAL RESEARCH

Exhibit 165: Given the sector's high share of revenues generated in the US, software tends to underperform its real yield-implied trajectory when the USD weakens

European software relative performance versus USD trade-weighted index (TWI) (2007 to 2026)

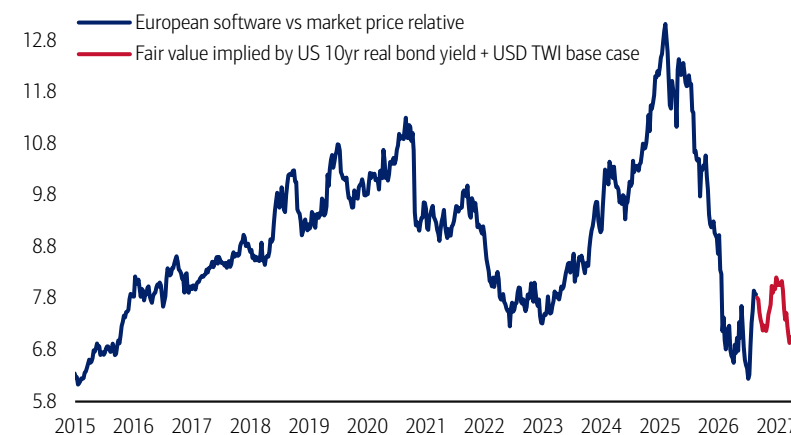


Source: BofA Global Research estimates, LSEG Data & Analytics

BofA GLOBAL RESEARCH

Exhibit 167: After nearly a 30% rebound since late July, our real yield and USD projections point to around 5% further upside for software's price relative over the coming months

European software performance projections (2019 to 2026)



Source: BofA Global Research estimates, LSEG Data & Analytics

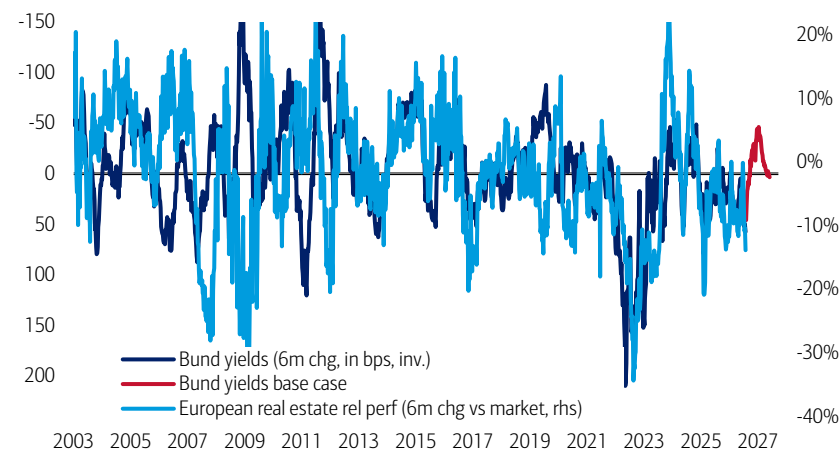
BofA GLOBAL RESEARCH



Overweight real estate given downside risks for bond yields

Exhibit 168: Real estate typically outperforms the market when Bund yields decline, as we expect them to

European real estate relative performance versus Bund yields (2003 to 2026)

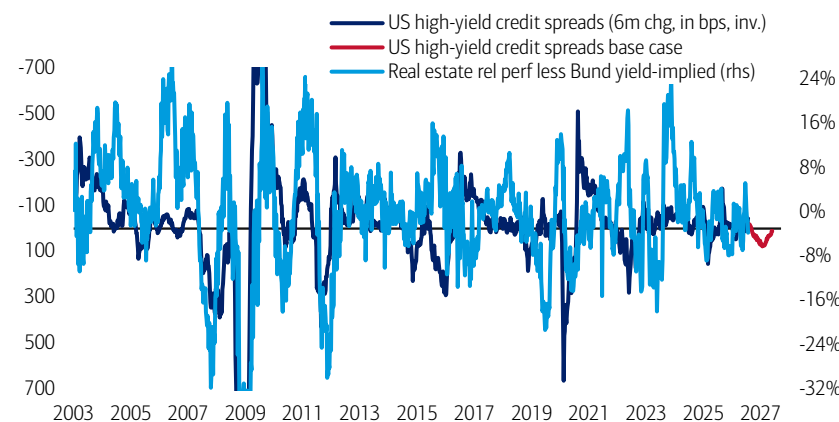


Source: BofA Global Research estimates, LSEG Data & Analytics

BofA GLOBAL RESEARCH

Exhibit 170: A sharp spike in credit spreads would be a risk, as the drag from worsening financing conditions could offset the benefit from lower bond yields (as happened during the recession of 2008/09)

European real estate relative performance versus US high-yield credit spreads (2003 to 2026)

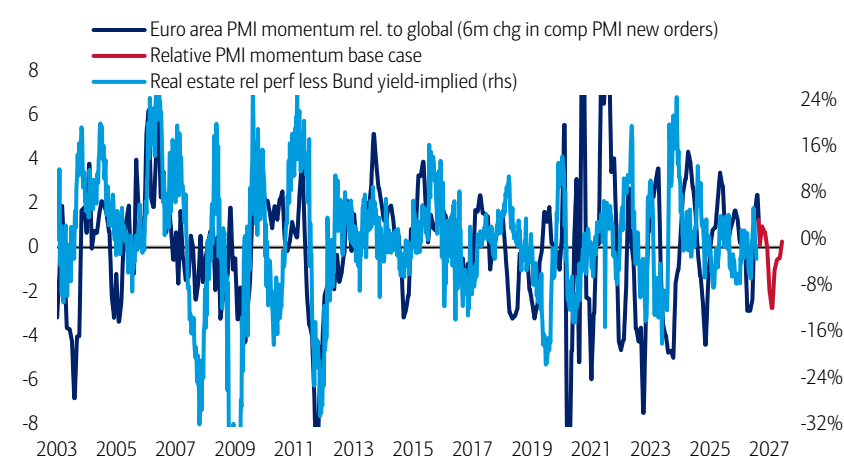


Source: BofA Global Research estimates, LSEG Data & Analytics

BofA GLOBAL RESEARCH

Exhibit 169: Given its domestic exposure, real estate tends to outperform the yield-implied trajectory when Euro area PMIs strengthen relative to global PMIs

European real estate versus Euro area PMI momentum relative to global (2003 to 2026)

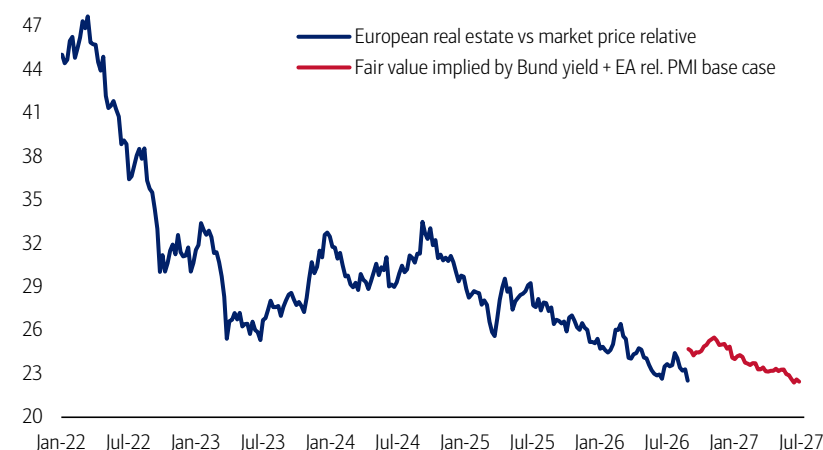


Source: BofA Global Research estimates, Haver, LSEG Data & Analytics

BofA GLOBAL RESEARCH

Exhibit 171: Following the recent underperformance, our Bund yield and Euro area PMI projections imply more than 10% upside for real estate's price relative in the months ahead

European real estate performance projections (2022 to 2026)



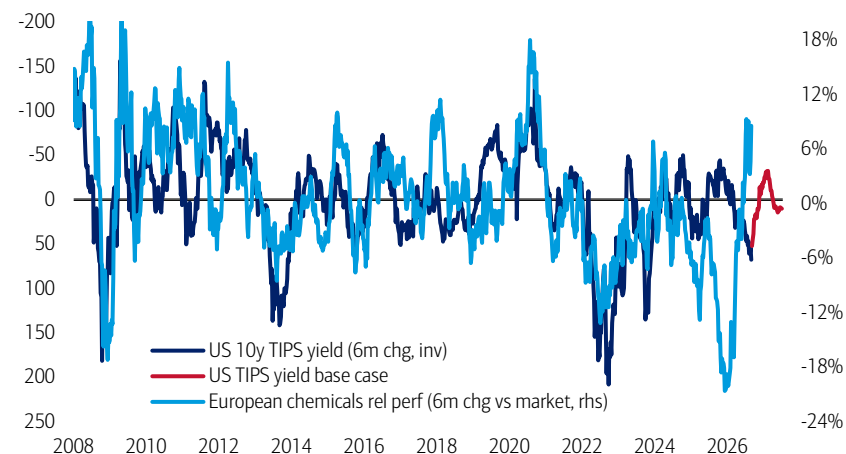
Source: BofA Global Research estimates, LSEG Data & Analytics

BofA GLOBAL RESEARCH

Overweight chemicals given scope for lower real rates

Exhibit 172: As a growth sector, chemicals tend to benefit from falling real bond yields – and we see downside for real rates on the back of slowing growth

European chemicals relative performance versus US 10-year TIPS yield (2008 to 2026)

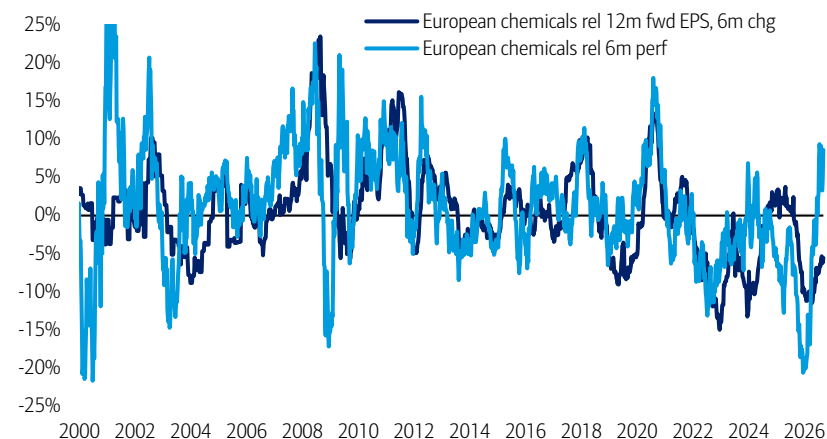


Source: BofA Global Research estimates, LSEG Data & Analytics

BofA GLOBAL RESEARCH

Exhibit 174: Relative price momentum for European chemicals has moved back into positive territory, but relative earnings momentum still lags

European chemical relative performance versus relative 12-month forward EPS (% , 2002 - now)

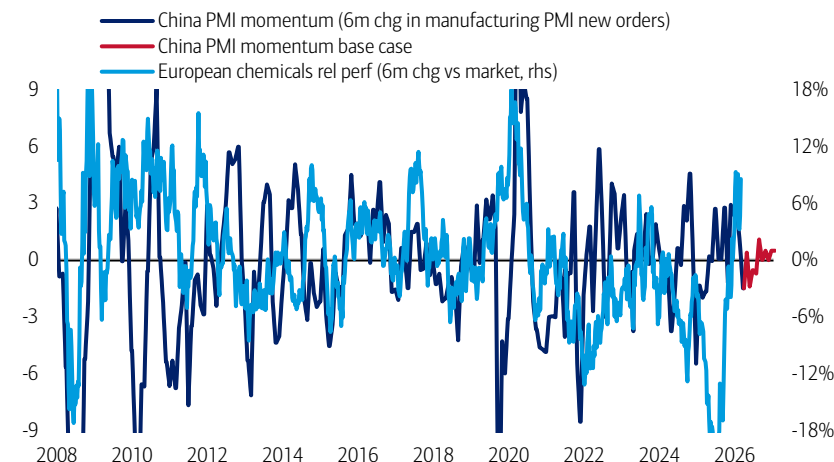


Source: BofA Global Research estimates, LSEG Data & Analytics

BofA GLOBAL RESEARCH

Exhibit 173: Chemicals tend to outperform the market when China PMI momentum is positive

European chemicals relative performance versus China PMIs (2008 to 2026)

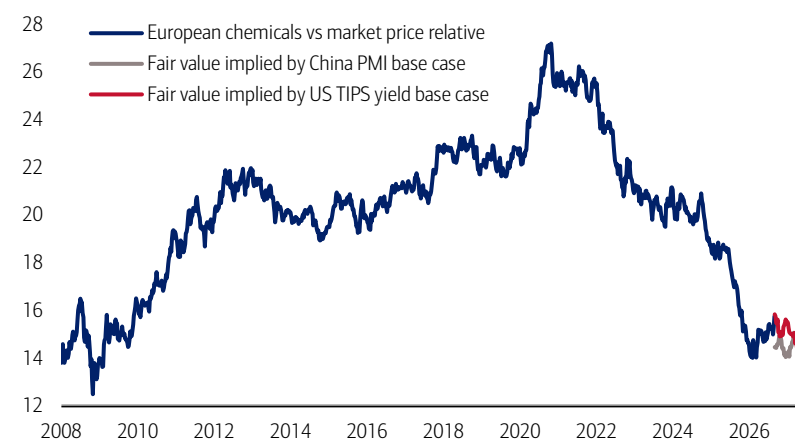


Source: BofA Global Research estimates, Haver, LSEG Data & Analytics

BofA GLOBAL RESEARCH

Exhibit 175: Our expectation of lower real bond points to mild upside potential for chemicals' price relative over the coming months, following 10%+ outperformance since March

European chemicals performance projections (2010 to 2026)



Source: BofA Global Research estimates, LSEG Data & Analytics

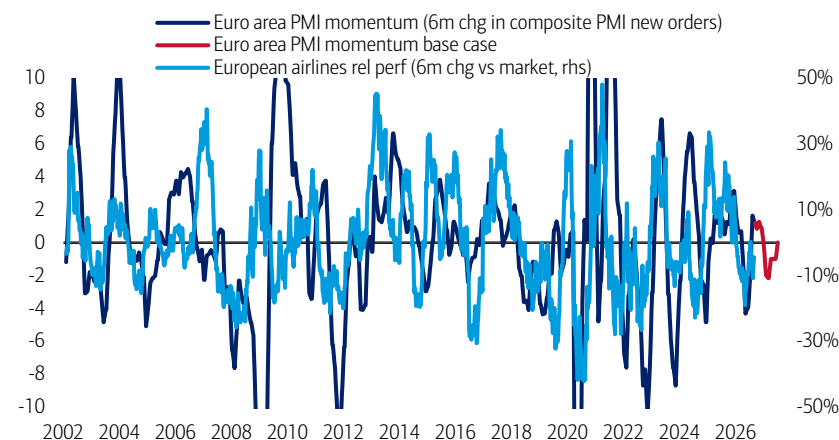
BofA GLOBAL RESEARCH



Marketweight airlines as current Iran standoff challenges base case for lower oil prices

Exhibit 176: As a domestic sector, airlines tends to outperform when Euro area PMI momentum is positive, and underperform when it is negative, as we expect it to be over the coming months

European airlines relative performance versus Euro area PMIs (2002 to 2026)

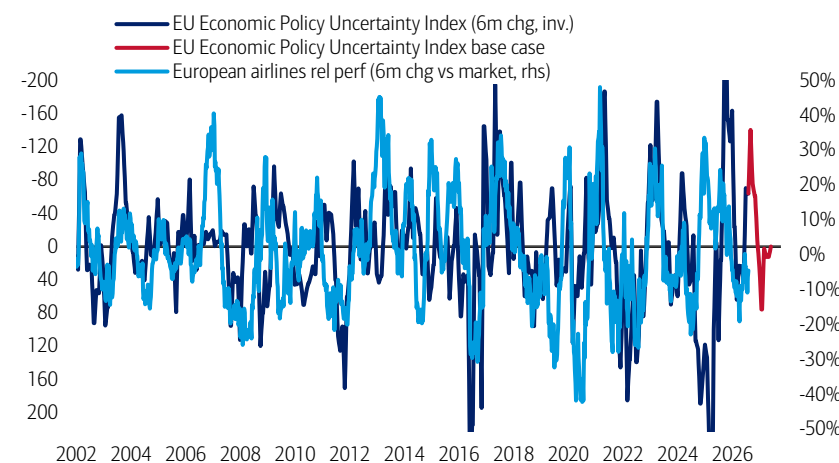


Source: BofA Global Research estimates, LSEG Data & Analytics, Haver

BofA GLOBAL RESEARCH

Exhibit 178: Airlines are vulnerable to a rise in European policy uncertainty, and tend to benefit if uncertainty fades

European airlines relative performance versus EU economic policy uncertainty (2002 to 2026)

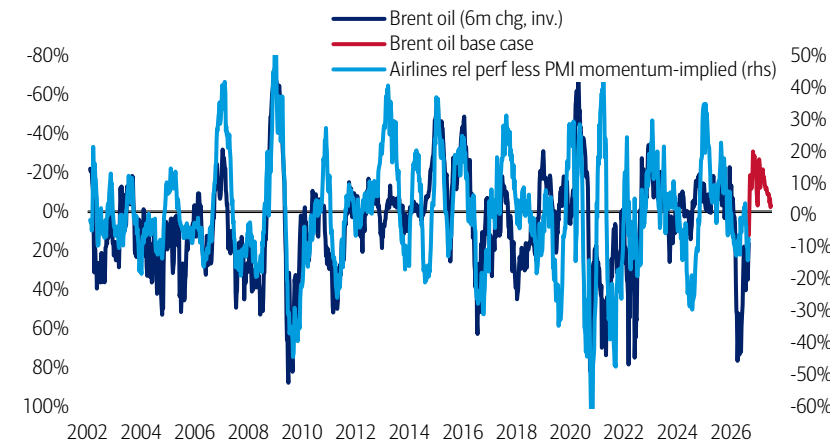


Source: BofA Global Research estimates, LSEG Data & Analytics

BofA GLOBAL RESEARCH

Exhibit 177: The sector tends to underperform the PMI-implied trajectory when the oil price rises, given that oil is the sector's main cost driver

European airlines relative performance versus Brent crude (2002 to 2026)

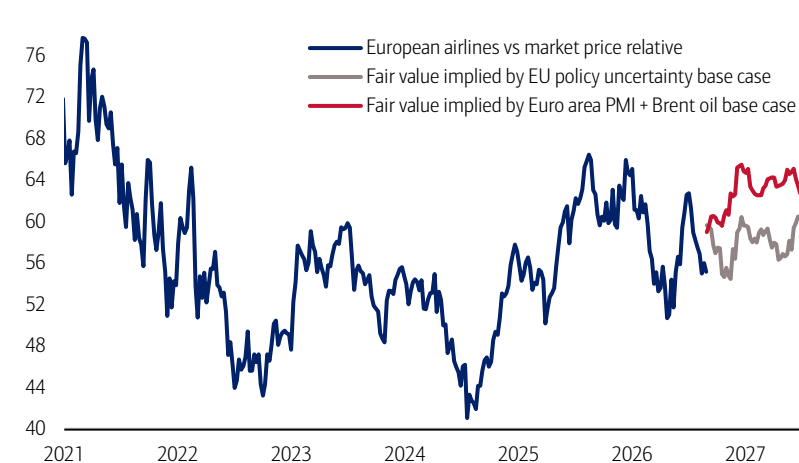


Source: BofA Global Research estimates, LSEG Data & Analytics

BofA GLOBAL RESEARCH

Exhibit 179: Following the renewed decline, our base-case macro projections point to around 20% upside for airlines' price relative over the coming months

European airlines performance projections (2020 to 2026)



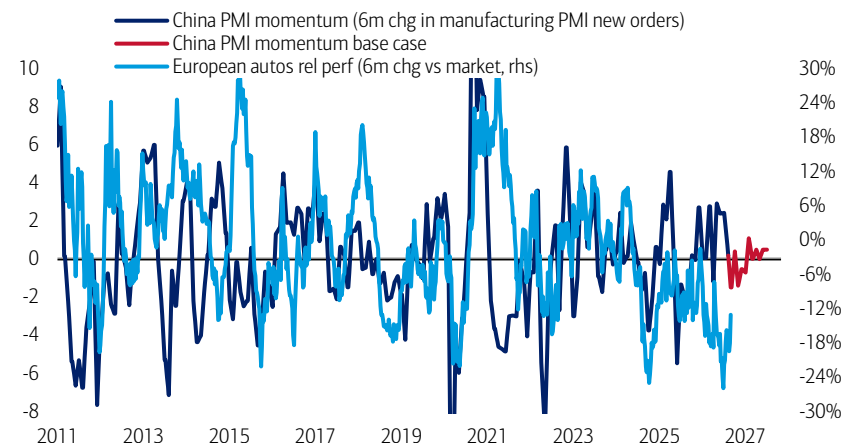
Source: BofA Global Research estimates, LSEG Data & Analytics

BofA GLOBAL RESEARCH

Marketweight autos with structural concerns suppressing a cyclical catch-up

Exhibit 180: Autos' relative performance tends to track China growth momentum, with our base case for the China PMI pointing to scope for upside for autos' price relative

European autos relative performance versus China PMIs (2011 to 2026)

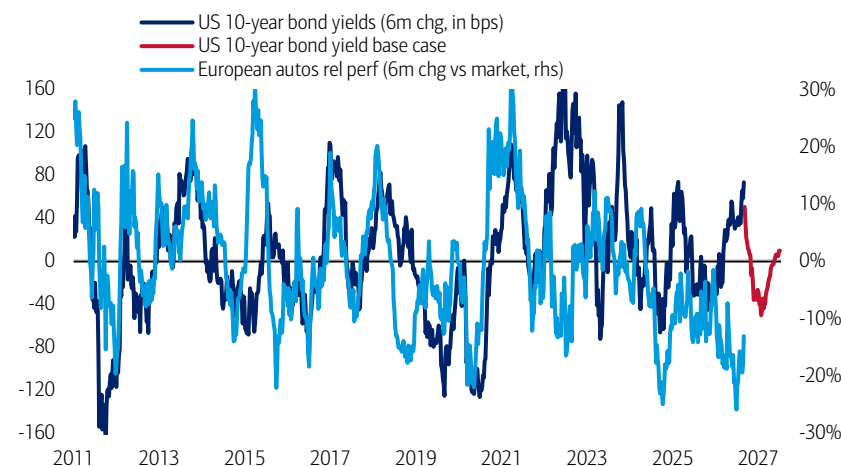


Source: BofA Global Research estimates, LSEG Data & Analytics, Haver

BofA GLOBAL RESEARCH

Exhibit 182: As a value sector, autos tends to underperform the market when bond yields decline, as we expect them to

European autos relative performance versus US 10-year nominal bond yield (2011 to 2026)

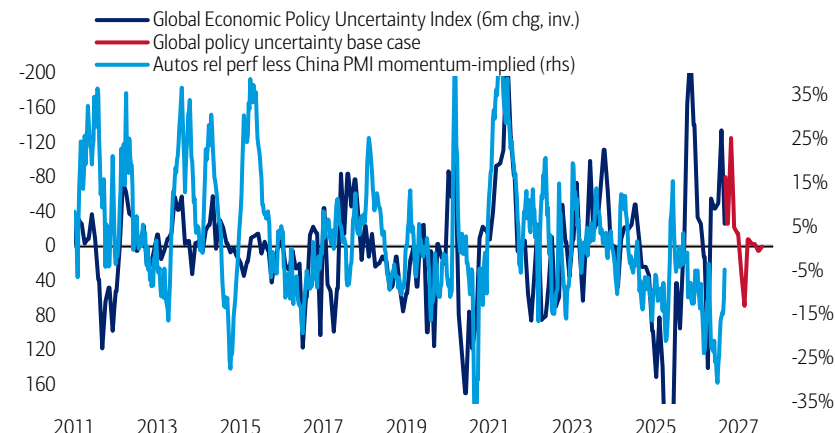


Source: BofA Global Research estimates, LSEG Data & Analytics

BofA GLOBAL RESEARCH

Exhibit 181: Autos tends to outperform the China growth-implied trajectory when global economic policy uncertainty is falling and vice versa

European autos versus China PMIs versus global economic policy uncertainty (2011 to 2026)

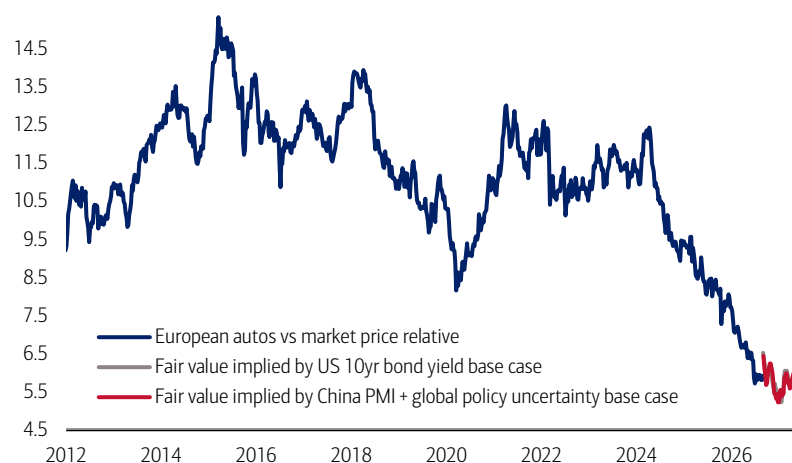


Source: BofA Global Research estimates, LSEG Data & Analytics

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Exhibit 183: Autos have underperformed by more than 40% over the last two years. In our base case, we see over 10% further underperformance for autos' price relative by end-2026

European autos performance projections (2012 to 2026)



Source: BofA Global Research estimates, LSEG Data & Analytics

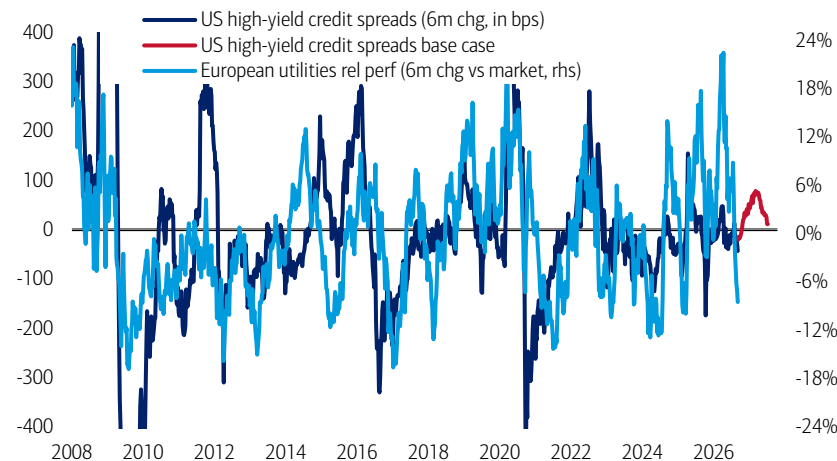
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Marketweight utilities though sector looks interesting again after latest correction

Exhibit 184: We expect US high-yield credit spreads, which is consistent with utilities' outperformance

European utilities relative performance versus US high-yield credit spreads (2008 to 2026)

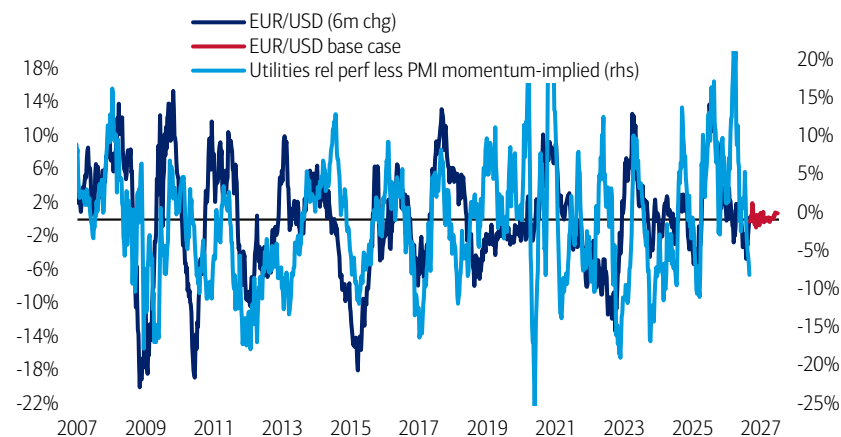


Source: BofA Global Research estimates, LSEG Data & Analytics

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Exhibit 186: With 80% of revenues coming from Europe, utilities tend to outperform the growth-implied fair value when the EUR/USD appreciates

European utilities relative performance versus EUR/USD (2007 to 2026)

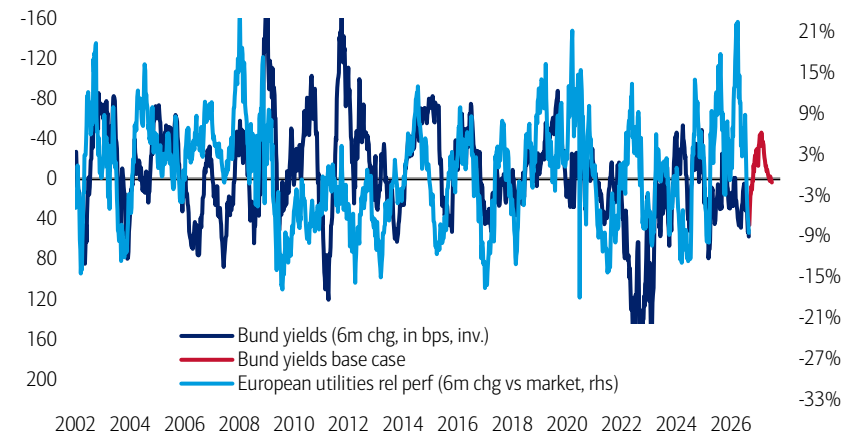


Source: BofA Global Research estimates, LSEG Data & Analytics

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Exhibit 185: If Bund yields decline in line with our expectations, this should support outperformance for domestic bond-proxy sectors like utilities

European utilities relative performance versus Bund yields (2002 to 2026)

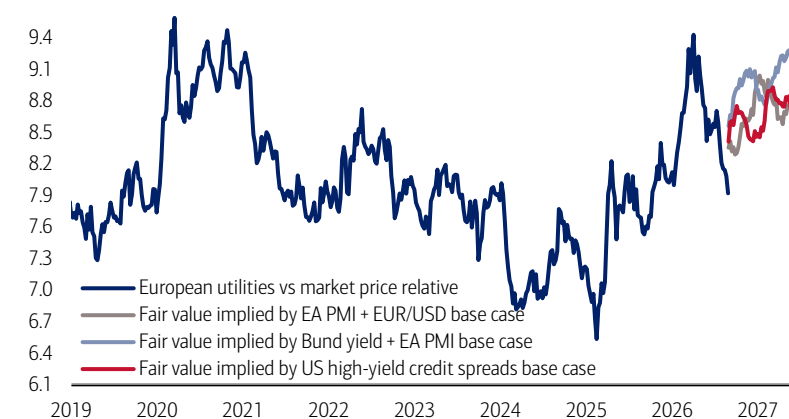


Source: BofA Global Research estimates, LSEG Data & Analytics

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Exhibit 187: The recent weakness has pared the outperformance for utilities since February last year to over 20%, with our macro assumptions now starting to imply renewed upside

European utilities performance projections (2018 to 2026)



Source: BofA Global Research estimates, LSEG Data & Analytics

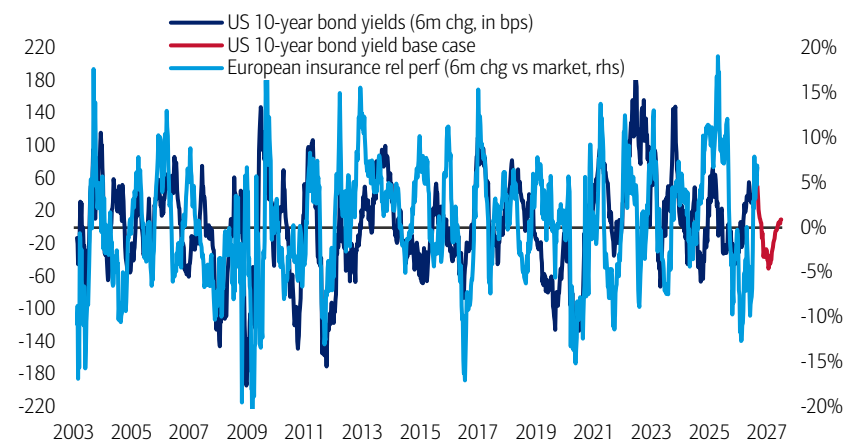
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Marketweight insurance but risks are skewed to the downside

Exhibit 188: Insurance's relative price index typically moves in line with the US 10-year bond yield, which we expect to decline on the back of weakening growth

European insurance relative performance versus US 10-year nominal bond yield (2003 to 2026)

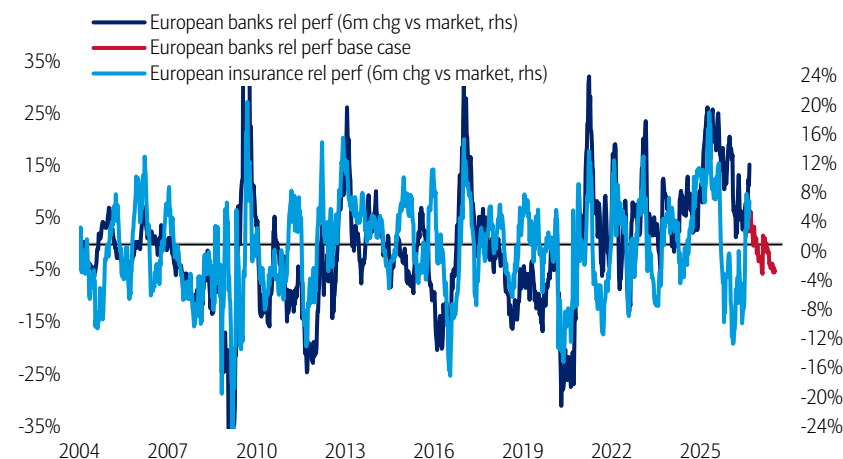


Source: BofA Global Research estimates, LSEG Data & Analytics

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Exhibit 190: Insurance tends to move in line with banks outperformance and we see downside for banks' relative price index over the coming months

European insurance relative performance versus European banks (2004 to 2026)

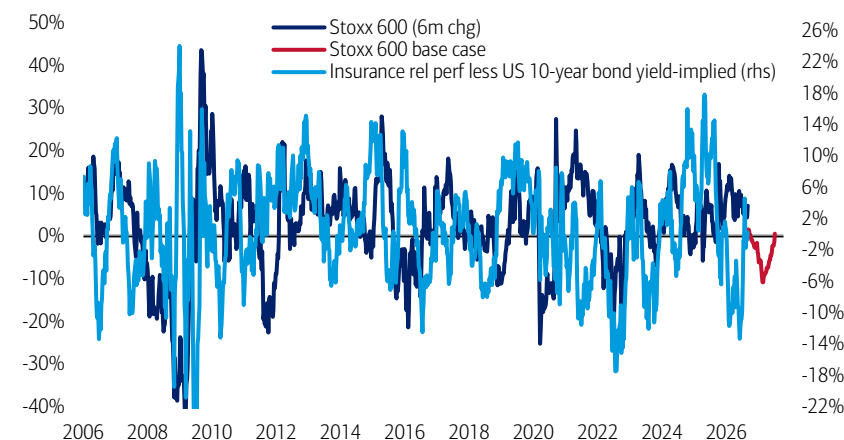


Source: BofA Global Research estimates, LSEG Data & Analytics

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Exhibit 189: Insurance tends to underperform the yield-implied fair value when European equities fall, as we expect them to

European insurance relative performance versus the Stoxx 600 (2007 to 2026)



Source: BofA Global Research estimates, LSEG Data & Analytics

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Exhibit 191: Insurance has underperformed by around 10% since April last year. Our yield and equity market projections point to a 5%+ downside for insurance's price relative over the coming months, but this is not enough for us to re-enter into an underweight position

European insurance performance projections (2019 to 2026)



Source: BofA Global Research estimates, LSEG Data & Analytics

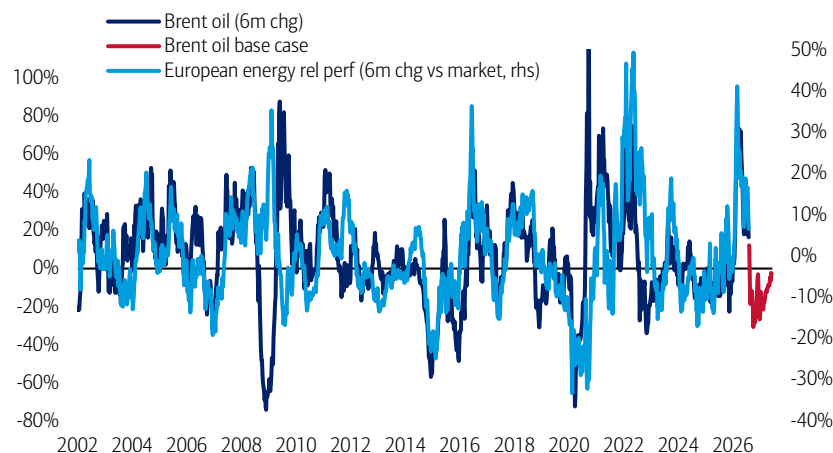
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Marketweight energy after the big reversal

Exhibit 192: Energy's relative performance typically moves in line with oil, and the risk of continuously high oil prices is rising given the current standoff in the Strait of Hormuz

European energy relative performance versus Brent crude (2002 to 2026)

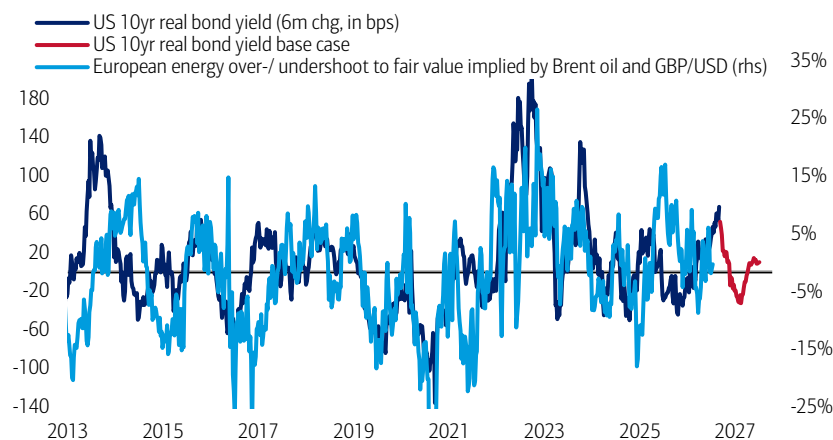


Source: BofA Global Research estimates, LSEG Data & Analytics

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Exhibit 194: Over- and undershoots in energy relative to the fair value implied by Brent oil and GBP/USD tend to track real bond yields, with energy's short duration making it more vulnerable to a falling discount rate than the rest of the market

European energy analysis residual versus US 10-year real bond yields (2013 to 2026)

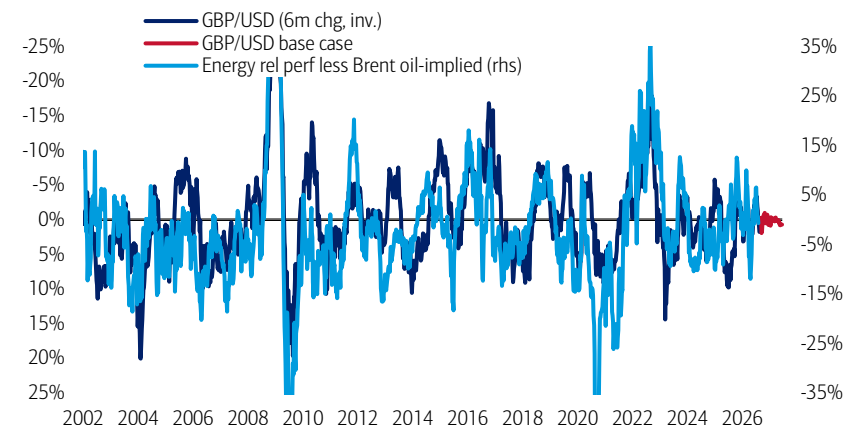


Source: BofA Global Research estimates, LSEG Data & Analytics

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Exhibit 193: The sector tends to overshoot its oil-implied trajectory in periods of GBP weakness

European energy relative performance versus GBP/USD (2002 to 2026)

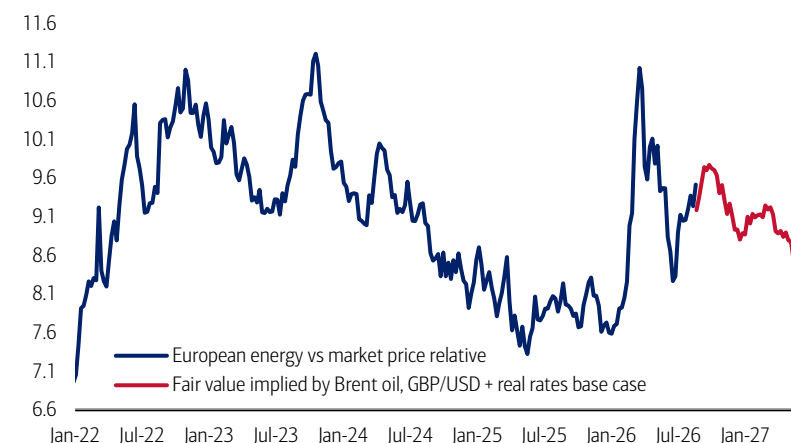


Source: BofA Global Research estimates, LSEG Data & Analytics

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Exhibit 195: Energy has outperformed the market by 15%+ since early July. Our oil, FX and rates base-case assumptions point to more than 10% downside for energy's price relative over the coming months, though ongoing US / Iran tensions keeps us marketweight

European energy performance projections (2022 to 2026)



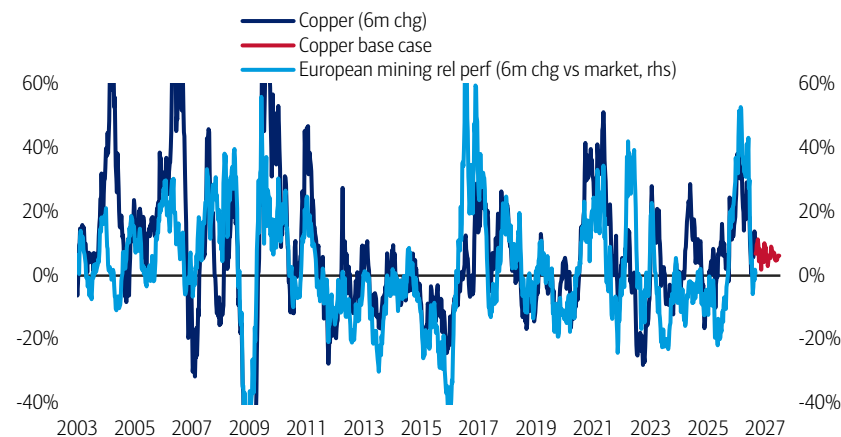
Source: BofA Global Research estimates, LSEG Data & Analytics

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Marketweight mining following the recent roll-over

Exhibit 196: Mining's relative performance typically moves in line with the copper price, which has risen sharply over the past six months

European mining relative performance versus the copper price (2003 to 2026)

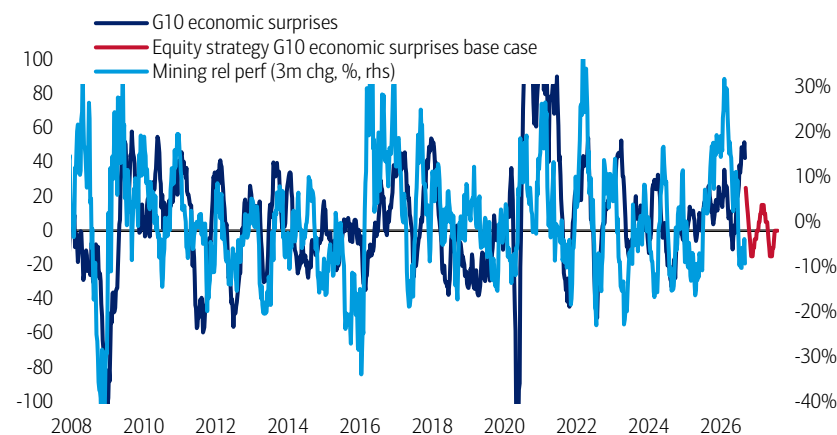


Source: BofA Global Research estimates, LSEG Data & Analytics

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Exhibit 198: As a high-beta cyclical, mining tends to underperform when global macro surprises are negative, and we expect them to move back into negative territory over the coming months

European mining relative performance versus G10 economic surprise index (2008 to 2026)

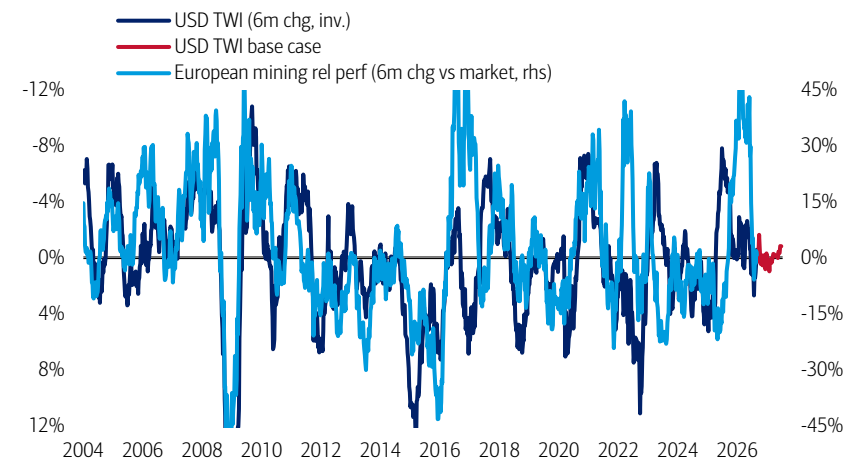


Source: BofA Global Research estimates, LSEG Data & Analytics

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Exhibit 197: USD weakness tends to support outperformance for the mining sector

European mining relative performance versus USD TWI (2004 to 2026)

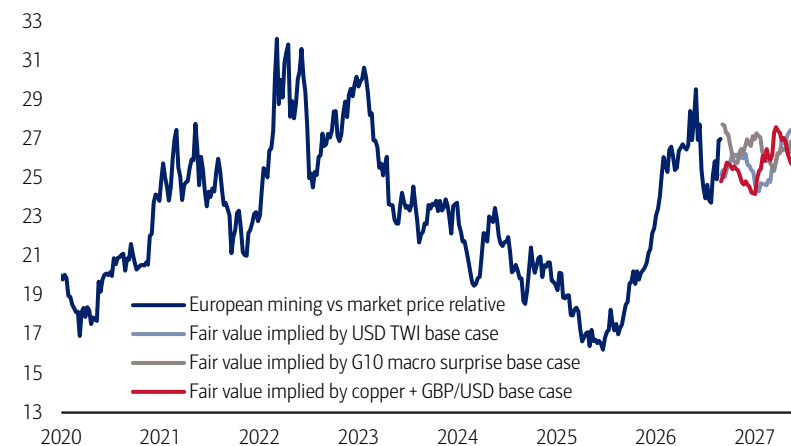


Source: BofA Global Research estimates, LSEG Data & Analytics

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Exhibit 199: Mining has underperformed by around 10% since early June, reversing some of the sharp outperformance seen over the past year. Our macro projections point to around 10% further downside for mining's price relative over the coming months

European mining relative performance projections (2020 to 2026)



Source: BofA Global Research estimates, LSEG Data & Analytics

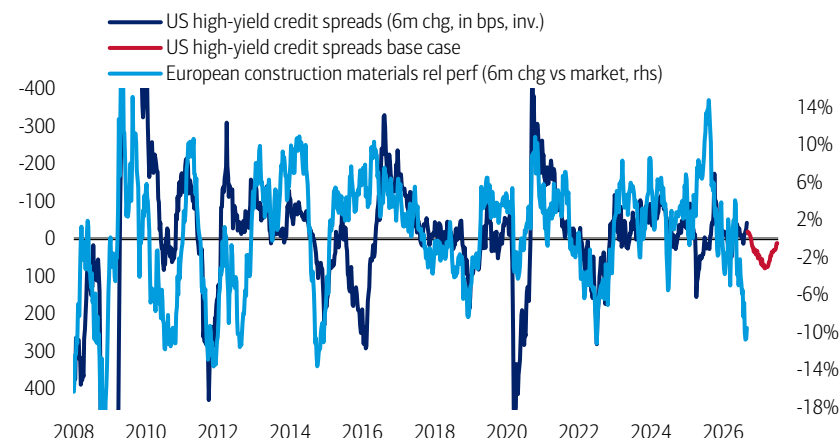
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Marketweight construction materials given limited further macro-implied downside

Exhibit 200: Construction materials typically underperforms when US high-yield credit spreads widen as we expect them to

European construction materials relative performance versus high yield spreads (2008 to 2026)

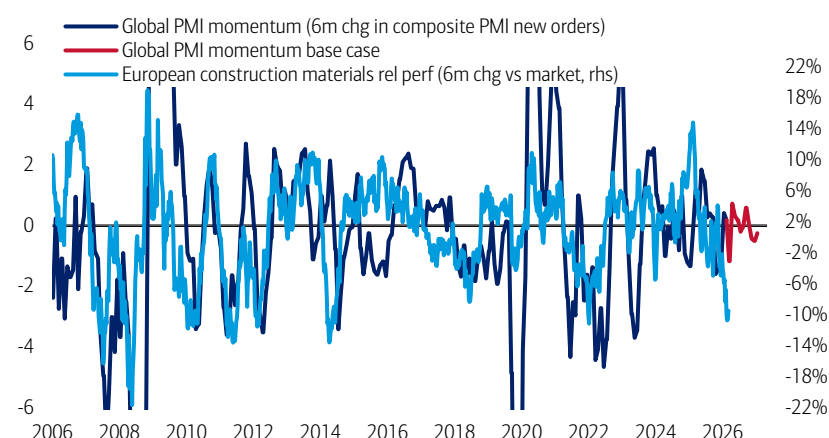


Source: BofA Global Research estimates, LSEG Data & Analytics

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Exhibit 201: Construction materials typically underperforms the market when global growth slows, i.e. global PMIs decline, as we expect it to over the coming months

European construction materials relative performance versus global PMIs (2006 to 2026)

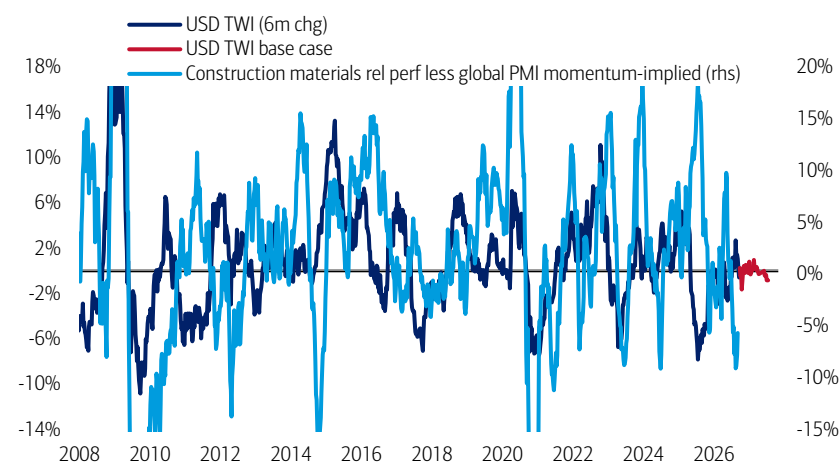


Source: BofA Global Research estimates, Haver, LSEG Data & Analytics

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Exhibit 202: Owing to the sector's relatively high US sales exposure, construction materials tends to undershoot the global growth-implied trajectory when the USD weakens

European construction materials versus USD trade-weighted index (TWI) (2008 to 2026)

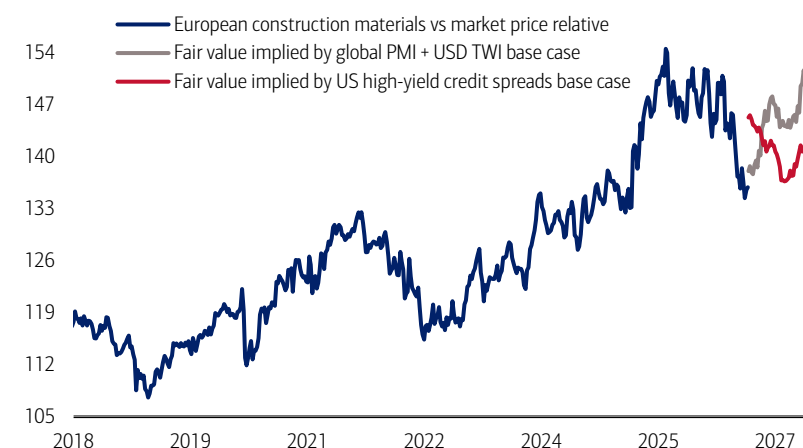


Source: BofA Global Research estimates, LSEG Data & Analytics

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Exhibit 203: Following a 10%+ underperformance over the past year, our macro projections imply no further downside potential for construction materials' price relative over the coming months

European construction materials performance projections (2007 to 2026)



Source: BofA Global Research estimates, LSEG Data & Analytics

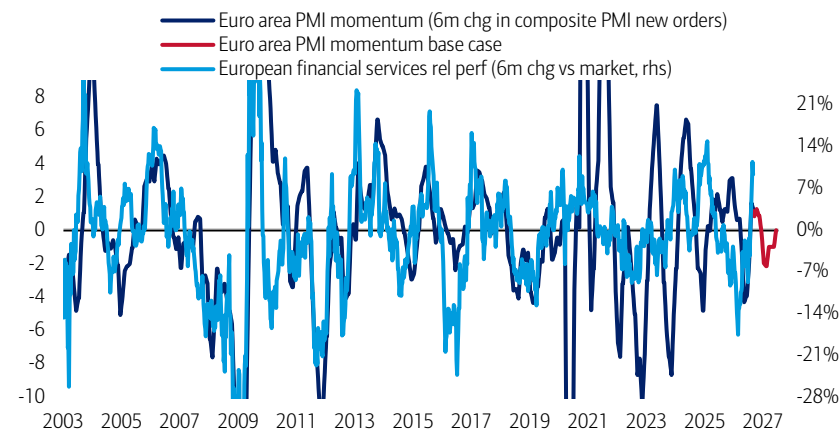
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We have recently lowered fin services from marketweight to underweight

Exhibit 204: Financial services are typically sensitive to the Euro area macro cycle, outperforming the market when Euro area PMIs rise and underperforming when PMIs decline

European financial services relative performance versus Euro area PMIs (2003 to 2026)

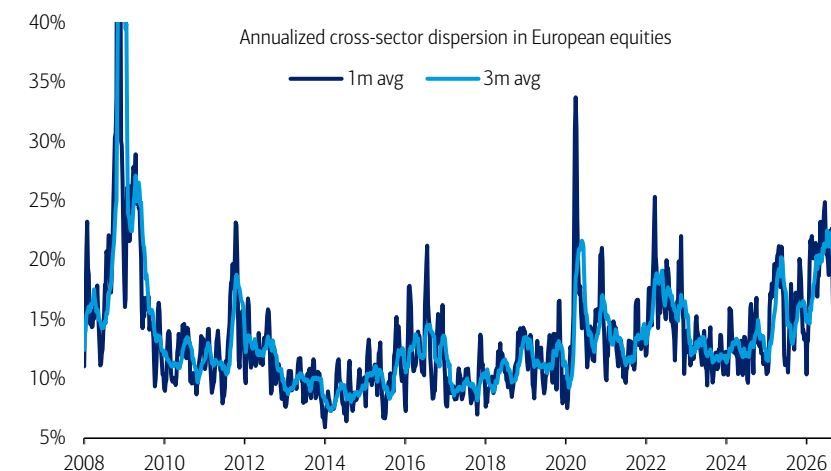


Source: BofA Global Research estimates, LSEG Data & Analytics, Haver

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Exhibit 206: 3-month average cross-sector dispersion in Europe has surged to a level seen only three times post the financial crisis

Cross-sectional standard deviation of weekly annualised sector returns (2008 to now)

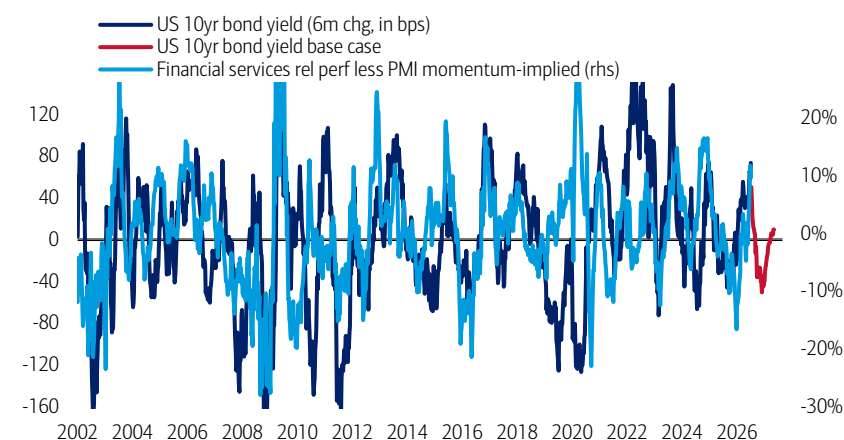


Source: BofA Global Research, LSEG Data & Analytics

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Exhibit 205: Financial services tend to overshoot the EA PMI-implied trajectory when bond yields are rising, and undershoot when bond yields fall, as we expect them to

European financial services relative performance versus US 10-year bond yields (2002 to 2026)

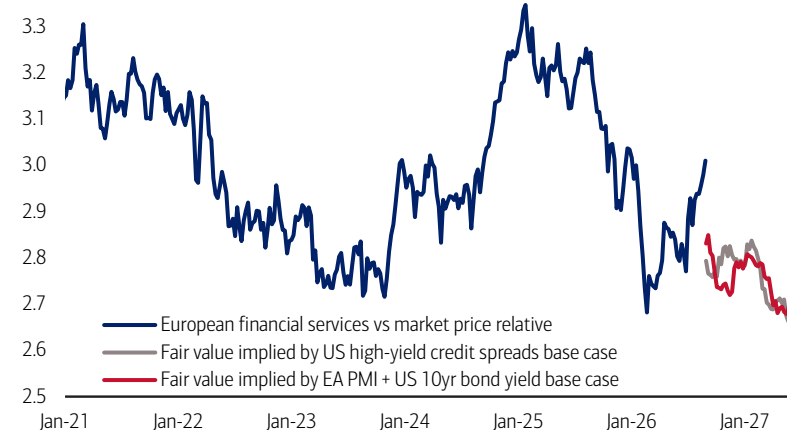


Source: BofA Global Research estimates, LSEG Data & Analytics

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Exhibit 207: Financial services have outperformed by over 10% over recent months, partly reversing the previous underperformance. Our macro projections imply more than 10% renewed underperformance over the coming months

European financial services performance projections (2020 to 2026)



Source: BofA Global Research estimates, LSEG Data & Analytics

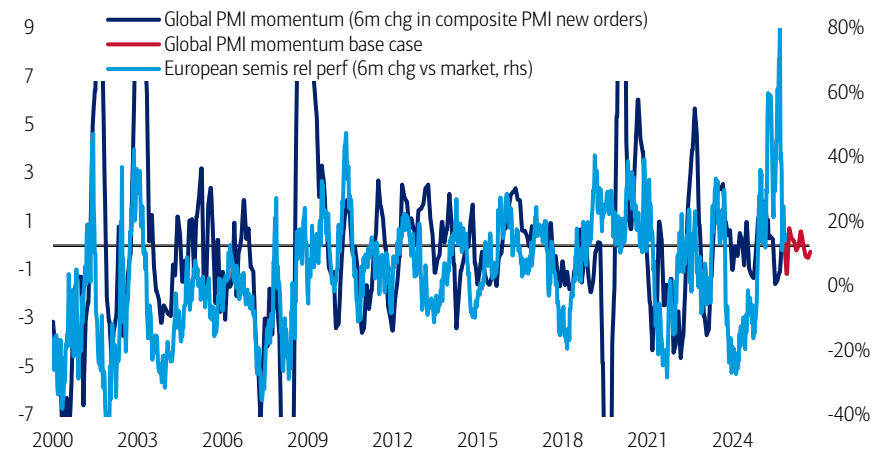
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Underweight semis on the potential for AI capex to disappoint

Exhibit 208: Semis' relative performance tends to move in line with global growth, but the sector has rallied well ahead of the macro backdrop thanks to AI demand tailwinds

European semis relative performance versus global PMIs (2000 to 2026)



Source: BofA Global Research estimates, Haver, LSEG Data & Analytics

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Exhibit 210: The European semis outperformance has been much stronger than for US semis this year, after European semis had mostly lagged in past years

European semis relative performance versus US semis relative performance

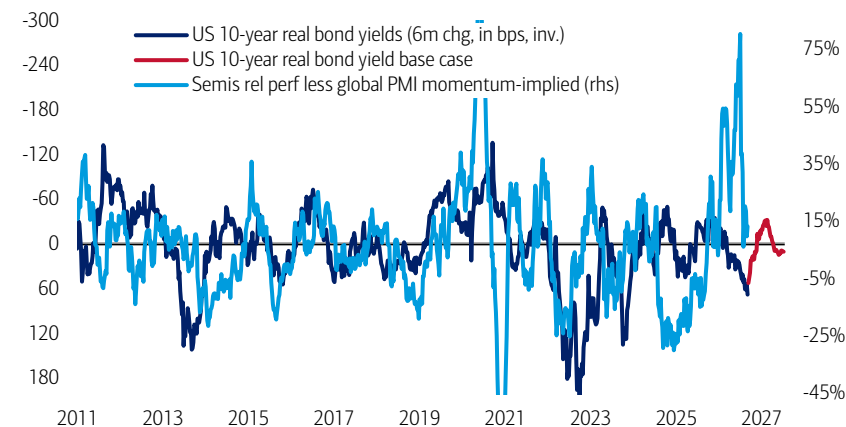


Source: BofA Global Research, LSEG Data & Analytics

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Exhibit 209: Given semis' status as a growth sector, it tends to outperform the global PMI-implied trajectory when real bond yields fade, i.e. the discount rate for equities declines, as we expect them to in response to more dovish central banks, but the sector is well priced for this

European semis relative performance versus US 10-year TIPS yield (2006 to 2026)



Source: BofA Global Research estimates, LSEG Data & Analytics

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Exhibit 211: Semis' price relative has risen by 90%+ since April last year, even after adjusting for around 20% underperformance since late June. Our PMI and real bond yield projections point to around 5% further underperformance over the coming months

European semis performance projections (2021 to 2026)



Source: BofA Global Research estimates, LSEG Data & Analytics

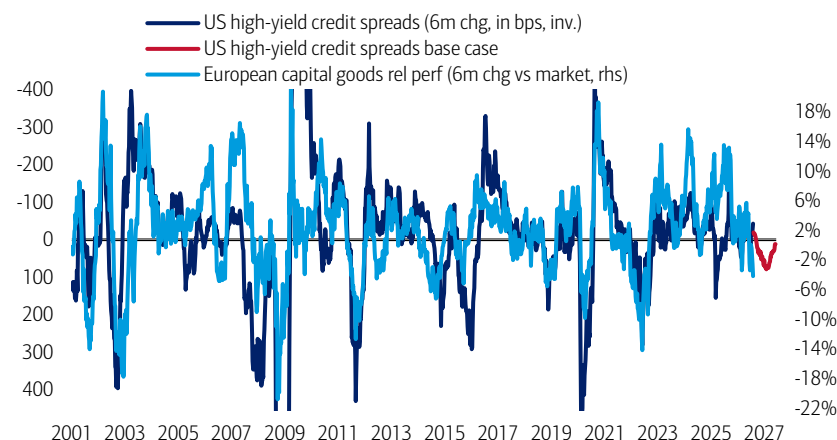
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Underweight capital goods given scope for an AI air pocket and higher risk premia

Exhibit 212: Widening US high-yield credit spreads typically lead to capital goods underperformance and we expect spreads to widen in response to fading global growth momentum

European capital goods relative performance versus US high-yield credit spreads (2001 to 2026)

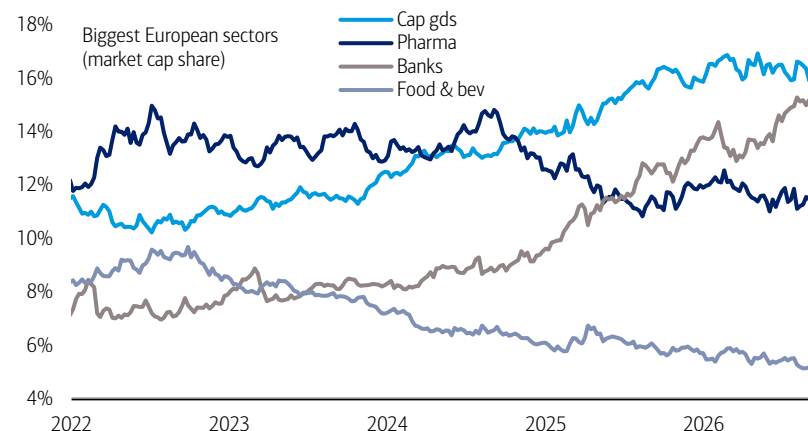


Source: BofA Global Research estimates, LSEG Data & Analytics

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Exhibit 214: Capital goods' market cap share stands at 16%, ahead of banks (15%), pharma (11%) and food & beverages (5%)

Biggest sectors in Europe by market cap share (2022 to now)

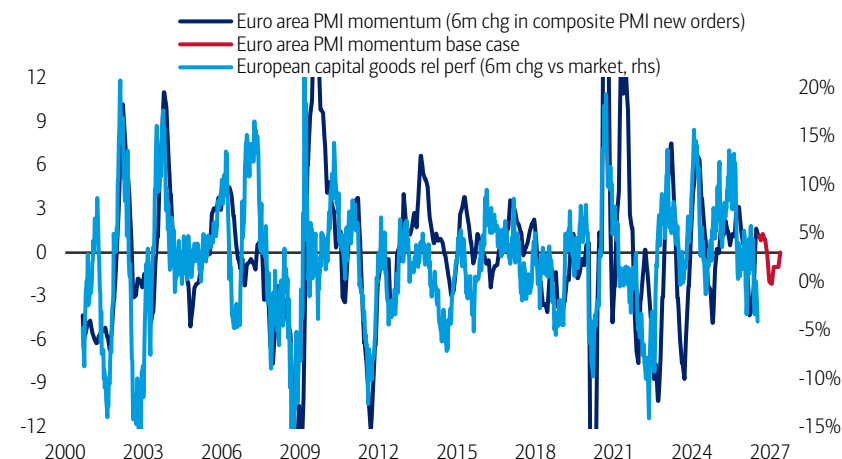


Source: BofA Global Research, LSEG Data & Analytics

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Exhibit 213: A decline in the Euro area PMI, as we expect, tends to be a drag for capital goods' relative performance

European capital goods relative performance versus Euro area PMIs (2000 to 2026)

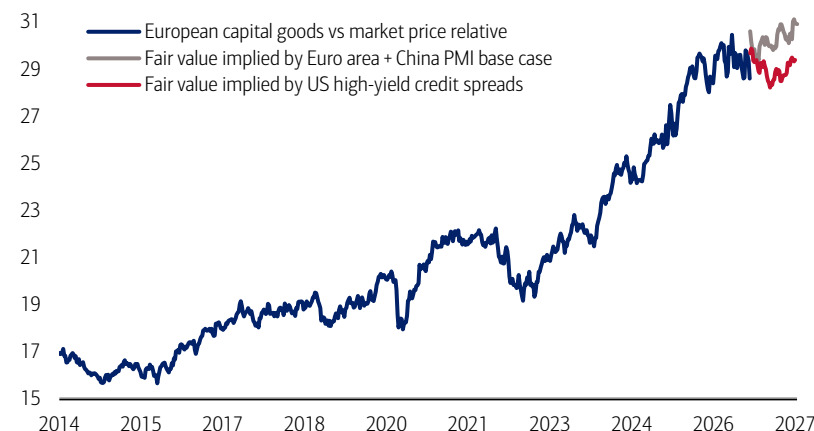


Source: BofA Global Research estimates, LSEG Data & Analytics, Haver

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Exhibit 215: Our macro projections point to a mild further underperformance for capital goods over the coming months, following a 5%+ underperformance since May

European capital goods performance projections (2014 to 2026)



Source: BofA Global Research estimates, LSEG Data & Analytics

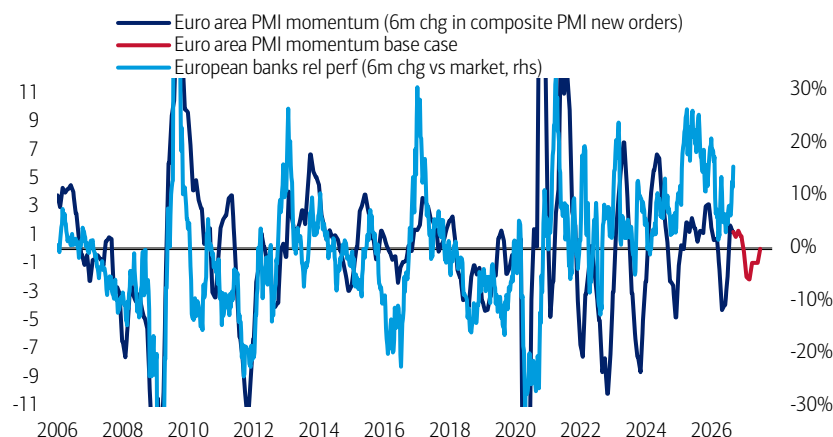
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Underweight banks as risk premia widen and bond yields fade

Exhibit 216: The relative performance for banks tends to move in line with Euro area growth momentum, but has been consistently overshooting in recent years...

European banks relative performance versus Euro area PMIs (2006 to 2026)

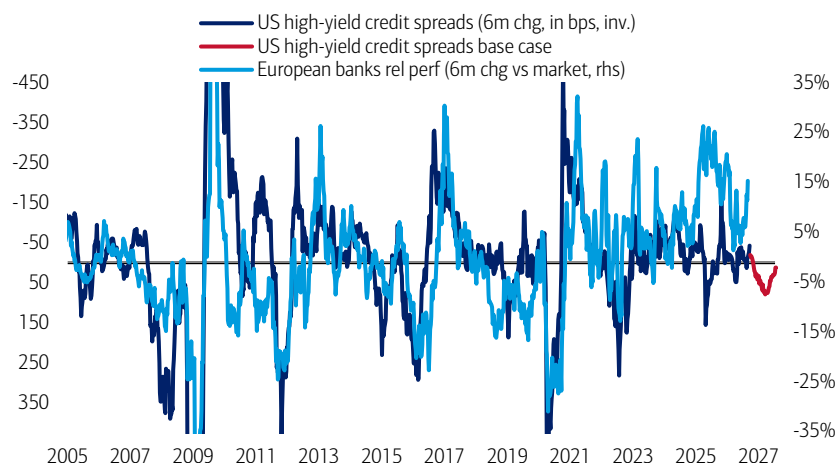


Source: BofA Global Research estimates, Haver, LSEG Data & Analytics

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Exhibit 218: Given their exposure to credit risk, banks tend to underperform when US high-yield credit spreads widen, as we expect them to

European banks relative performance versus US high-yield credit spreads (2005 to 2026)

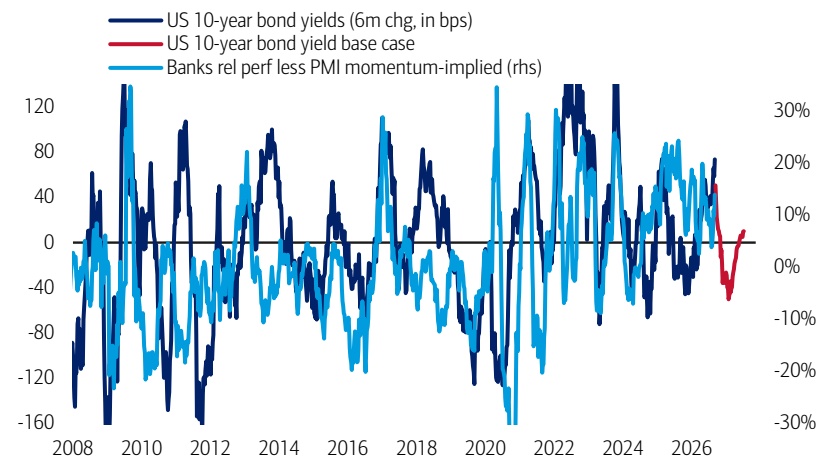


Source: BofA Global Research estimates, LSEG Data & Analytics

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Exhibit 217: ...largely as a function of rising bond yields, though this support has faded this year

European banks relative performance versus US 10-year nominal bond yield (2008 to 2026)

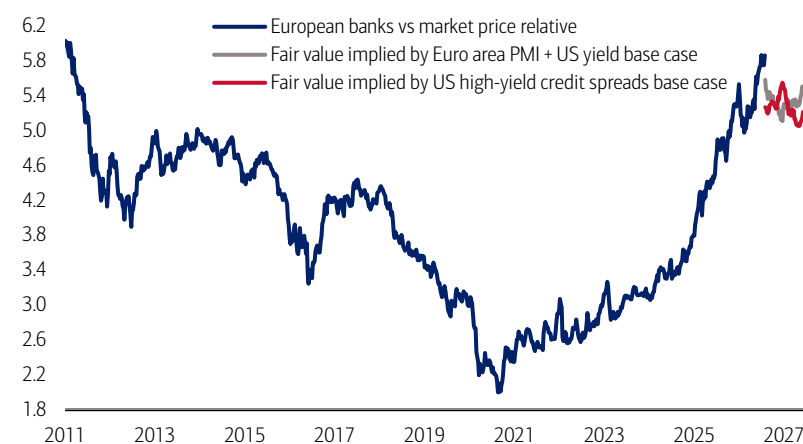


Source: BofA Global Research estimates, LSEG Data & Analytics

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Exhibit 219: Our projections of wider credit spreads, lower yields and weaker growth points to almost 15% underperformance over the coming months, following the recent roll-over

European banks performance projections (2011 to 2026)



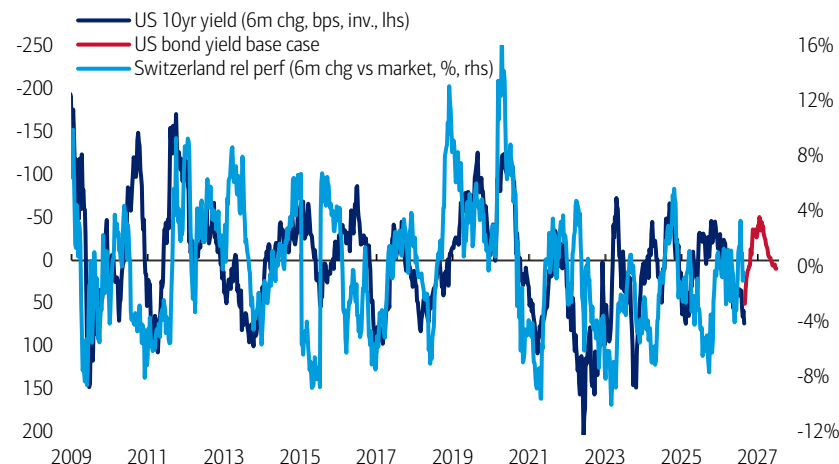
Source: BofA Global Research estimates, LSEG Data & Analytics

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Overweight Switzerland given scope for wider risk premia & defensive outperformance

Exhibit 220: Switzerland's relative performance typically moves inversely to bond yields, which we expect to fade over the coming months

Switzerland relative performance versus US 10-year real bond yields (2009 to 2026)

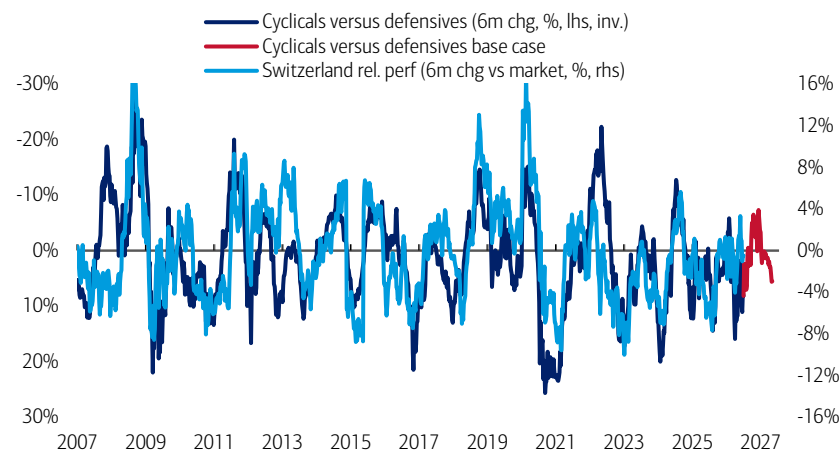


Source: BofA Global Research estimates, LSEG Data & Analytics

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Exhibit 222: Switzerland tends to move inversely with European cyclical versus defensives, which we expect to underperform on softening global growth momentum and rising risk premia

Switzerland relative performance versus European cyclical versus defensives (2006 to 2026)

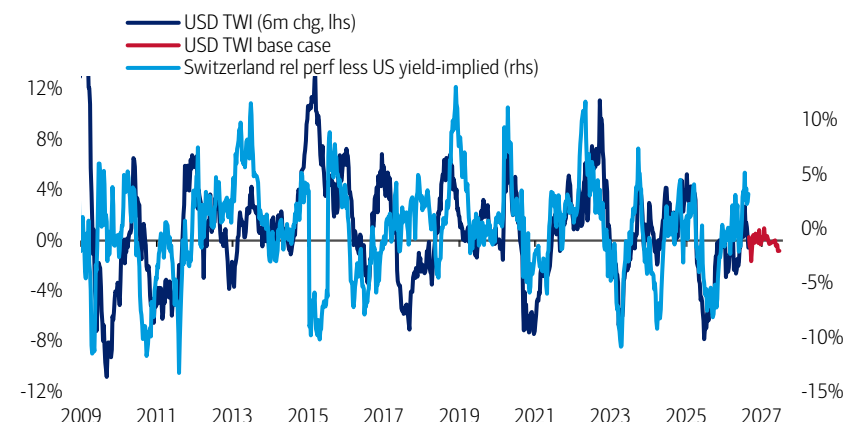


Source: BofA Global Research estimates, LSEG Data & Analytics

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Exhibit 221: Swiss equities tend to underperform the bond yield-implied trajectory when the USD is weakening (given 35% revenue exposure to North America, the highest among major European countries)

Switzerland relative performance versus USD trade-weighted index (2009 to 2026)

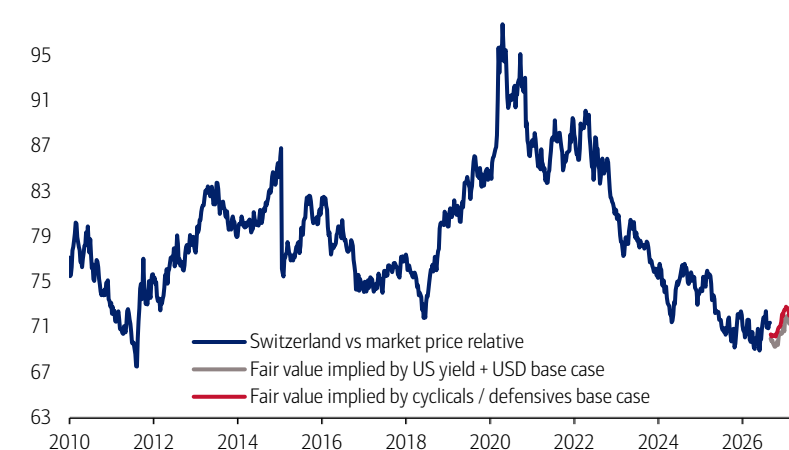


Source: BofA Global Research estimates, LSEG Data & Analytics

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Exhibit 223: Our macro and sector projections point to around 2% further outperformance for Switzerland over the coming months, following 4% outperformance since June

Switzerland performance projections (2009 to 2026)



Source: BofA Global Research estimates, LSEG Data & Analytics

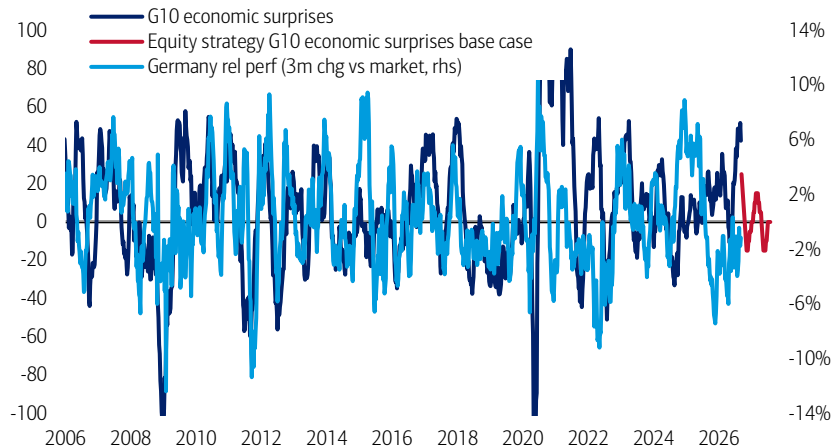
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Overweight Germany given pessimistic growth pricing despite arrival of fiscal stimulus

Exhibit 224: Germany typically outperforms when G10 economic surprises are positive but has undershot the trajectory implied by this relationship recently

Germany relative performance versus G10 economic surprise index (2006 to 2026)

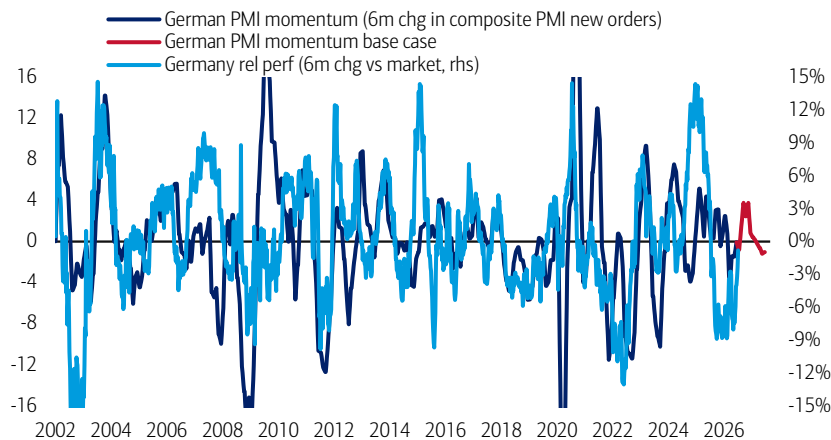


Source: BofA Global Research, LSEG Data & Analytics

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Exhibit 226: Germany is discounting a further deceleration in German growth, with the country's price relative priced for a German PMI around 46, compared to an actual level of 51

Germany relative performance versus German PMIs (2002 to 2026)

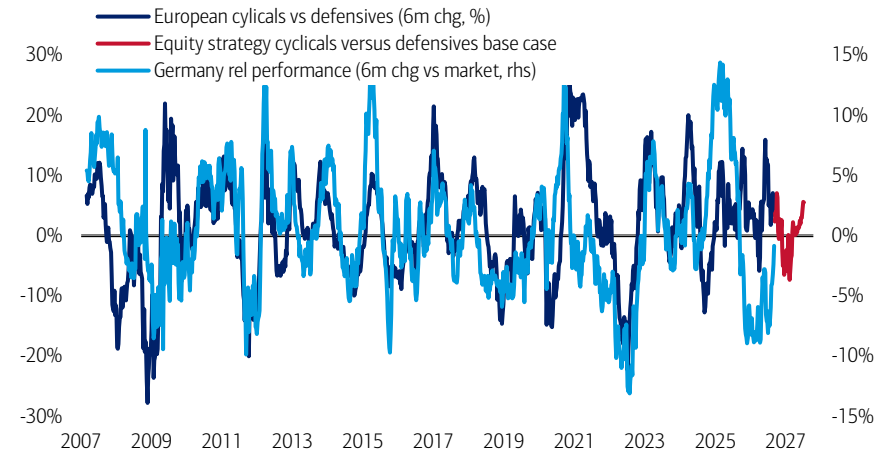


Source: BofA Global Research, LSEG Data & Analytics

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Exhibit 225: Given Germany's pro-cyclical sector composition, it tends to move in line with cyclicals versus defensives overall, but has also been clearly undershooting this relationship

Germany relative performance versus European cyclicals versus defensives (2007 to 2026)

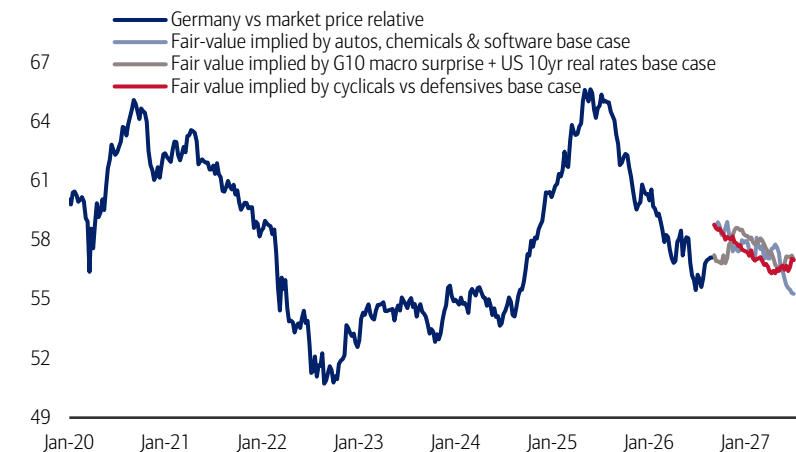


Source: BofA Global Research estimates, LSEG Data & Analytics

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Exhibit 227: Our macro projections point to 3% outperformance potential for Germany over the coming months, following around 10%+ underperformance over the past year

Germany performance projections (2020 to 2026)

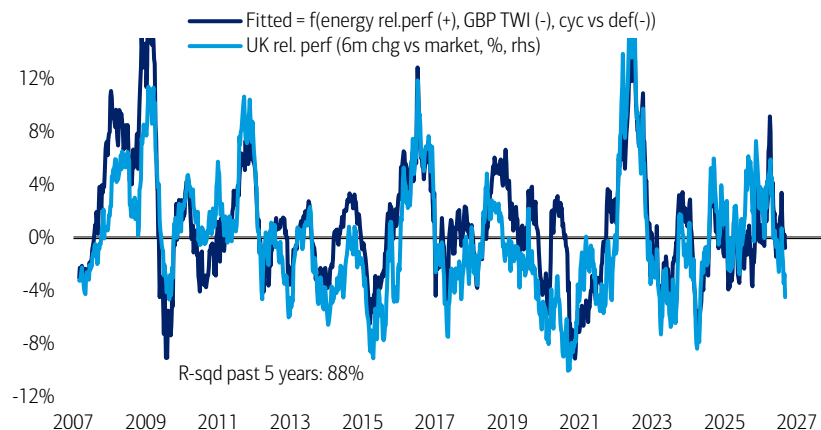


Source: BofA Global Research estimates, LSEG Data & Analytics

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We recently raised the UK from marketweight to overweight

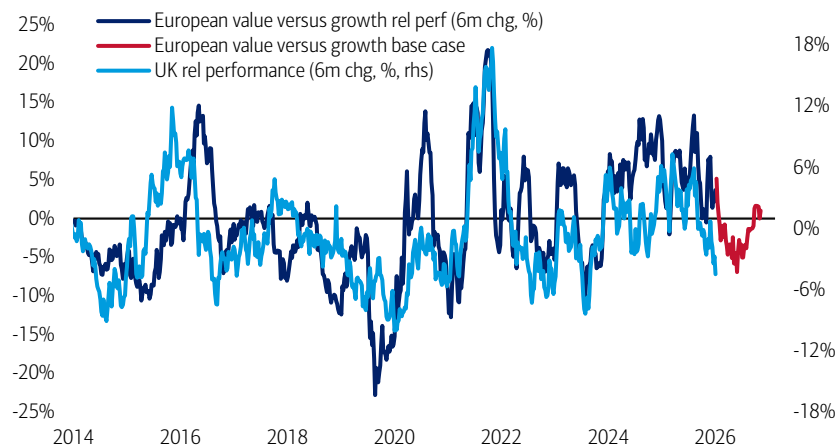
Exhibit 228: Our analysis explains UK's relative performance as a function of: (1) energy's relative performance; (2) performance of cyclicals versus defensives; & (3) moves in the GBP TWI
UK equities' relative performance analysis (2006 to now)



Source: BofA Global Research, LSEG Data & Analytics; the fitted line uses sensitivities derived from 2020 to 2025. It represents the analysis output using input factors available at the time and does not reflect any forecast

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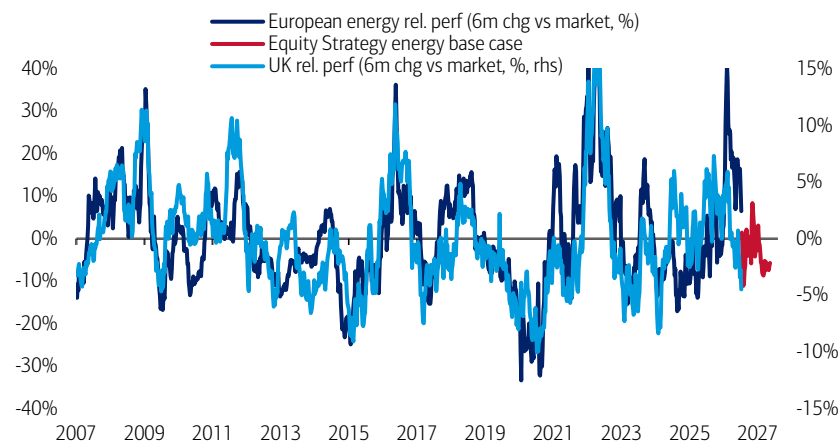
Exhibit 230: UK equities' relative performance tends to track that of European value versus growth stocks, given the high weighting of energy and financials in the UK market
UK equities' relative performance versus European value / growth (2014 to 2026)



Source: BofA Global Research estimates, LSEG Data & Analytics

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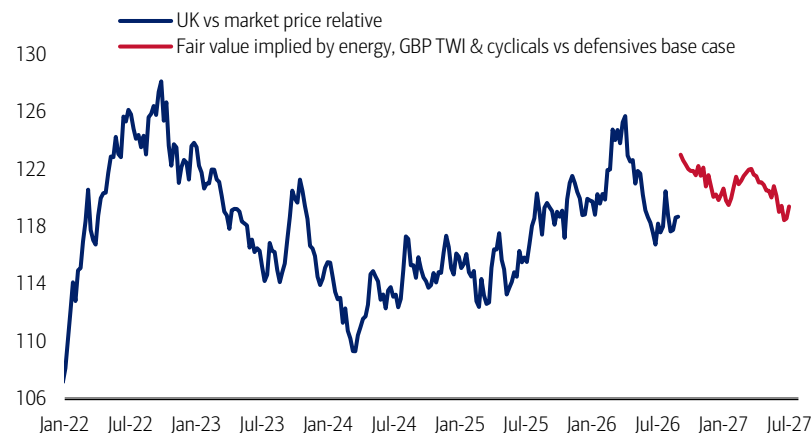
Exhibit 229: As a prominent sector in the UK index, European energy's relative performance tends to dictate the UK's relative performance, but UK has notably undershot energy-implied levels, with limited downside potential
UK equities' relative performance versus European energy (2006 to 2026)



Source: BofA Global Research estimates, LSEG Data & Analytics

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Exhibit 231: Our sector and FX projections point to a moderate upside for the UK's price relative in the months ahead, with our value versus growth forecast implying similar upside
UK performance projections (2022 to 2026)



Source: BofA Global Research estimates, LSEG Data & Analytics

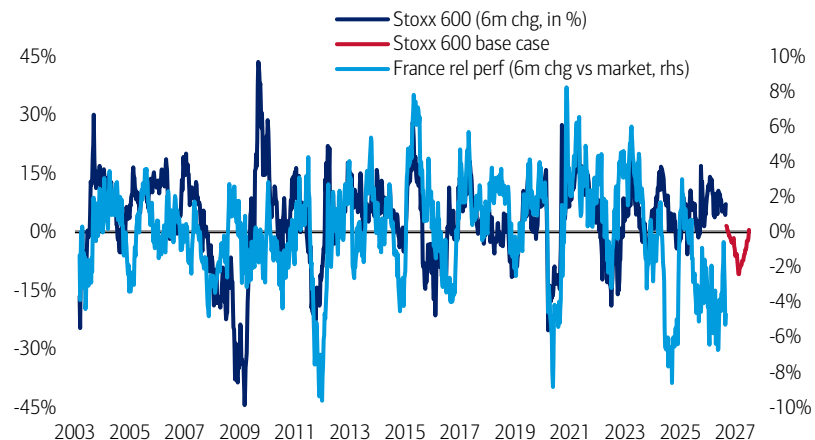
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Marketweight France given ongoing policy and macro uncertainty

Exhibit 232: France is a cyclical index that tends to move in line with European equities overall, underperforming when the Stoxx 600 falls, as we expect it to

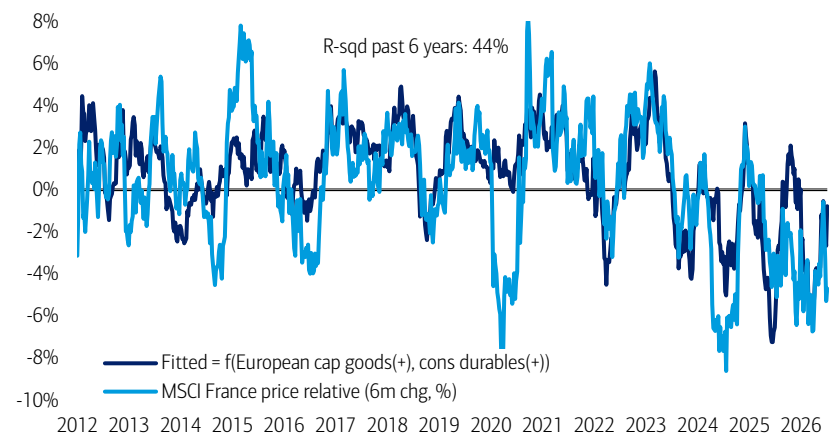
France relative performance versus Stoxx 600 (2003 to 2026)



Source: BofA Global Research estimates, LSEG Data & Analytics

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Exhibit 234: France's relative performance tends to be correlated to that of European capital goods and consumer durables, as these sectors account for 40% of French market cap
France relative performance versus capital goods & consumer durables (i.e. luxury goods) (2012 to now)

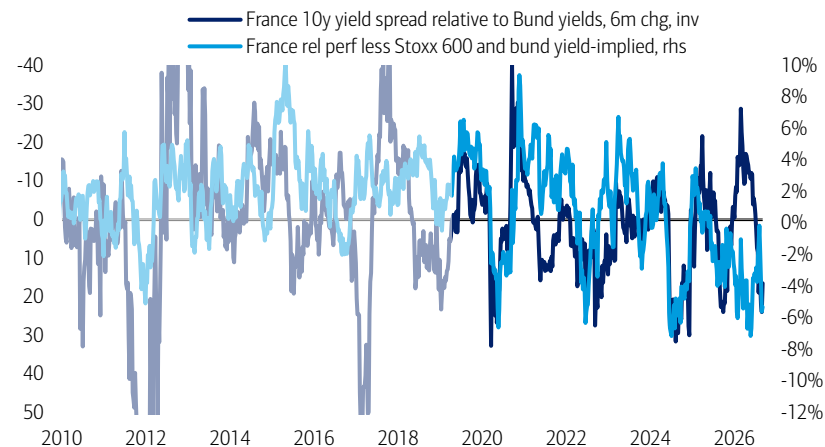


Source: BofA Global Research, LSEG Data & Analytics; the fitted line uses sensitivities derived from 2020 to 2025. It represents the analysis output using input factors available at the time and does not reflect any forecast

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Exhibit 233: France's undershoot relative to our main analysis tends to move in line with the spread between French and German 10-year bond yields – a focal point for French debt concerns

France relative performance versus OAT-Bund yield spreads (2010 to 2026)



Source: BofA Global Research estimates, LSEG Data & Analytics

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Exhibit 235: France has underperformed by nearly 20% since late Q1 2024 amid political instability. Our macro and sector projections point to a positively skewed trajectory for France's price relative over the coming months

France performance projections (2020 to 2026)



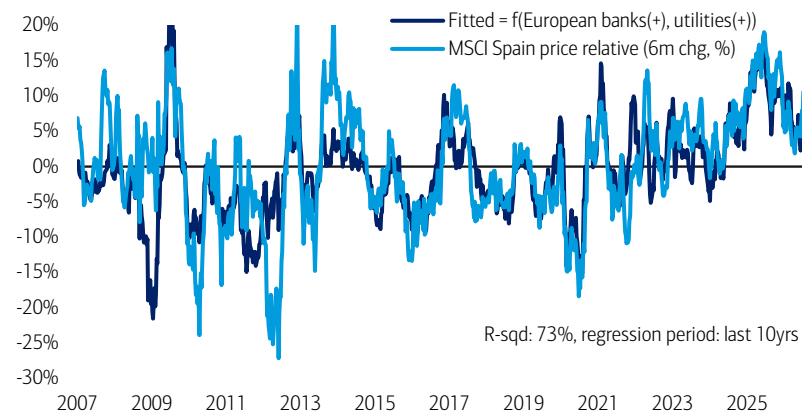
Source: BofA Global Research estimates, LSEG Data & Analytics

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Underweight Spanish equities as we expect banks to underperform

Exhibit 236: Spain's relative performance is highly correlated to European banks' and utilities' relative performance, given their large weighting in the Spanish index, with our sector projections pointing to downside for Spain's price relative

Spain relative performance versus European banks and utilities (2006 to now)

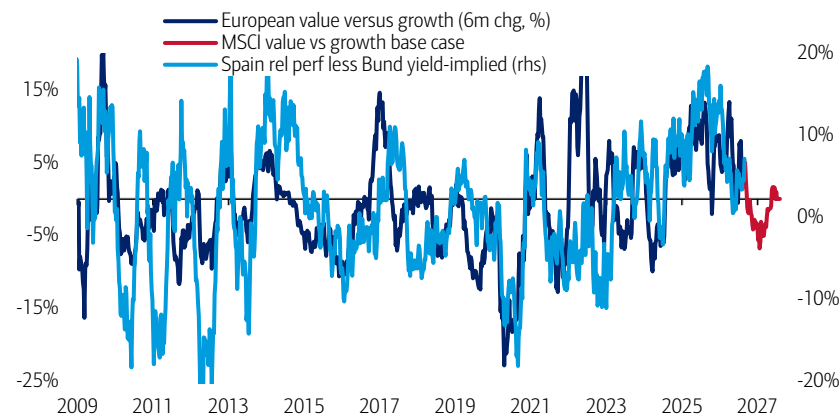


Source: BofA Global Research, LSEG Data & Analytics; the fitted line uses sensitivities derived from 2020 to 2025. It represents the analysis output using input factors available at the time and does not reflect any forecast

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Exhibit 238: Given Spain's high concentration of value stocks, it tends to outperform its bond yield-implied trajectory in periods of European value outperformance, but we see downside for European value versus growth ahead

Spain relative performance versus European value versus growth (2009 to 2026)

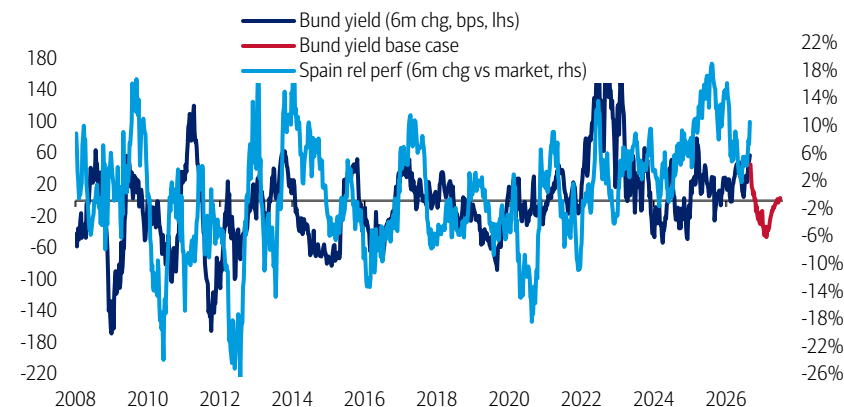


Source: BofA Global Research estimates, LSEG Data & Analytics

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Exhibit 237: Spain's price relative also tends to be sensitive to the Bund yield, given its large weighting of banks, and we expect yields to decline

Spain relative performance versus Bund yields (2008 to 2026)

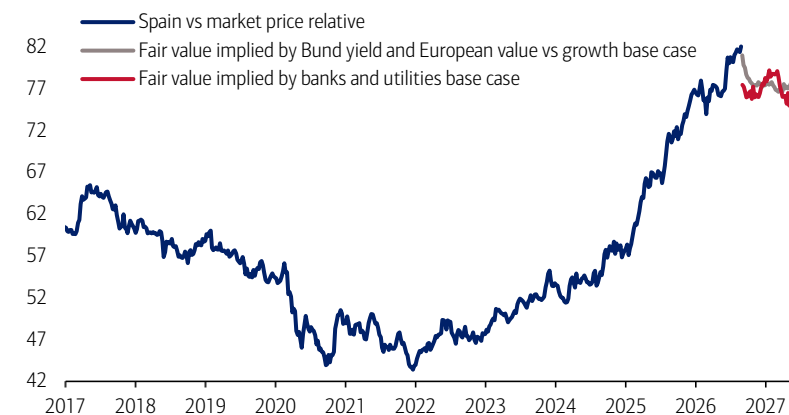


Source: BofA Global Research estimates, LSEG Data & Analytics

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Exhibit 239: Following over 40% outperformance since January last year, our sector projections imply nearly 10% renewed underperformance for Spain, with our projections for bond yields and European value versus growth performance also implying similar downside

Spain performance projections (2017 to 2026)



Source: BofA Global Research estimates, LSEG Data & Analytics

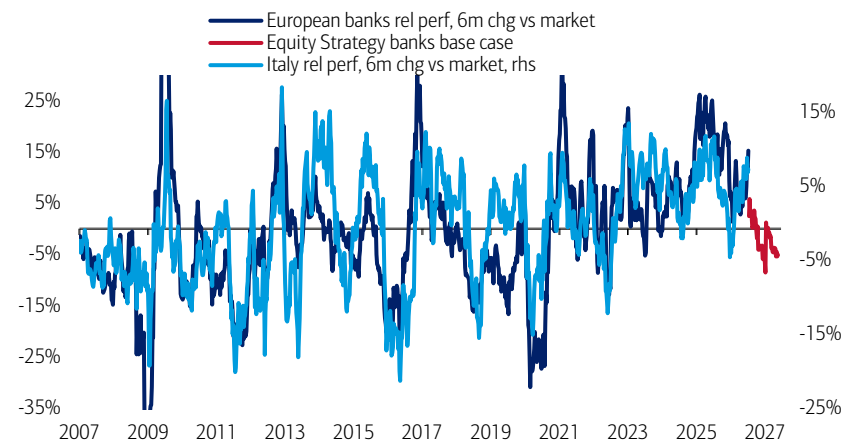
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Underweight Italy given scope for banks underperformance

Exhibit 240: Italy's relative performance is highly correlated to European banks' relative performance, given the large weighting of the sector in the Italian index

Italy relative performance versus European banks (2006 to 2026)

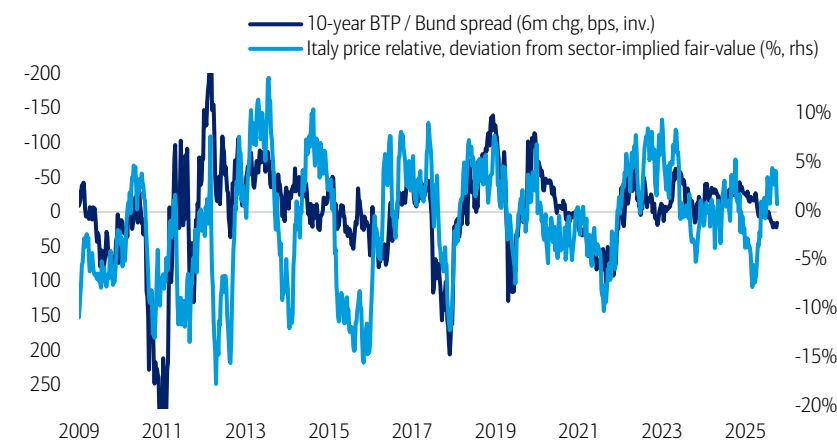


Source: BofA Global Research, LSEG Data & Analytics; the fitted line uses sensitivities derived from 2020 to 2025. It represents the analysis output using input factors available at the time and does not reflect any forecast

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Exhibit 242: Italian equities tend to overshoot their sector-implied fair value when the 10-year BTP / Bund spread tightens

Italy price relative versus 10-year BTP / Bund spread (2009 to now)

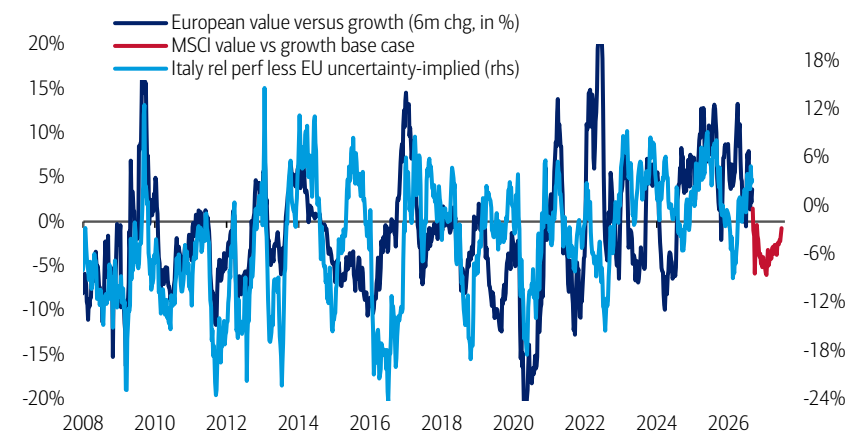


Source: BofA Global Research estimates, LSEG Data & Analytics, Bloomberg

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Exhibit 241: Italy has the highest weighting of value stocks among major European countries, at 75%, and tends to underperform its macro-implied trajectory when European value underperforms growth, as we expect it to in response to lower bond yields

Italy relative performance versus European value versus growth (2008 to 2026)

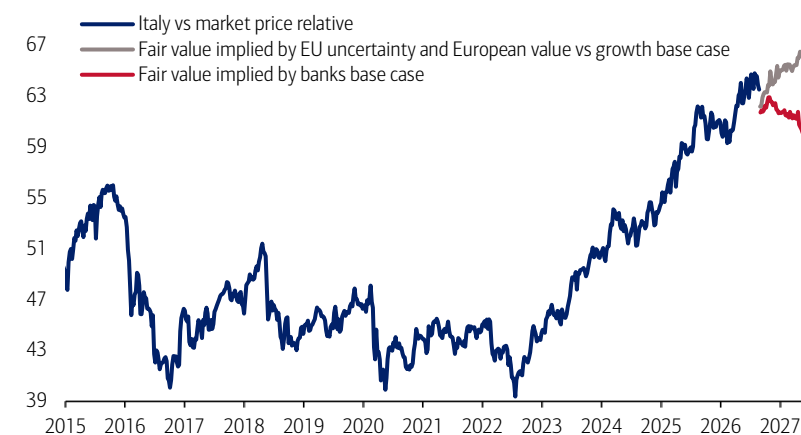


Source: BofA Global Research estimates, LSEG Data & Analytics

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Exhibit 243: Our sector projections imply scope for around 5% underperformance for Italy over the coming months, following the near-persistent outperformance since mid-2022

Italy performance projections (2015 to 2026)



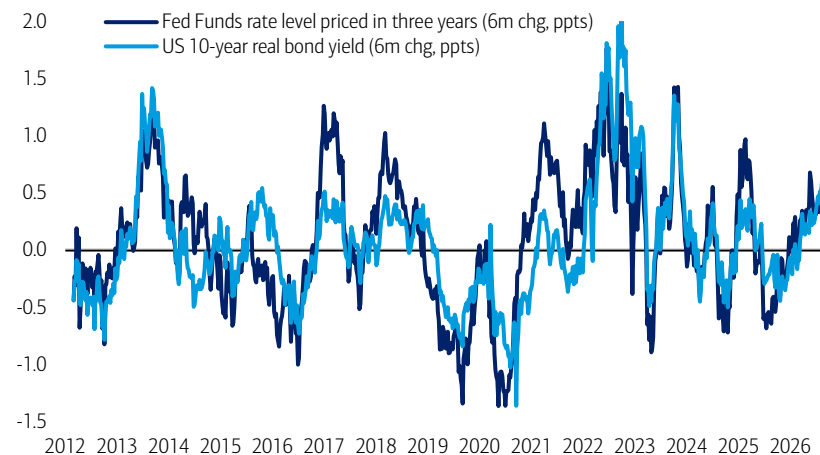
Source: BofA Global Research estimates, LSEG Data & Analytics

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Bond yields could fade if a weak US labour market leads to more Fed easing

Exhibit 244: Market pricing for the 3-year forward Fed Funds rate is a key driver of US real yields, implying scope for lower real yields if the Fed is dovishly repriced as growth weakens

US 10-year real yield 6-month change vs 3-year forward Fed rate pricing 6-month change

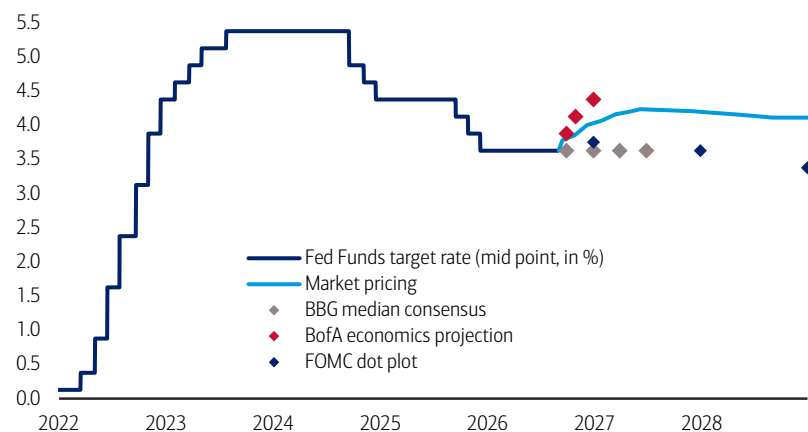


Source: BofA Global Research, LSEG Data & Analytics, Bloomberg

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Exhibit 246: Markets are priced for around 50bps of hikes for the Fed Funds rate over the next three years to 4.1%, to well above the Fed's estimate of the neutral rate, at 3.06%

Market pricing for the future Fed funds rate (%)

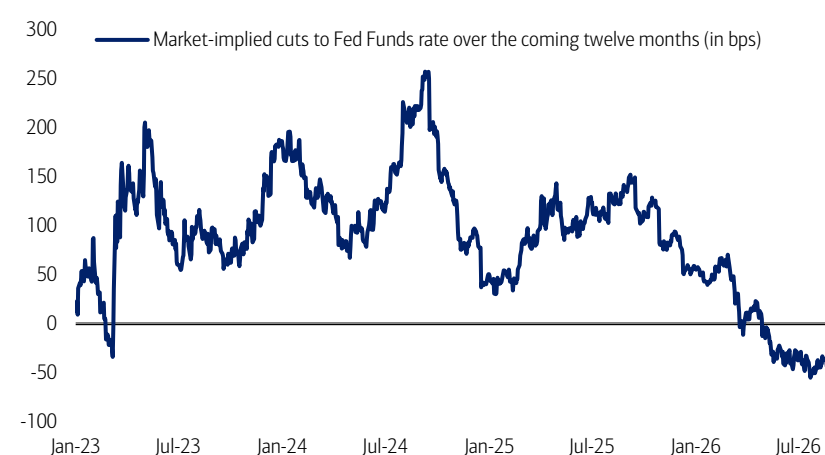


Source: BofA Global Research estimates, Bloomberg, Haver

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Exhibit 245: The market is pricing around 40bps of hikes by the Fed over the coming year, versus 70bps of cuts at the start of the Iran war

Market pricing of Fed cuts over the coming twelve months (bps)

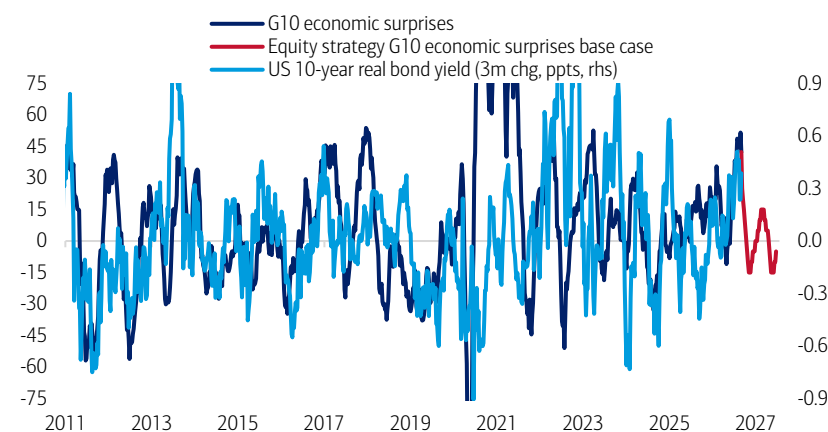


Source: BofA Global Research, Bloomberg

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Exhibit 247: US real bond yields typically decline when global surprises are negative i.e. global growth momentum slows, as we expect

Global macro surprises vs US 10-year real bond yield 3-month change



Source: BofA Global Research estimates, LSEG Data & Analytics

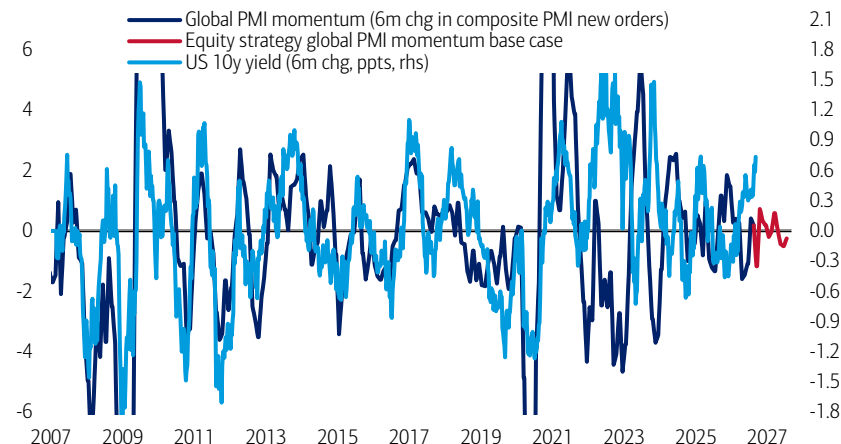
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Bond yields could fade if a weak US labour market leads to more Fed easing

Exhibit 248: Weakening global growth momentum is typically associated with falling US bond yields

US 10-year bond yield 6-month change vs global PMI 6-month change

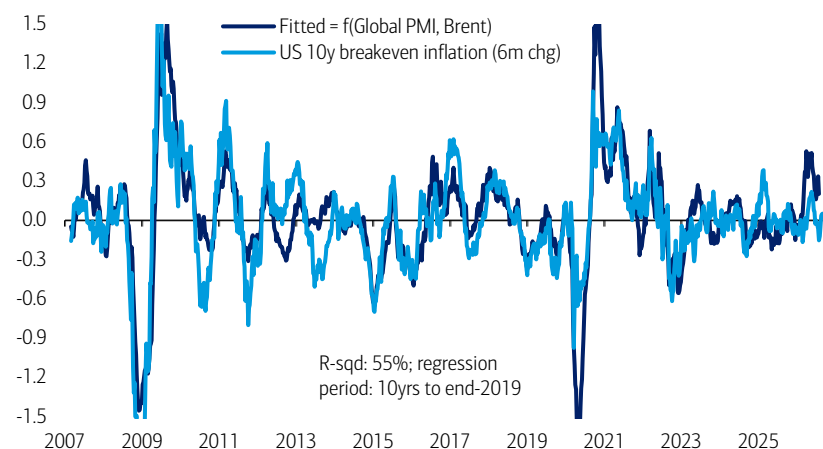


Source: BofA Global Research estimates, LSEG Data & Analytics, Haver

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Exhibit 250: Our US 10-year breakeven analysis explains the US 10-year breakeven as a function of the global PMI and the oil price

US 10-year breakeven inflation 6-month change vs macro drivers

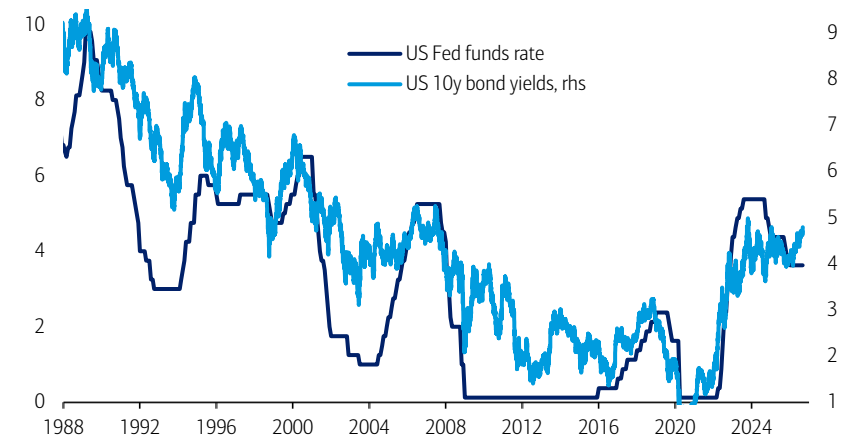


Source: BofA Global Research, LSEG Data & Analytics, Haver, Bloomberg; the fitted line uses sensitivities derived from 2010 to 2019. It represents the analysis output using input factors available at the time and does not reflect any forecast.

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Exhibit 249: The start of Fed easing cycles has typically coincided with peaks in bond yields

US 10-year bond yield vs US Fed Funds rate (%)

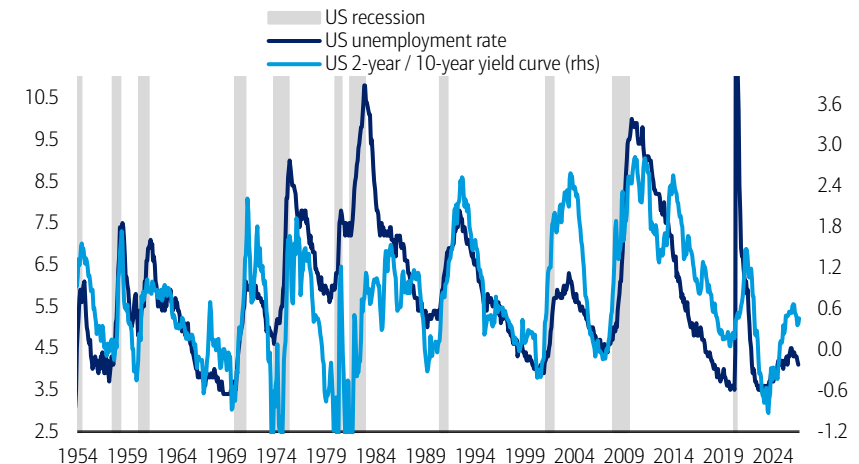


Source: BofA Global Research, LSEG Data & Analytics, Haver

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Exhibit 251: A low unemployment rate signals limited spare capacity in the economy, leading to inflationary pressure, Fed hikes and an inverted yield curve

US employment rate vs US yield curve (%)



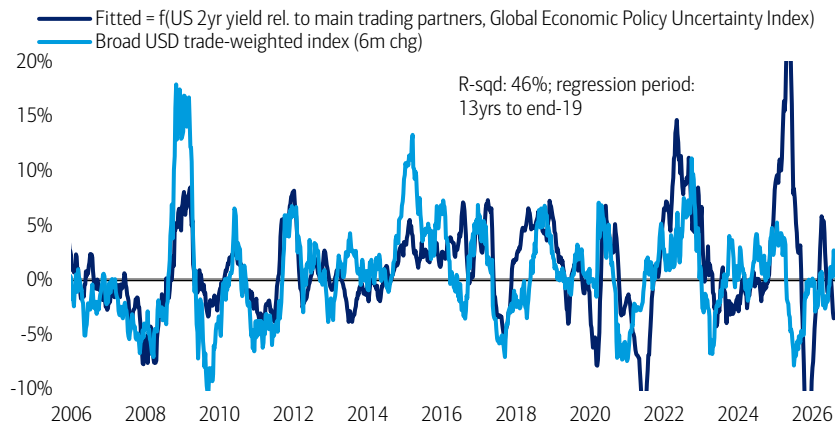
Source: BofA Global Research, Haver

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The USD has decoupled recently from the trajectory implied by uncertainty and rates

Exhibit 252: Moves in the USD are typically well explained by US rate differentials and global economic policy uncertainty

Broad USD trade-weighted index 6-month change vs macro drivers

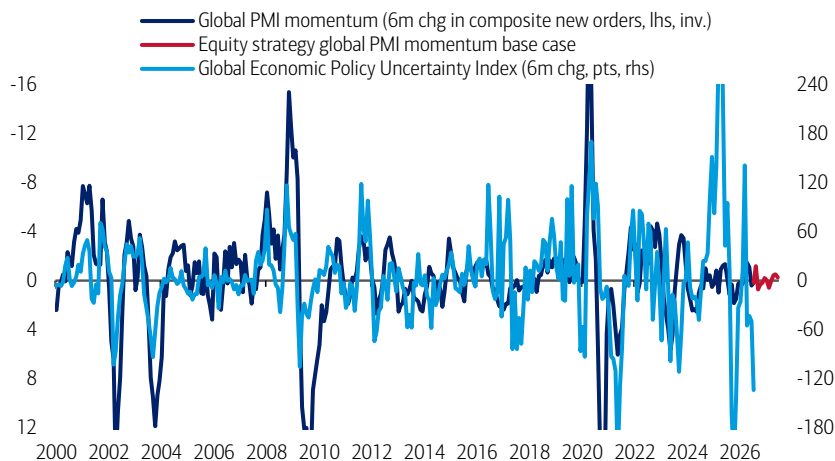


Source: BofA Global Research, LSEG Data & Analytics, Haver, Bloomberg; the fitted line uses sensitivities derived from 2007 to 2019. It represents the analysis output using input factors available at the time and does not reflect any forecast.

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Exhibit 254: Growth momentum is typically the key driver of uncertainty, but uncertainty can overshoot the global growth-implied levels due to geopolitical risk events and policy shifts

Global PMI 6-month change vs global uncertainty 6-month change

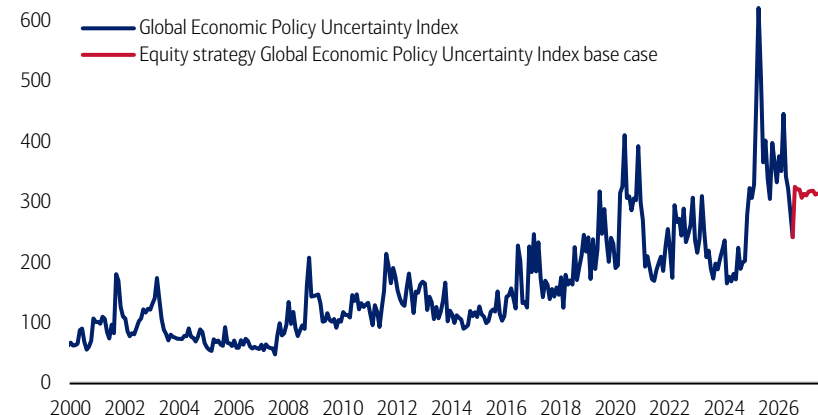


Source: BofA Global Research estimates, Haver, LSEG Data & Analytics

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Exhibit 253: We expect the Global Economic Policy Uncertainty index to remain historically elevated

Global Economic Policy Uncertainty index (pts)

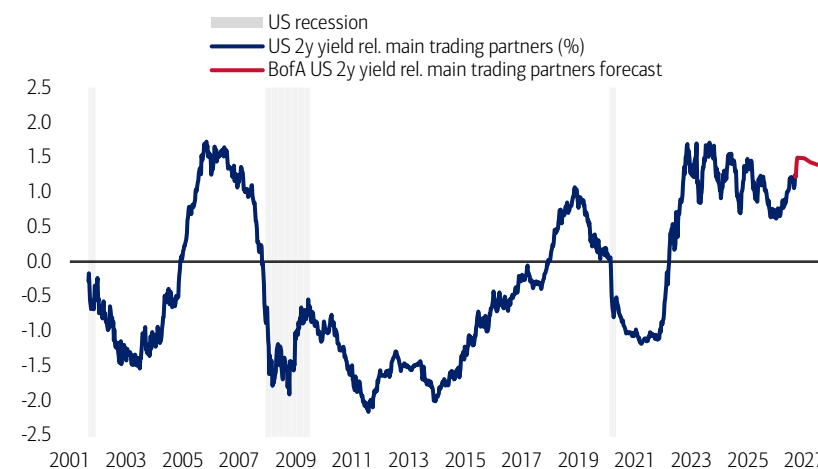


Source: BofA Global Research estimates, LSEG Data & Analytics

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Exhibit 255: Our rates strategists' projections imply further upside for US rate differentials over the coming months, implying upward pressure for the USD

US 2-year bond yield relative to main trading partners 2-year bond yields (%)



Source: BofA Global Research estimates, LSEG Data & Analytics, Haver

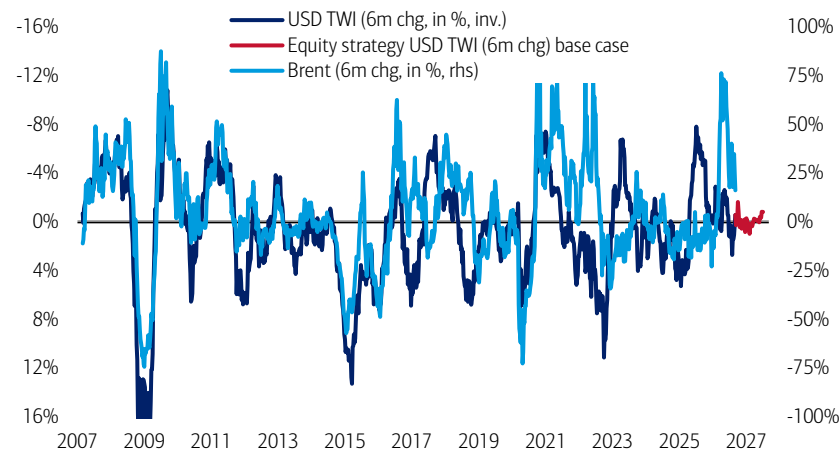
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Copper is overshooting the trajectory implied by its macro drivers

Exhibit 256: The USD trade-weighted index (TWI) is a key driver of the oil price, with a weaker USD easing affordability for non-USD earners, boosting oil demand

Brent crude oil 6-month change vs the USD 6-month change

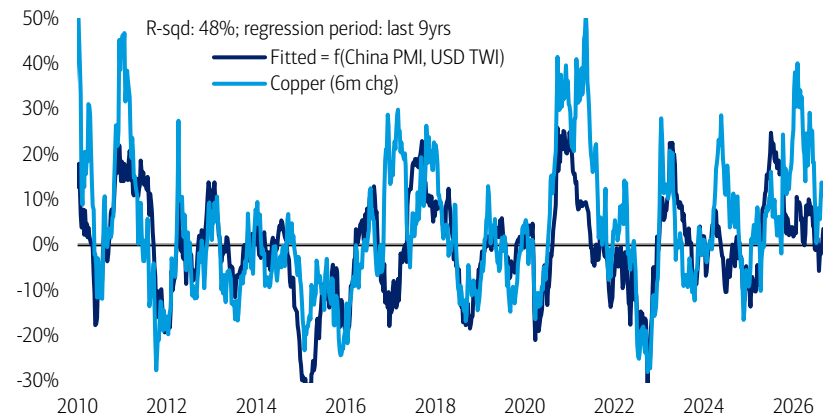


Source: BofA Global Research estimates, LSEG Data & Analytics

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Exhibit 258: Our copper analysis explains the copper price as a function of the China PMI and the USD

Copper price 6-month change vs macro drivers

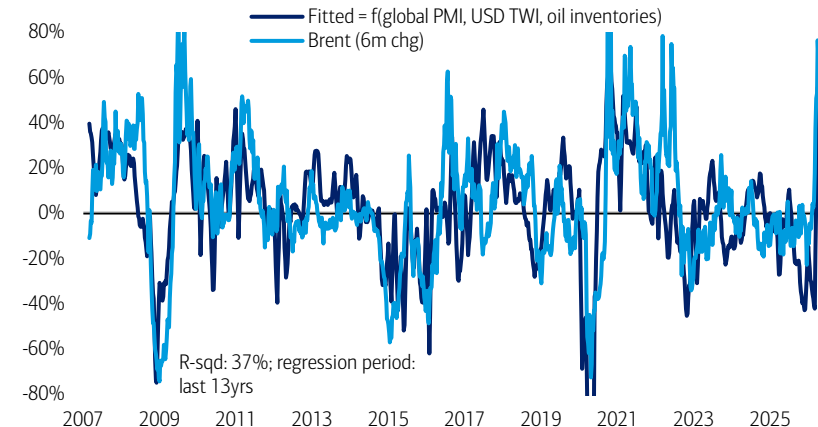


Source: BofA Global Research, LSEG Data & Analytics, Haver, Bloomberg; the fitted line uses sensitivities derived from 2017 to 2026. It represents the analysis output using input factors available at the time and does not reflect any forecast.

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Exhibit 257: The oil price is overshooting the fair-value implied by the global PMI, the USD and oil inventories

Brent crude 6-month change vs macro drivers

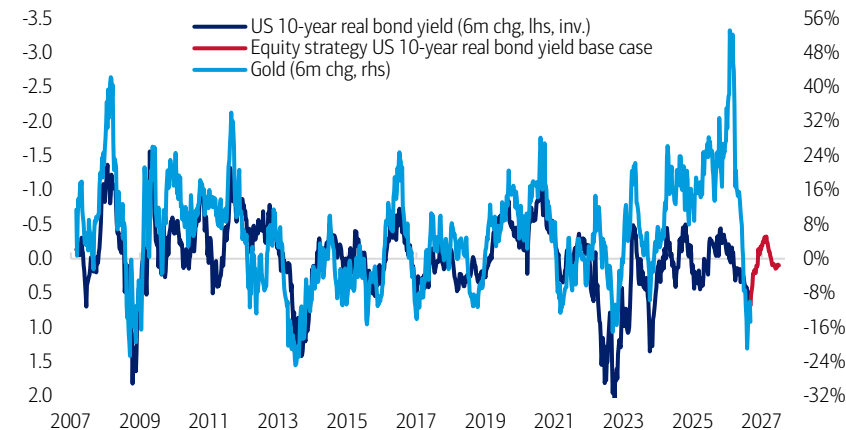


Source: BofA Global Research, LSEG Data & Analytics, Haver, Bloomberg; the fitted line uses sensitivities derived from 2013 to 2026. It represents the analysis output using input factors available at the time and does not reflect any forecasts.

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Exhibit 259: A decline in the US 10-year real bond yield, as central banks' focus shifts from inflation concerns towards growth worries, would lend support to the gold price

Gold 6-month change vs US 10-year real bond yield 6-month change



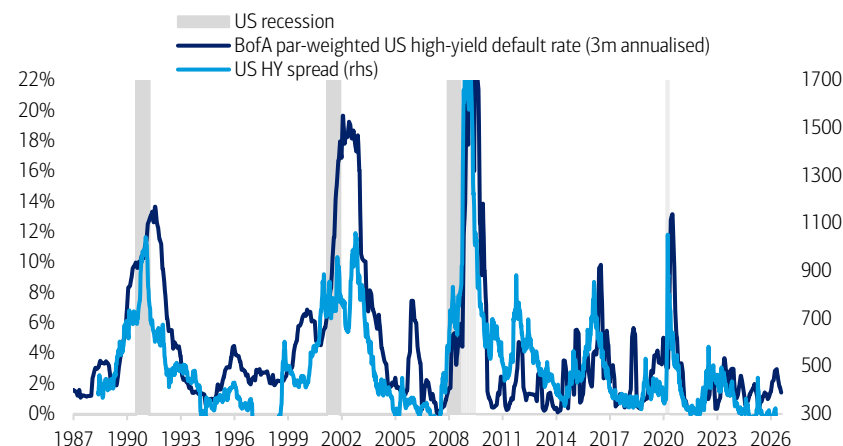
Source: BofA Global Research estimates, LSEG Data & Analytics

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We see upside for credit spreads given our strategists' projections for higher defaults

Exhibit 260: The three-month annualized high-yield credit default rate rose from 1% in October to a nearly three-year high of 3% in April, before fading back again to 1.1% in August

BofA US high-yield default rate (%) vs US high-yield credit spreads (bps)

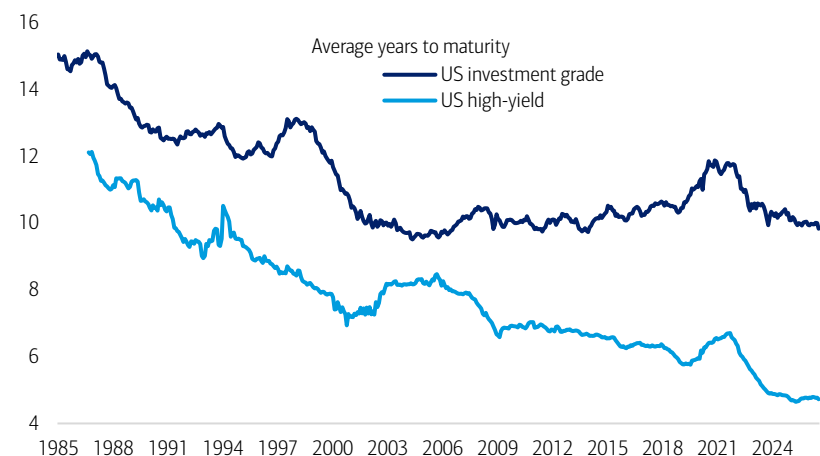


Source: BofA Global Research, LSEG Data & Analytics

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Exhibit 262: The average years to maturity of US investment-grade credit remains in line with the level seen in recent years, while for high-yield credit it has fallen to record lows

Average years to maturity of US investment-grade & high-yield credit

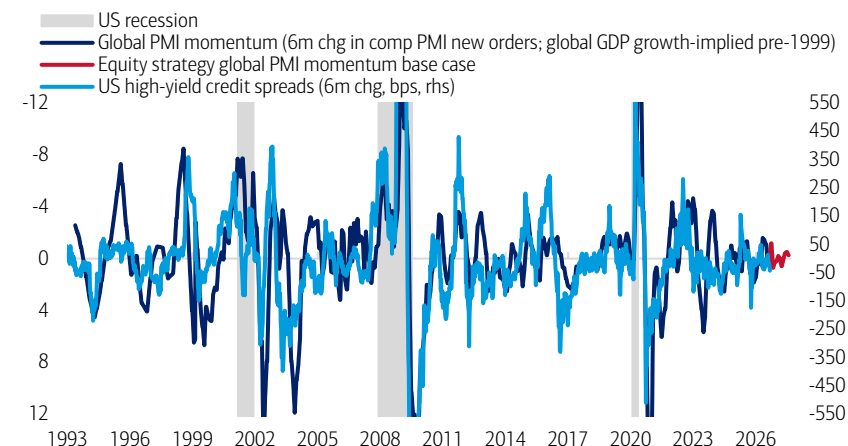


Source: BofA Global Research, Bloomberg

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Exhibit 261: Weakening global growth momentum tends to be associated with a widening of US high-yield spreads

US high-yield credit spread 6-month change vs global PMI 6-month change

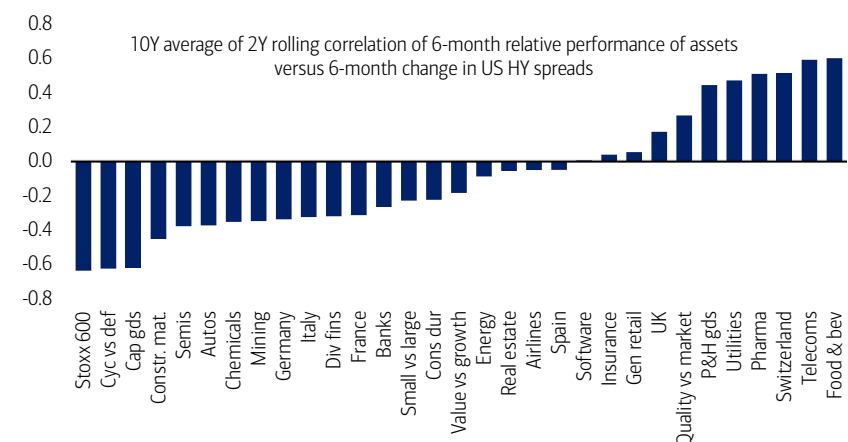


Source: BofA Global Research estimates, LSEG Data & Analytics, Haver

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Exhibit 263: The Stoxx 600, cyclicals versus defensives and capital goods are the assets most negatively correlated to US high-yield spreads, while food & bev, telcos and Switzerland are the most positively correlated

European asset, sector and country correlations to US high-yield credit spreads



Source: BofA Global Research, LSEG Data & Analytics

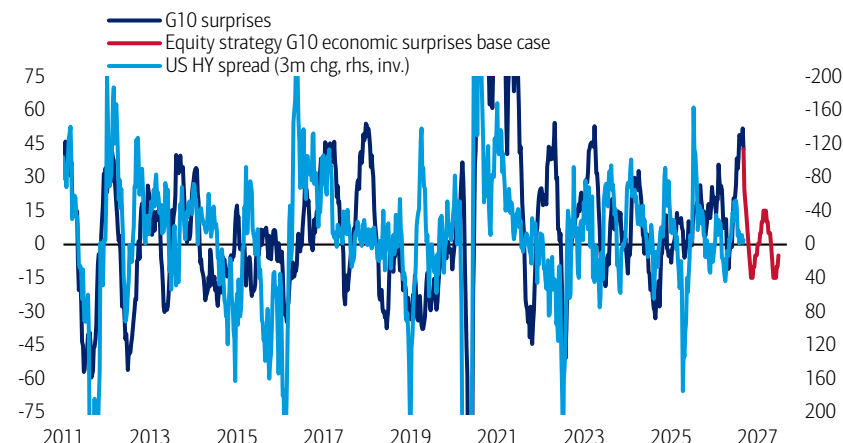
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We see upside for credit spreads given our strategists' projections for higher defaults

Exhibit 264: Credit spreads tend to widen when global macro surprises turn negative, as we expect them to

US high-yield credit spread 3-month change vs global macro surprises



Source: BofA Global Research estimates, LSEG Data & Analytics

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Exhibit 266: The US 10-year real bond yield, the discount rate for global equities, has risen close to a 17-year high

US 10-year real bond yield, 2006 to current

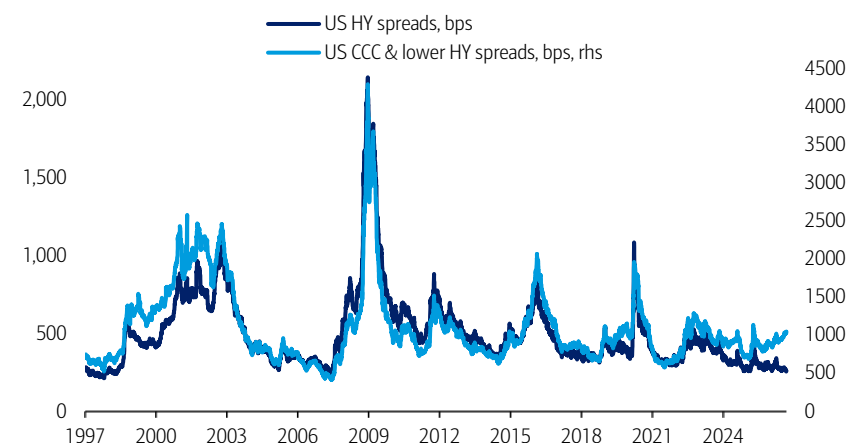


Source: BofA Global Research, LSEG Data & Analytics

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Exhibit 265: While overall high-yield spreads have remained low, the CCC and lower categories have started to see spreads widening

US high-yield credit spreads and US CCC & lower high-yield credit spread



Source: BofA Global Research estimates, LSEG Data & Analytics, Bloomberg

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Exhibit 267: The USD has declined by almost 10% from the high in January last year

Broad USD trade-weighted index



Source: BofA Global Research, LSEG Data & Analytics, Haver

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